

ANNUAL REPORT



Wherever
people are

In every corner
of our vast nation

vtb.com

2024

About report

VTB Bank's Annual Report is originally drawn up in the Russian language. In the event of any inconsistency or conflict the Russian language version shall prevail.

VTB Bank (PJSC) Annual Report for 2024 was approved by the General meeting of shareholders of VTB Bank (PJSC) (Protocol No. 65 as of 1 July 2025).

The Bank's Annual Report for 2024 was prepared in accordance with the applicable Russian laws, including:

- Federal Law No. 208-FZ On Joint-Stock Companies dated 26 December 1995;
- Russian Government Resolution No. 1102 On the Specifics of Disclosure and / or Provision of Information Subject to Disclosure and / or Provision in Accordance with Federal Law On Joint-Stock Companies and the Federal Law On the Securities Market dated 4 July 2023;
- Russian Government Resolution No. 1490 On the Specifics of Disclosing Consolidated Financial Statements dated 13 September 2023;
- Bank of Russia Regulation No. 714-P On Disclosing Information by the Issuers of Issue-Grade Securities dated 27 March 2020;
- Bank of Russia's Information Letter No. IN-06-28/102 On Disclosure of the Corporate Governance Code Compliance Report in the Public Joint-Stock Company's Annual Report dated 27 December 2021 (together with Recommendations on Making the Report on Compliance with the Principles and Recommendations of the Corporate Governance Code);

• resolutions of the Bank of Russia's Board of Directors:

- On defining information of credit institutions, foreign banks operating in the Russian Federation through their branches, non-credit financial institutions, persons rendering professional services on the financial services market, and entities of the national payment system, to be disclosed in accordance with Russian laws or Bank of Russia regulations that credit institutions, non-credit financial institutions, foreign banks operating in the Russian Federation through their branches, persons rendering professional services on the financial services market, and entities of the national payment system have the right not to disclose from 1 January 2025 to 31 December 2025 inclusive, and information stipulated by Russian laws or Bank of Russia regulations that the Bank of Russia does not disclose on its official Internet website from 1 January 2025 to 31 December 2025 inclusive (dated 24 December 2024);
- On the requirements on disclosing reports and information by credit institutions (parent credit companies of bank groups) in 2025 (dated 24 December 2024);
- other secondary legislation and recommendations of the Bank of Russia and executive authorities.

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Statement by the President and Chairman of the Management Board

**Dear VTB Group customers, shareholders,
partners and employees!**

In 2024, the Russian economy demonstrated good growth results and high level of sustainability. The banking sector remained efficient and concluded the year with record-breaking profits.

Last year marked the successful launch of our new three-year strategy focused on strengthening business resilience and development potential in response to existing challenges and trends.

The results of 2024 validate our strategic priorities: providing large-scale support for the structural transformation of the nation's economy in a new investment cycle, driving growth in the retail segment, expanding the range of financial instruments for Russia's foreign trade operations, and further advancing our technology platform.

Key metrics underscore this progress: the Bank posted record-breaking profit – RUB 551.4 billion, up 27.6% year-on-year. ROE was at 22.9% at year-end. Soaring net profit was supported by active business growth, with the loan portfolio up 13.2% year-on-year, and customer funding up 20.5%. These results were undoubtedly driven by our strong product expertise, active customer engagement, and the trust our customers placed in us.

VTB effectively built up its active customer base, leading the pack for the second consecutive year. The growth rate was 27%, bringing the total number of active customers to 25 million. The retail savings portfolio across all currencies increased by 40%, with VTB now holding one in five rouble deposits nationwide.

Aided by the launch of the renewed loyalty program in May 2024, which offers more benefits and opportunities for our clients, the Bank rose from the fifth to the third place in the customer loyalty ranking. During the Year of the Family, we introduced the Family Bank project to streamline household budget management and support family members, along with a dedicated programme for expectant mothers. We continued to upgrade the VTB Online app, which received over 5,000 updates and maintained top ratings in major app stores.

Expanding our customer base remains inseparable from upholding service excellence and becoming the bank choice for Russian people.

To this end, VTB actively expanded its regional network in 2024. We opened 313 new offices, extending physical access to every single Russian region for the first time. Courier delivery of banking services now reaches 120 million people across 4,600 cities and towns.

In the Medium and Small Business segment (SME), VTB transitioned to a relationship manager model for all SME customers, irrespective of business turnover or tenure. This change stirred demand and earned multiple prestigious awards. Key innovations of the year included the launch of B2B transfers via the Faster Payments System in the Internet bank and mobile app, as well as pilot transactions using the digital rouble, including opening digital currency accounts for SME customers.

Following the successful integration of Otkritie Bank, (transferring 2.5 million customers, 250 offices, and 10,000 employees to VTB), our priority now lies in absorbing RNCB Bank – a key driver of Crimea's economy, serving 2.6 million local residents and over 100,000 SMEs.

VTB Group maintains its leading position in the Corporate Investment Business segment, serving over 24,000 major corporate customers and 1,800 corporate groups, along with co-financing priority national development projects.

VTB Bank continued to lead in structured products, precious metals, currency exchange transactions, bonds, digital financial assets, derivatives, and other financial instruments. The Internet bank for Corporate Investment Business customers earned top independent ratings.

We have witnessed growing investor and market interest in digital financial assets (DFAs). In 2024, VTB Bank was among major DFA market players, acting both an issuer and arranger. It ranked second among Russian issuers by DFA volumes, with a total issuance of RUB 110 billion.

VTB consistently invests in technological sovereignty, leading the sector in import substitution and the adoption of innovative solutions. Today,

100% of the Bank's critical information infrastructure and over 90% of IT systems do not rely on foreign technologies, securing resilience amid external challenges. Business service reliability and availability remained at 99.99% in 2024. Our robust IT infrastructure strengthens our position as a reliable partner for customers and the government. The Bank continues spearheading AI technology, which is now integrated into 300+ internal processes. VTB maintains the most extensive international network among Russian banks. Last year, we continued to consistently develop our international infrastructure and strengthen VTB's position in settlements with overseas partners. This workstream remains an ongoing focal point amid the persistent uncertainty and sanctions pressure.

In 2024, our shareholder base surpassed 1 million and continues to grow. Retail investors now count approximately 1.2 million, with over 60% being VTB customers.

VTB actively engages with shareholders, leveraging digital tools for information sharing and maintaining direct dialogue through investor days and regional workshops. The Shareholders Consultative Council has a 15 year history and soon will be elected in its fifth iteration.

Following a forced pause due to objective circumstances, the Bank's Supervisory Council approved dividends at 50% of 2024 net profit one year earlier than planned in our strategy. I expect this decision to be approved by the Annual General Meeting of Shareholders. As VTB approaches its 35th anniversary in 2025, we aim to deliver strong dividend yield. We are committed to ensuring long-term shareholder value growth.

Our top priority for 2025 remains growing our retail business and increasing the number of active customers by further enhancing

our services and extending our regional outreach. VTB will continue to be a reliable and convenient banking partner for corporate customers of all sizes and industries, powering the nation's economy. Our financial objective is to achieve the strategic net profit target of around RUB 1 trillion for 2024–2025.

In closing, I extend my gratitude to our customers, investors, and partners for their trust and active collaboration in 2024. Special thanks to the VTB Group team – your expertise lays the foundation for our sustainable growth and Russia's prosperity.



Andrey Kostin
President and Chairman
of the Management Board

VTB Group today

MISSION

WE HELP PEOPLE TO MAKE THEIR PLANS A REALITY
BY CREATING THE BEST FINANCIAL SOLUTIONS.
WE ARE A TEAM OF PROFESSIONALS WORKING
FOR OUR CUSTOMERS AND FOR THE ENTIRE COUNTRY.



IDENTITY

VTB GROUP IS THE LEADING
INTERNATIONAL FINANCIAL INSTITUTION
BASED IN RUSSIA.



VISION

A UNIVERSAL FINANCIAL GROUP
COMMITTED TO DYNAMIC, SUSTAINABLE DEVELOPMENT,
STRIVING TO BE THE PREMIER FINANCIAL PARTNER
FOR ITS CUSTOMERS WITH CONVENIENT AND INNOVATIVE
SOLUTIONS DESIGNED FOR THEIR NEEDS.



Values



We value our customers

We put our customers' needs first. We trust our customers and strive to earn their trust. We listen to our customers and act upon their feedback.



We work as a team

We respect and trust each other. We support each other and help our colleagues to grow. We achieve common goals.



We are responsible for our results

We are focused on the result, not the process. Each of us is responsible for our contribution to the achievement of common goals. We openly discuss our successes and failures.



We are proactive

We are passionate about what we do. We are proactive in addressing common challenges. We go beyond formal duties.



We are constantly improving our performance

We are open to change. We start by changing ourselves. We are not afraid to experiment.

VTB Group in the Financial Services Market

VTB Group ("VTB Group" or the "Group") is a leader in the domestic financial services market and Russia's second largest financial group.

The parent bank of the Group is VTB Bank ("VTB Bank", "VTB" or the "Bank"). The largest holders of VTB Bank's ordinary shares are the Federal Agency for State Property Management and the Russian Ministry of Finance; they own 40.0% and 21.8% of the Bank's ordinary shares, respectively. As regards the Bank's preference shares, the Russian Ministry of Finance holds 100% of Type 1 preference shares, and the State Corporation Deposit Insurance Agency owns 100% of Type 2 preference shares.

The Russian Federation (represented by the Federal Agency for State Property Management and the Ministry of Finance) and the State Corporation Deposit Insurance Agency collectively own 87.0% of the Bank's share capital.



RUB 36 trillion

VTB GROUP'S TOTAL
ASSETS



RUB 24 trillion

VTB GROUP'S LOAN
PORTFOLIO

SHARE OF RETAIL LOANS: 33%



RUB 24 trillion

VTB GROUP'S CUSTOMER
FUNDING

SHARE OF RETAIL CUSTOMER
FUNDING: 48%



>1 million

SHAREHOLDERS
OF VTB BANK



>24.5 million

VTB BANK'S RETAIL
CUSTOMERS IN RUSSIA

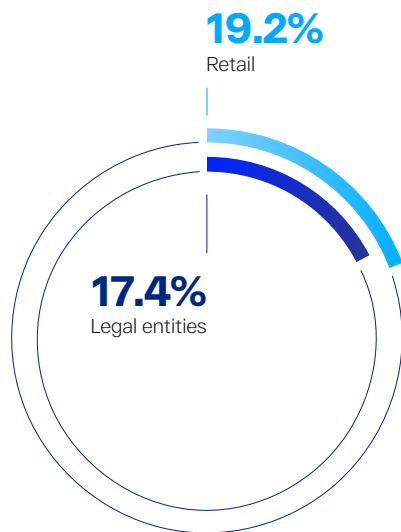


112 thousand

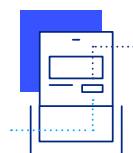
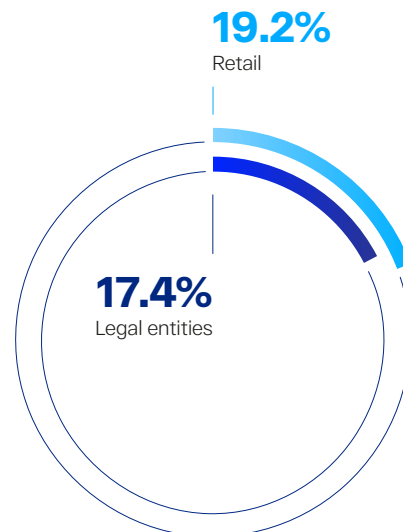
EMPLOYEES
OF VTB GROUP

Market shares of VTB Group in Russia as of 31 December 2024

Loans



Customer funding



16 thousand

ATMS



1.6 thousand

BRANCHES

VTB Bank's credit ratings



ruAAA

ACRA

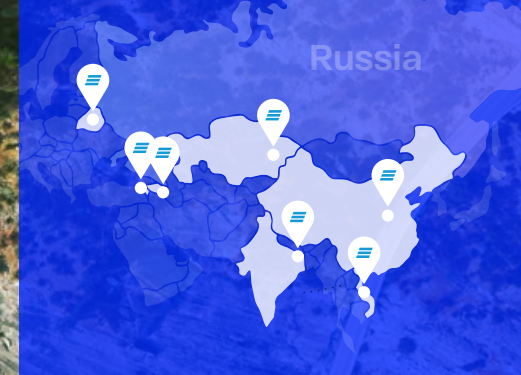
AAA (ru)



AAA.ru

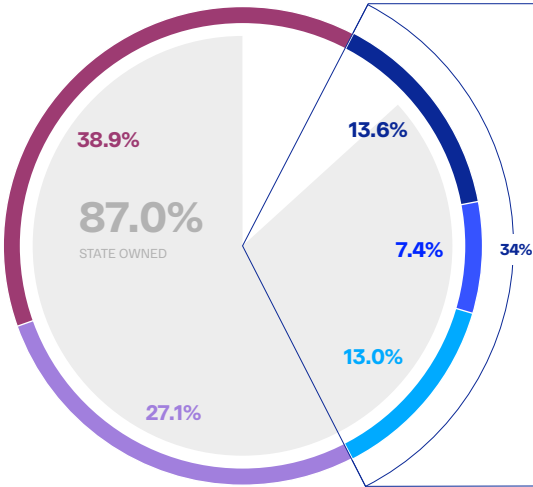
Russia and seven other countries of operation

Belarus
Kazakhstan
Azerbaijan
Armenia
India
China
Vietnam



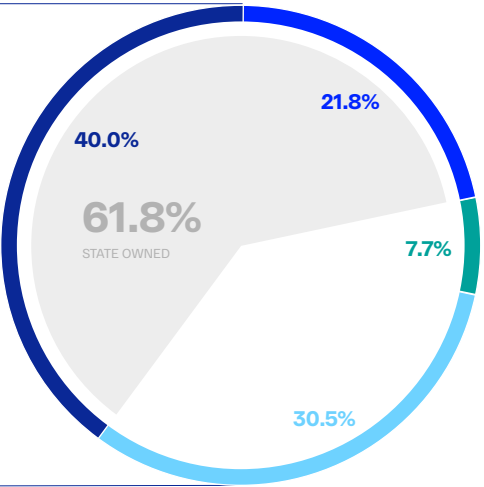
Share capital structure of VTB Bank

Equity capital



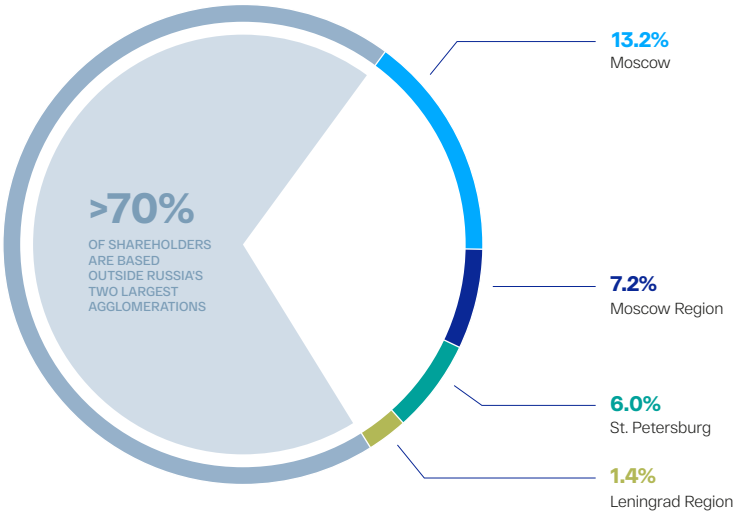
- Federal Agency for State Property Management
- Ministry of Finance of the Russian Federation
- Free float
- Preference shares Type 1
- Preference shares Type 2

Ordinary shares



- Federal Agency for State Property Management
- Ministry of Finance of the Russian Federation
- Individual shareholders
- Institutional investors

Regional breakdown



2024 Facts and Figures

Retail Business

Active customer base

24.5 **+5.2 mln**
MLN



VTB Online, MAU

22 **+47%**
MLN



Mortgage loans

RUB 4.7 **+10%**
TRILLION



Cash loans

RUB 2.2 **+6%**
TRILLION



Car loans

RUB 653 **+59%**
BILLION



Medium and Small Business

Active customer base

1.7 **MLN**



Awards and accolades in 2024

>40



Online access to

100 **%** **OF STANDARD**
SME PRODUCTS



Loan portfolio

RUB 3.8 **TRILLION**



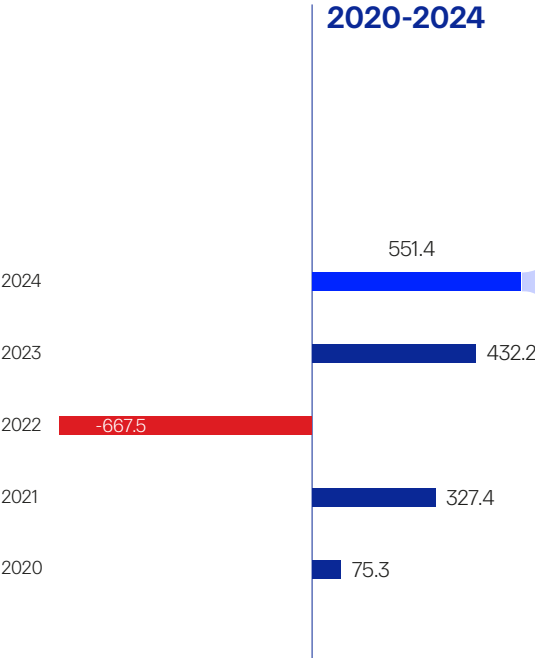
Customer funding

RUB 4.3 **TRILLION**

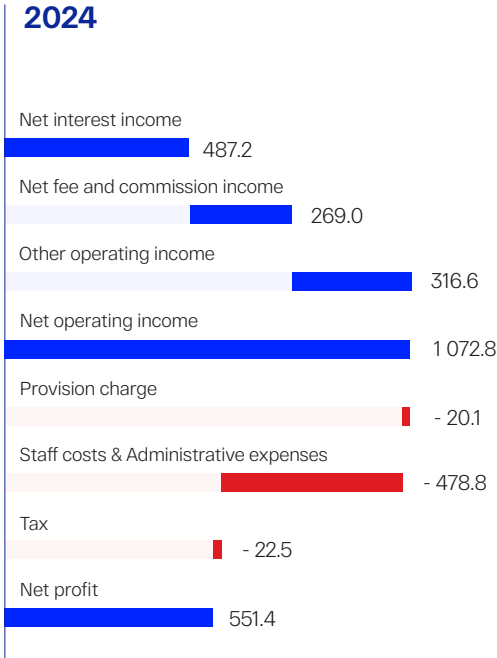


Financial Highlights

Net profit,
RUB billion



Net profit components,
RUB billion



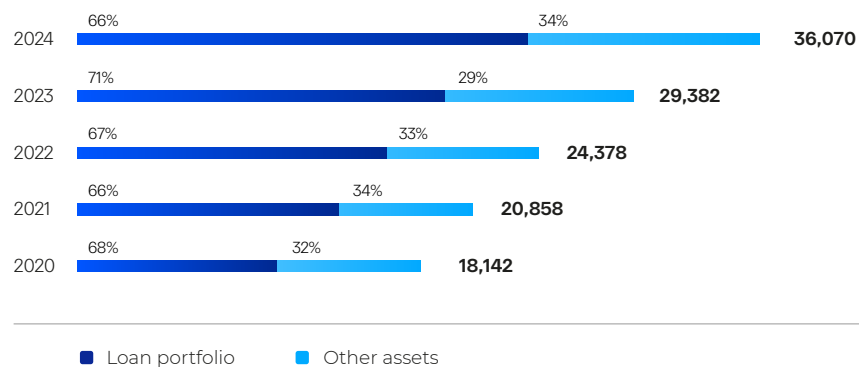
Record financial performance

Net profit
in 2024

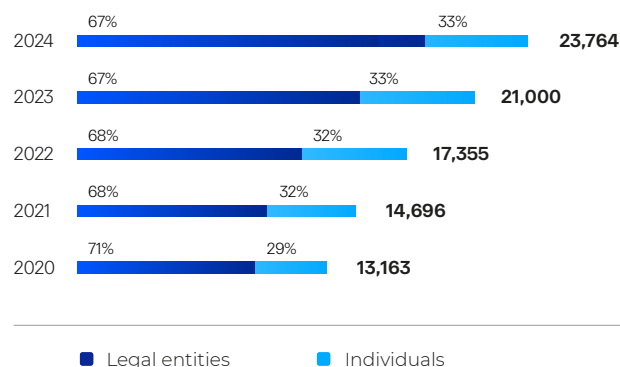


551.4
RUB
BILLION

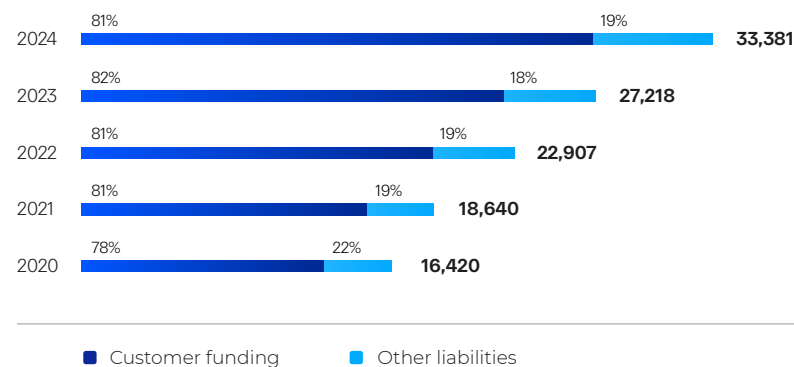
Assets, RUB billion



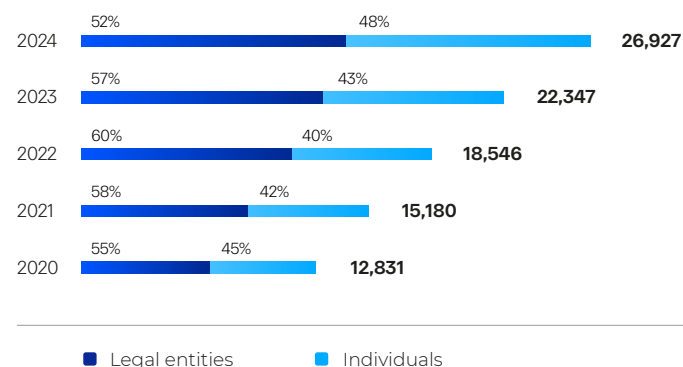
Loan portfolio, RUB billion



Liabilities, RUB billion



Customer funding, RUB billion



Wherever opportunities arise

01

MANAGEMENT
REPORT

Management

Economy

VTB Group Development Strategy

Quality management

Risk management

Management
report

Corporate
governance

Sustainable
development

Financial
statements

Annexes

VTB

for steady growth and progress

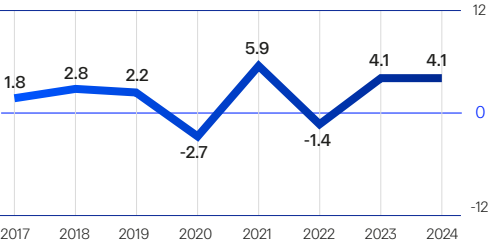
1.1. Russian economy and banking sector

The Russian economy has shown steady growth since 2022, with GDP increasing by 4.1% and 4.3%¹ in 2023 and 2024, respectively. Amid this recovery and structural transformation, the financial sector plays a pivotal role in ensuring economic stability and support. Measures taken by the Bank of Russia to enhance the resilience of financial institutions, coupled with the sector's ability to adapt to the evolving environment, contribute to its reliability. Supply and demand imbalances arising during this growth phase are expected to gradually diminish going forward.

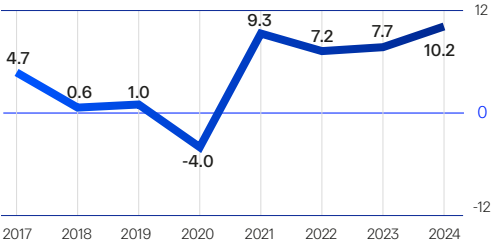
1.1.1. Economy

Macroeconomic indicators, % change year-on-year

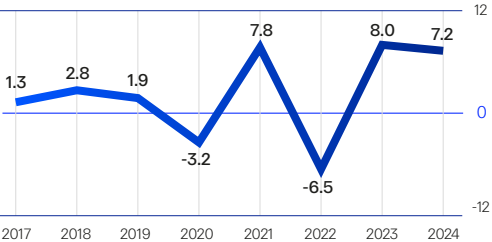
Gross domestic product, %



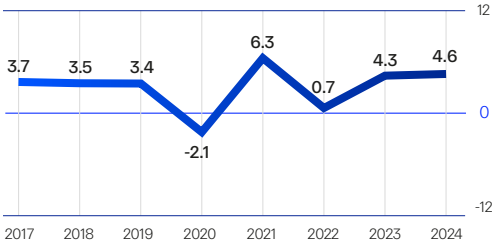
Gross fixed capital formation, %



Retail turnover, %



Industrial production, %



Household consumption remained the primary growth driver, contributing 2.9 p.p. to overall GDP growth. Gross capital formation added 1.0 p.p., while the public sector contributed 0.8 p.p. Net exports made a negative impact (down 0.5 p.p.). This was attributable to export restrictions under OPEC+ agreements, while high domestic demand supported import growth in real terms.

Russia's exports totalled USD 417.2 billion in value terms, down 1.7% year-on-year. However, this decline was partly offset by improved prices, as the average annual price of Russian oil rose to USD 68 per barrel. The nominal average exchange rate in 2024 was RUB 92.4 per US dollar, compared to RUB 84.7 per US dollar in the previous year. In 2024, the domestic FX market resumed operations, including both regular transactions under the fiscal rule and one-off transactions, namely foreign currency sales reflecting the use of the National Wealth Fund (NWF). These one-off transactions effectively raised

the fiscal rule's cut-off oil price from approximately USD 60 per barrel to USD 78 per barrel in 2024, and to USD 72 per barrel in 1H 2025, providing additional support to the rouble exchange rate.

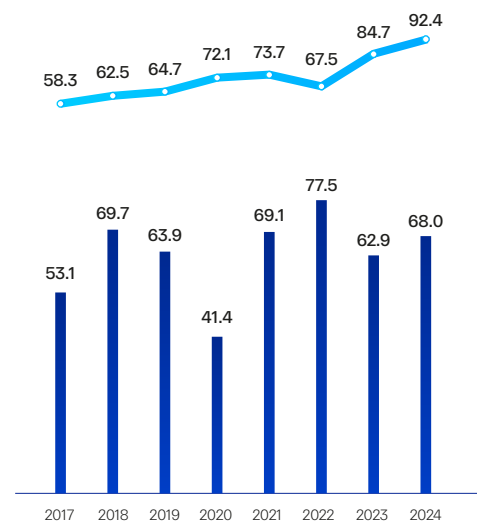
The federal budget recorded a deficit of RUB 3.5 trillion (1.7% of GDP) for 2024. Revenues amounted to RUB 36.7 trillion, while expenses totalled RUB 40.2 trillion. Starting from 2025, the fiscal rule regarding structural balance is expected to be reinstated. This involves accounting for the base oil and gas revenues adjusted for public debt servicing costs and below-the-line operations. A higher structural revenue from 2025 onwards will be driven by tax reform.

The imbalance between supply and demand throughout 2024 led to increased inflationary pressure. Consequently, the Bank of Russia resumed hiking its key rate in mid-2024, raising it from 16% to 21% by the year-end.

1 According to Rosstat's second estimate dated 11 April 2025.

Inflation reached 9.5% year-on-year during the reporting year, up from 7.4% in December 2023. Inflation expectations remain elevated, and companies factored a 10.7% year-on-year inflation rate into their 2025 business plans – the highest level since 2019.

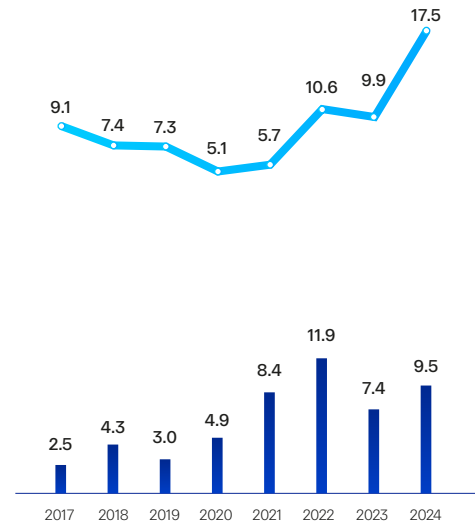
Oil price and exchange rates, %



■ USD/RUB (Bank of Russia, average)
■ Oil price (Urals, average per barrel, USD)

The labour market remained tight in 2024, with unemployment reaching a historic low of 2.4%. Labour demand exceeded supply, further intensifying inflationary pressures.

Inflation and the Bank of Russia's key rate, %



■ Bank of Russia's key rate (average)
■ Consumer Price Index (December/December)

1.1.2. Banking sector

In 2024, banking assets grew slower at 18.7%² vs 24.7% in 2023 due to tighter regulation and monetary policy. In 1H 2024, the assets steadily expanded on the back of the fiscal stimulus, an expected fall of the key rate to 16%, and the end of the subsidised mortgage programme. In 2H 2024, the loan portfolio and asset growth showed a significant deceleration against the backdrop of a rise in the key rate to 21% and stringent prudential regulation leading to weaker demand and an increase in banks' risk appetite.

Tightening measures include the reversal of the previously introduced relief of short-term liquidity requirements and prudential capital buffers, among others. On top of that, the Bank of Russia introduced a countercyclical buffer effective from 2025 to restrain growth of banking assets, with market players forced to adjust their planning in advance.

To reduce debt burden of households, the Bank of Russia toughened regulation primarily in retail lending. As a result of the discontinued subsidised mortgage programme coupled with lower prudential limits and higher prudential buffers, in particular for unsecured lending, the retail lending portfolio grew much slower, from 23.1% in 2023 to 9.6% in 2024, and the mortgage lending portfolio demonstrated a one-digit growth of 6.6% year-on-year for the first time ever. Non-mortgage lending expanded faster – at 13.0% year-on-year – thanks to swelling car loan and credit card portfolios.

Demand from large borrowers supported the robust growth of the corporate lending portfolio at 20.0% year-on-year (17.9% net of a 12% rouble depreciation). At the same time, the share of FX-denominated loans shrank by 2 p.p. to 14.8% in the reporting year.

Asset quality remained high despite increased interest rates and over-indebtedness of households, due to the fiscal stimulus, among other things. The proportion of overdue loans dwindled from 3.3% to 3.2% during the year, with the provision coverage for these loans also shrinking from 241% to 230%, but still remaining robust.

A tighter monetary policy and regulation of non-revolving credit facilities, demand for loans, and a strong competition supported an increase in interest rates on customer accounts. Consequently, corporate and retail lending growth stood at 11.3% and 27.1% net of foreign currency revaluation, respectively. Escrow account balances of individuals rose by 9.7% year-on-year, while the share of currency deposited on corporate and retail accounts dropped by 1.7 p.p. and 1.6 p.p. to 14.7% and 6.8% respectively.

Despite the challenging environment in 2024, banks registered a record net profit of RUB 4.0 trillion, corresponding to a 24% return on equity, according to our calculations. For comparison, banks' net profit for 2023 came in at RUB 3.3 trillion, with return on equity standing at 22%.

² According to the Bank of Russia's statistics for the banking sector.

1.2. 2024 Key events

02

February

For Medium and Small Business customers, VTB launched a service package called Simple Interest, which scales its cost based on incoming payment volumes. This approach benefits seasonal businesses with fluctuating activity patterns and small companies with annual turnover under RUB 5 million. With its clear and predictable fee structure, businesses only pay during active periods, helping them manage banking expenses more effectively.

Upgraded online accounting service is now available on the VTB Business Platform. The Bank introduced a series of updates to its online accounting service to simplify doing business for entrepreneurs. The VTB Accounting for Business offers full-fledged accounting and HR records without the need to install additional software.

03

March

VTB rolled out electronic bank guarantees for large business segment customers. The new service enables corporate customers to process guarantees entirely digitally through the VTB24 Business Online remote banking system. The implemented technology ensures a seamless guar-

antee issuance process with all stages fully digitised. Signing agreements and transaction documents, formation and sending of offers, and the actual issuance and receipt of guarantees by customers are all carried out electronically.

VTB Bank presented its Development Strategy and announced key goals and priorities for 2024–2026. The prosperity of Russian families, structural economic transformations, advanced technology solutions, and the financial system of the friendly world are VTB's main focuses for 2024–2026. These strategic initiatives will enable the Bank to achieve specific targets, including annual growth in net profit. Within its strategic horizon, VTB intends to significantly strengthen regional positions, making the Bank accessible to more than 100 million Russian residents, support significant investment demands of the economy for production localisation, logistics restructuring and infrastructure development, as well as ensure reliable support for foreign economic activities.

04

April

Businesses from Kaliningrad to Kamchatka can now open an account with VTB remotely. The Bank more than doubled the geographic coverage of its on-site service for Medium and Small Business customers. Now they can open an account without visiting a Bank office in 500 cities and towns across the country.

The international Data Fusion 2024 conference on data analysis and artificial intelligence technologies was successfully held in Moscow. Over the two days of the conference, 17–18 April, participants discussed technological trends across dozens of sessions, particularly the development of AI technologies, machine learning, big data, and quantum computing. The Data Fusion conference serves as a cross-industry platform for dialogue between business, science, and government. The event was organised by VTB Bank.

05

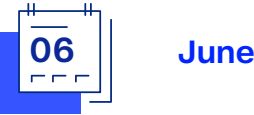
May

VTB started offering mortgage loans for land plots. On 31 May 2024, VTB introduced mortgage loans for purchasing land plots. Customers can receive up to RUB 60 million under the Bank's basic terms, including for refinancing previously issued loans. The maximum contract term is 30 years. As one of the Bank's main requirements for the new programme, the acquired plot must be at least 300 but no more than 10 thousand sq. m. It must belong to the category of settlement lands or agricultural lands and be used for individual housing construction, personal subsidiary farming, or gardening.

Payment for travel using the virtual Troika card was implemented in collaboration with the Moscow Metro. Virtual Troika is a transport card that can be issued using a smartphone in the Moscow Metro mobile app. The service operates based on QR codes on phones from all manufacturers,

including those running on iOS. To access the service, users need to select a ticket from the tariff menu and link a bank card. The virtual Troika is issued once and can be used to pay for travel with the Wallet metro ticket or to purchase most subscription plans from the current tariff menu.

VTB began accruing cashback in roubles. On 1 May 2024, VTB completely revamped its loyalty programme and switched to cashback payments in roubles.



VTB transitioned to a new service model for small businesses. Each customer, regardless of company size or length of service with the Bank, is assigned a relationship manager who is ready to provide comprehensive business support, offer tailored product conditions, and assist with service arrangements and any other issues.

Instant transfers via the Faster Payments System were launched for the Medium and Small Business segment. Medium and Small Business customers are now able to instantly make money transfers to accounts of legal entities and individual entrepreneurs (B2B transfers) via the Faster Payment System. The amount of a single operation can reach RUB 1 million.

VTB held its Annual General Meeting of Shareholders via absentee voting on 7 June 2024. Shareholders approved the consolidation of ordinary VTB shares, primarily to streamline trading calculations. Additional approved items included the 2023 Annual Report and accounting statements, profit distribution plans, Supervisory Council membership determinations, Statutory Audit Commission appointments, selection of an auditor for the 2024 mandatory annual financial review, and confirmation of VTB's participation in the National Association of Stock Market Participants.

VTB launched its proprietary payment app VTB Pay for cashless payments. This solution provides customers with access to payment functions on the Public Services website and app while supporting both online transactions and in-store smartphone purchases.

VTB pioneered smart contract technology using digital roubles in the Russian banking industry. At the St. Petersburg International Economic Forum, the Bank showcased an innovative application: insurance coverage for Moscow Metro rolling stock implemented through smart contracts with settlements in digital roubles.



VTB completed the consolidation of its ordinary shares. To increase convenience for VTB shareholders, the Bank conducted a share consol-

idation, increasing the nominal value of one share from 1 kopeck to RUB 50. From 9 to 14 July 2024, trading in VTB shares was suspended due to consolidation and resumed on 15 July 2024. Before the reverse split, the number of the Bank's ordinary shares was 26.8 trillion, after consolidation, their number equals 5.4 billion.

VTB Auto, an online service for selling cars with various ownership methods, began operations. Thanks to this service, customers can choose the optimal option for acquiring a car: payments in instalments, car loans, or using their own money. The instalment purchase offer means that for the first three months, the customer rents the car and pays not the full cost immediately, but only a booking fee and fixed monthly payments. If at the end of the rental period the customer is ready to purchase, they can take the car at the residual value. This is important for those who want to delay major investments but still immediately drive a ready-to-use car. Additionally, after the test drive, the final price of the car will be reduced. Payments during the rental period are credited toward the cost, which is fixed when signing the contract and remains unchanged. After three months, the car can be purchased using one of the convenient methods: with a car loan or with one's own funds. If the car does not suit the customer, they can freely decline the purchase and, if desired, rent a new one.

VTB launched Digital Assistant, its own cluster for developing AI technologies. The cluster focuses on developing VTB's digital assistants: services based on large language models and recommendation systems for solving personalised requests from employees and customers. The cluster will also conduct research in the field of deep language models, which is closely related to the development of digital assistants. With their help, these services not only generate the most relevant answers and solutions but also help anticipate user needs. Implementation of the Digital Assistant programme is one of the key focus areas in the Bank's technological strategy for the next few years.

VTB relaunched its tipping service, updating the concept, name, and list of services for VTB.Tips+. Now the Bank provides a full-fledged payment solution for restaurants, cafés, and hotels (HoReCa) – their customers can view the establishment’s menu, select services, and pay the bill, indicating the tip amount, using a single QR code displayed at the establishment. The application offers table pre-booking and loyalty programmes for establishments. These comprehensive solutions typically increase tip volumes by 20–30%, as well as speed up table turnover by 10–15% during the busiest hours.

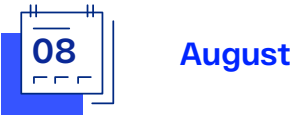
The first office in Lugansk was opened. VTB expanded its office network geography and opened the first office in Lugansk. This marks an important step in the region’s integration process into the country’s economy, development of banking infrastructure, formation of a stable job market, and, most importantly, a competitive financial offering for Russians living in the Lugansk People’s Republic.

Cashless payment options with self-employed individuals were expanded. VTB launched transfers using bank details in its settlements with the self-employed service. It helps businesses quickly and securely settle accounts with contractors. To use it, customers only need to open a settlement account with VTB and get access to the internet or mobile banking of the VTB Business Platform. The service allows creating registers for mass payments and templates to pay for services of regular contractors. No commission is charged for transferring funds to accounts of the self-employed at VTB.

VTB provided preferential loans to businesses in the new regions and border territories. VTB began lending to residents in the free economic zone in the Donetsk and Lugansk People’s Republics, and

the Zaporozhye and Kherson regions under a subsidised programme from the Territorial Development Fund and the VEB.RF suretyship programme. Another preferential lending programme at a rate not higher than the key rate is addressed to small and medium-sized enterprises registered and operating in the Belgorod, Bryansk, and Kursk regions. These special terms are valid for one year and apply to VTB’s entire core range of credit products for entrepreneurs and legal entities. All loans are secured by an umbrella suretyship from SME Corporation with an enhanced coverage.

VTB offered customers cybersecurity and cloud service solutions. The Bank expanded its range of business services with IT products from T1, a Russian holding company. Medium and Small Business customers can now purchase specialised cybersecurity solutions and access cloud services for the rapid creation of a flexible IT landscape for their company. All products are available at the Bank’s branches.



VTB’s retail broker launched OTC trading on weekends and holidays. Customers are now able to trade using both a brokerage account and an IIA. Initially, customers received the opportunity to trade shares of the Liquidity fund; subsequently, the list of instruments was expanded, and the possibility of withdrawing funds on weekends and holidays was added.



The number of VTB bank’s retail shareholders increased by a quarter over the year and amounted to more than one million people. Individual shareholders account for 7.6% of voting shares (408,069,582 shares). Almost 80% of VTB shareholders are people between 20 and 50 years old, with the most active growth in the youth audience segment (20–35 years). The Top 5 cities by the number of VTB minority shareholders are Moscow, St. Petersburg, Yekaterinburg, Krasnodar, and Kazan. More than 70% of the Bank’s shareholders live outside the capital regions. The leaders in terms of average shareholder package are traditionally Moscow and St. Petersburg.

VTB began serving customers in 13 foreign languages. VTB was the first Russian bank to launch customer service in 13 languages in test mode. Interaction with users is carried out using an online translator integrated into the tablet used by Bank employees in branches. The service instantly recognises and translates the user’s speech, allowing for basic banking operations across language barriers.

VTB began remotely opening accounts for businesses in Crimea. The Bank launched a service with remote opening of current accounts for Medium and Small Business customers in Crimea. The service is available in Sevastopol, Simferopol, and Yalta. To open an account, legal entities and individual entrepreneurs simply need to leave a request on the website or with the contact centre. After that, a Bank representative will contact them and arrange the time and place for a visit.



October

VTB launched mortgages at 2% in the Lugansk and Donetsk People's Republics.

As of 30 October 2024, the Bank began accepting applications for preferential mortgages for purchasing primary housing in the Lugansk and Donetsk People's Republics. The rate is just 2% per annum for the entire term of the contract, which can reach 30 years. Borrowers can purchase ready-made or under-construction housing from developers. Under the preferential programme, there is a minimum down payment of 10.1% of the housing price. The loan amount can reach RUB 6 million. Applications are available at any VTB office or contact centre.

Ability to pay using biometrics through SBPay was implemented.

VTB was one of the first Russian banks to offer biometric payments for its customers who are bank account holders and users of the Faster Payments System. The project was implemented jointly with the National Payment Card System (NSPK) and the Centre for Biometric Technologies, the operator of the Unified Biometric System. Additionally, the Bank provided Medium and Small Business customers from the trade and services sector with the ability to accept payments on new POS terminals using biometrics. VTB demonstrated the work of its biometric merchant acquiring system based on Android at FINOPOLIS



November

VTB became the leader in the Forbes employer ranking. VTB was recognised for the fourth time as one of the best employers in Russia according to Forbes and received the highest platinum status. The study included 168 large companies, which in line with the methodology were divided into four groups: Platinum, Gold, Silver, and Bronze. Companies were evaluated using a large set of metrics grouped into three categories: Environment, Employees and the Society, and Corporate Governance. By the sum of points, VTB received the highest score in all categories.



December

VTB began serving customers in the Kherson Region and the Republics of Ingushetia and Tuva. The Bank now operates in all regions of Russia. Since the beginning of the year, VTB's geography has grown from 79 to 89 regions. The Bank is consistently expanding its office network, opening branches in regions where it was not previously represented, and by the end of 2024, it fulfilled the goal of entering all regions of Russia. Since the beginning of the year, VTB offices have opened in the republics of Karachay-Cherkessia, Kalmykia, Crimea, Tuva, Ingushetia, Lugansk and Donetsk People's Republics, Zaporozhye and Kherson regions, as well as in the federal city of Sevastopol. In total, the network grew by more than 370 offices (over 1,600 branches).

A special line of cash management service packages for entrepreneurs in Crimea and the new regions was launched. Special conditions apply to entrepreneurs and companies registered in Crimea and Sevastopol, Donetsk and Lugansk People's Republics, and Kherson and Zaporozhye regions. The Bank's offer is tailored to the needs and business specifics in these regions in terms of composition and cost of service packages.

VTB received confirmation of the national corporate governance rating at 8+. Based on an annual independent review, the Russian Institute of Directors (RID) confirmed VTB Bank's national corporate governance rating at 8+, which corresponds to the Best Corporate Governance Practices indicator. The RID analyses such components of corporate governance as shareholder rights, activities of governing and control bodies, disclosure scope, sustainable development and ESG integration.

The Bank of Russia included VTB Capital Trading, part the VTB Group, in the register of information system operators for digital financial assets (DFA). The addition of the DFA platform within VTB gives the Bank and its subsidiaries opportunities to launch new products and services for customers. Earlier, in June, VTB was the first in Russia to offer private investors DFAs linked to the index of the price of a physical square metre in the hideOUT residential complex under construction in western Moscow.

Moscow hosted the 15th VTB Russia Calling! Investment Forum. Over two days, the forum was attended by almost 2,000 guests – private investors, business people, and government representatives. More than 250 journalists covered the events on-site. On 4 December 2024,

over 500 representatives of Russian business and government agencies, as well as about 300 entrepreneurs from 35 countries, primarily China, Iran, India, countries of the Arabian Peninsula, Central Asia, Europe, and Africa, gathered at the forum venue in the WTC Moscow. The main event of the first day of the Russia Calling! forum was the traditional speech by the Russian President Vladimir Putin, who answered questions from attendees for two hours. The main topics were overcoming sanctions, developing economic relations between Russia and the countries of the Global South, implementing infrastructure and logistics projects, and improving the investment climate.

As part of achieving of technological sovereignty, VTB Bank transitioned to Sphere, a Russian technological platform. More than 30 modules for managing development and support processes were successfully implemented – replacing imported systems Jira, Confluence from Atlassian, and components of the Service Manager system from Microfocus (a total of 24 non-target imported systems were archived). The Sphere platform is used by some 25 thousand people. The implementation of Sphere modules took place in stages, module by module, which ensured the Bank's stable operation throughout the transition. Among the implemented modules are Sphere. Tasks, Sphere. Documents, and Sphere. Knowledge, which replace the Jira and Confluence solutions previously actively used in the Bank. These modules efficiently process large volumes of corporate data, generate content, and provide assistance in decision-making based on progressive recommendation algorithms. Another important development is the introduction of a domestic DevSecOps pipeline, which fully automates the process of developing, testing, and putting IT products into commercial operation.

VTB switched to using Russian IT systems. By the end of 2024, the Bank announced the complete implementation of all necessary information systems that were developed as part of the import substitution programme to protect critical information infrastructure objects. All 57 critical information infrastructure facilities were fully transitioned to the Russian-made software. This marked an important milestone in achieving the goals set in the Digital Transformation Strategy. By the end of 2024, more than 90% of all the Bank's applied information systems were import-substituted – not only meeting but surpassing the import substitution targets for 2024.

Payment innovations: universal QR code. VTB Bank became a pioneer in implementing a universal QR code for payments. This innovative feature is now available in more than 74 thousand trade and service businesses across the country, making the payment process fast and convenient for millions of customers.

1.3. VTB Group's Development Strategy

1.3.1. Long-term development programme: 2024 highlights

From February 26 to March 1, 2024, VTB held a Strategic Week, during which it presented a new Development Strategy for 2024–2026 in the new format of video presentations from the heads of core businesses and share its plans for the Retail, Medium and Small, and Corporate Investment Businesses, along with a technological transformation programme.

Key VTB Group's development priorities in 2024–2026:

- financial support of structural changes and a new investment cycle in the economy;
- comprehensive support of SMEs;
- fostering settlements in national currencies of friendly countries;
- transformation and scaling up of the Retail Business;
- ensuring best-in-class quality management standard and advanced solutions;
- advancing a tech platform.

Trends in the new strategic planning cycle for 2024–2026

1.

MAJOR
STRUCTURAL
CHANGES IN
THE ECONOMY

Establishing
and localising
new production
processes

Developing new
supply chains and
logistics corridors

Support of new
infrastructure
projects

Fostering settlements
in national currencies
of friendly countries

Digital transformation
of the economy
and strengthening
of technological
sovereignty

2.

GROWING
COMPETITION IN
THE FINANCIAL
SERVICES SECTOR

Competition among
industry leaders for
being the customer's
primary bank

Competition for
financial products
targeting retail
customers and
entrepreneurs
from non-financial
players

Developing new
partnership models
between banks and
large retailers

3.

CREATING A NEW
CONSUMPTION
MODEL AND CUS-
TOMER JOURNEYS

Further acceleration
and simplification
of making new
products available
to customers

High personalisation
and better targeting
of offers driven
by advanced
customer
analytics

AI-powered digital
assistants

4.

FAST
ROLLOUT
OF NEW
TECHNOLOGIES

Advancing
technological
sovereignty and
open-source
technologies
for business
adaptability

Considerably
broader range
of applications
for AI-powered
solutions

5.

INTRODUCTION AND
PROMOTION OF THE
DIGITAL ROUBLE
AND ASSETS

Creating new models
to make settlements
between economic
entities, including
smart contracts

Fast growth of digital
financial assets

Competition among
banks for building
the most convenient
and functional app
for digital rouble
transactions

2026 targets



Net profit

RUB **650** BILLION

ROE

Share of foreign
trade services

~20% **15%**

Active retail customers

35 MILLION

**RESUMED DIVIDEND
PAYOUTS**

Main development trends in the Corporate Investment Business

Key priorities of the Corporate Investment Business in 2024 in accordance with the approved strategy:

- transaction business: retaining leadership in terms of product offering and remote servicing channels, increasing VTB's share in foreign trade with friendly countries, ranking among Top 3 banks in banking support, offering the best customer experience in the market;
- lending business: retaining the share of the lending market, reducing the share of the portfolio denominated in unfriendly currencies, advancing cross sales, maintaining return on equity amid lower margins;
- investment business: becoming a leader in FX transactions, structured products, debt and commodity markets;
- customers and analytics: strengthening industrial expertise and customer analytics to expand the coverage and total income per customer, building a digital customer journey, developing a product offering in international procurement and supplies for customers and partners.

In 2024, the Bank implemented a number of major strategic projects and initiatives:

- improving the lending process. A special emphasis was placed on supporting the economy and borrowers in critically important industries. The digital credit conveyor was fine-tuned;
- support of major infrastructure projects;
- as part of building an industry expertise and engagement in flagship projects to cement Russia's technological and economic sovereignty, VTB is running several concession projects worth over RUB 1 trillion;

- growing a transactional business;
- in 2024 VTB strengthened its position as the number one corporate bank by enhancing the capabilities of its online banking system, improving the banking support of contracts for the customer, adding new payment options via the Faster Payments System, and advancing the corporate card business;
- developing the investment business;
- the Bank focused on payments in soft currencies and expansion of the investment product offering. VTB grew the share of brokerage services to individuals and created the best factory of structural products;
- customer base coverage increased to 86%;
- promoting international settlements and business;
- When it comes to the international business, the Group's key objective is to establish a strong system of settlements in national currencies to foster cooperation and boost the country's export potential. In 2024, the key focus areas were:
 - promoting cooperation with the financial institutions of friendly countries to support foreign trade of Russian companies;
 - making arrangements for settlements in roubles and national currencies. VTB secures a reliable settlement infrastructure through established communications channels and direct correspondent relationships both for customers in Russia and in other countries of operation. Thanks to an extensive network of subsidiary banks and branches, VTB Group can intensify cooperation with major Russian exporters and importers and ensure access to national payment systems of friendly countries.

Main development trends in the Medium and Small Business

The Bank's key initiatives in the Medium and Small Business in 2024:

- a qualitative change of VTB's perception as the bank for entrepreneurs;
- a new level of customer relations: personalised service and support across all channels;
- using new prospective channels for customer engagement;
- strengthening positions in the key segments of the transactional business and customer funding;
- stable quality growth in lending and issuing guarantees.

In 2024, the Bank implemented a number of major strategic projects and initiatives:

- the Bank increased the number of active SME customers from 1.3 million in 2023 to 1.7 million in 2024 and grew the income-generating customer base from 0.7 million in 2023 to 0.8 million SMEs in 2024;
- as part of transforming its perception as the bank for entrepreneurs and making marketing and PR communications more effective, VTB introduced a new creative framework and implemented an activity plan to promote new services and products in nation-wide ad campaigns;
- VTB transitioned to a new service model for small businesses, assigning relationship managers to all customers regardless of size, turnover, or term of service at the Bank. The new SME sales model won several prestigious awards, such as 2024 Consumer Choice, Stolypin Financial Award, and Time for Innovations – 2024;
- to personalise communications and make targeted proposals, the Bank puts in place algorithms for prioritizing marketing propositions depending

on the expected conversion, with a list of trigger campaigns made based on transaction and product behaviour;

- a Virtual Assistant service is in place for employees of branches and customer support centres that shows targeted marketing proposals and important information (churn triggers, wallets) facilitating interaction with every customer;
- the Bank made its online sales channel more efficient and expanded its coverage, with the on-site service involving external courier companies available across the entire country, added new capabilities to the prospective customer account (account opening, product display), and tweaked website sales functionality;
- in 2024, to improve customer experience with core transactional products (cash management, internet and mobile banking), VTB launched B2B transfers via the Faster Payments System in its internet and mobile bank for SMEs, added a B2C payment option to merchant acquiring and settlements with the self-employed, and significantly expanded segment-specific functionality and industry-specific proposals. The Bank's digital channels feature new specialised accounts such as a developer account, a bankrupt developer account, and a nominal account for guardians and caregivers;
- the Bank enhanced its e-commerce product offering by introducing card payments via the SME Internet bank and API, and Faster Payments System, created a test environment for partner payments and services for online schools (GetCourse), hotel management (Bnovo), automatic completion of customer details (VTB Checkout), and piloted a service to start and manage marketplace sales;
- to advance its capabilities to attract liabilities, the Bank launched a process for approving personalised terms on deposits and minimum account balances with a flexible combination of pricing conditions and limits for various products and customers. The Bank improved terms for minimum account balances;
- as part of adapting foreign trade services to the new environment, the Bank added relevant consulting, customs services, currency purchase/sale, and advanced FX control to its digital channels.

Main development trends in the Retail Business

In the Retail Business, VTB's key priority is positioning as the customer's primary bank and a high-tech innovative provider of financial services available to 100 million of Russians. In 2024, in pursuance of its strategic goals to scale up business and strengthen customer relations, the Retail Business focused on six strategic initiatives:

- creating an exceptional customer service;
- going high-tech;
- doubling the customer coverage;
- increasing the share of the liabilities market and optimising their costs;
- designing the best loyalty programme;
- raising financial efficiency.

In 2024, the Bank implemented a number of major strategic projects and initiatives:

- to secure an exceptional service VTB focused on improving the customer journey. As part of our effort to handle complaints more effectively, the Bank introduced an automated solution to identify root causes and took steps to improve the quality and speed of responses to customer feedback across all communication channels – in branches, online and during courier delivery. These include increasing the number of contact centre staff by 37%, broadening employee powers to address issues online, extending the schedule of branches and delivery couriers, and making more banking products available remotely. Customer loyalty and satisfaction metrics were integrated into management incentives and assigned a considerable weight in KPIs;

- to position itself as the best digital bank, VTB implemented over 80 technology improvements in its mobile app. The Bank's experts came up with the best solutions across certain domains, such as the Loved Ones Group, part of the family bank. Recommendation models driven by trigger events and AI, such as predicting customer propensity to banking products were put in place. In 2024, VTB began to introduce digital financial assistants, and actively engaged with the regulator and market players to push forward the digital rouble. Amid sanctions the online bank was made accessible on key mobile operating systems;
- the Bank continues to expand its outreach across Russia through its branch network and courier delivery channel. Brick-and-mortar branches grew their coverage to 77 million people, and the Bank takes active steps to build up the capacity of its courier delivery channel. VTB closed the deal to acquire Post Bank whose integration will strengthen the Bank's regional foothold;
- to increase the share of retail liabilities and optimise their costs, VTB focused on improving existing products and developing new ones to attract more term and demand deposits. For example, the Bank launched the VTB Pay online and offline service, increased the number of providers for regular payments to 70,000, and made preferential terms for payroll customers available to those connected to regular automatic top-ups. These and many more initiatives helped the Bank improve its position in terms of retail deposits, especially the current account market share, despite a hike of the key rate;
- a new loyalty programme kicked off. The Bank switched from the bonus system to accruing cashback in roubles and enabling a monthly selection of three out of eight categories for such cashback. To targeted customer groups, in particular for pensioners, payroll customers, and customers with certain balances on savings accounts, the Bank offered additional benefits, such as a higher cashback on certain categories, a wider choice and an option to select the fourth cashback category;
- the Bank actively proceeded to transition its routine and servicing operations from branches to digital channels. Amid tighter regulation of retail lending on the part of the Bank of Russia, VTB stopped issuing loans in retail segments with the highest risks, i.e. loans with a high full cost and increased debt-to-income ratio.

Digital transformation strategy

An advanced operational and technological platform is key for the success of the business segments' strategies. Such platform relies on efficient operational support and information systems ensuring high automation and resilience.

Key 2024 objectives included:

- technology sovereignty;
- data-driven management;
- seamless technology development processes;
- operational excellence;
- digitalisation and mature payment infrastructure;
- effective risk management;
- advanced technology landscape;
- being a reliable partner for the government;
- high-tech internal services for employees.

In 2024, the Bank implemented a number of major strategic projects and initiatives:

- all targets under the Digital Transformation Strategy were achieved in full;
- the Bank substituted the imports of 951 out of 1,078 target information systems (88% of its IT landscape);
- sanction risk-free IT systems accounted for 91.1%;

- 57 critical information infrastructure facilities were fully transitioned to the Russian-made software;
- 14 in-house competence centres for the key components of the technology stack were set up;
- over 80% of digital transformation initiatives rely on AI;
- the Bank launched an NLP platform with a classifier of queries in the VTB Online mobile app automatically redirected to units in charge;
- as part of import substitution for solutions to automate technology development and support, the Bank introduced over 30 domestically made modules;
- following the launch of the DevSecOps pipeline and improvements to the manufacturing and import substitution of modules engaged in development, the cycle from user story creation to production deployment for the required purpose lasts less than 21 days;
- labour inputs per one transaction reduced by 17.8%;
- the Bank introduced basic smart contracts (P2P transfers with deferred execution / regular transfers with deferred execution);
- the Bank overachieved the target to transition its IT landscape to the target IT architecture based on the universal platform of digital services. At year-end 2024, migration progress was 91%;
- the Bank developed paperless document flow and digital signature services using the Goskey mobile app: the signing of electronic HR documents upon employment at the Head Office and the Bank's regional network was rolled out. In 2024, the share of electronically signed documents was some 93%.

1.4. Quality Management

VTB's quality management system is designed to give us a long-term competitive edge that comes from a robust customer experience across the segments in which the Bank operates.

Key principles of the quality management system



Customer
centricity



Continuous improvement
of products and services



Leadership



Employee
engagement



Continuous training
and development

The management of customer experience is integrated into all business units of the Bank:

- the Customer Experience Quality Centre of the Strategy and Corporate Development Department that operates as a standalone unit coordinating the Bank's quality system and implementation of its customer centricity strategy;
- the Bank's functional units that work to identify gaps, develop and take steps to improve products and services on an ongoing basis.

In 2024, the Bank updated its system of key performance indicators (KPIs) for customer experience by adding new metrics based on customer surveys regularly measuring their satisfaction with the Bank's product and service quality. The Bank's KPI system for customer experience quality enables us to efficiently allocate resources and achieve strategic goals.



1.4.1. Key focus areas for improving quality management performance in 2024

The customer experience management at VTB relies on a combination of interconnected tools and processes conducive to handling customer feedback in a timely manner, identifying their problems, prioritising and implementing improvements, and tracking their effectiveness.

Developing and automating the customer experience monitoring and analysis system

Monitoring and analysing customer experience

- The system for measuring the quality of customer experience is in place to conduct regular comprehensive customer assessments in the Retail Business, Medium and Small Business, and Corporate Investment Business. It also helps identify best market practices, areas for improvement in perception, customer experience, and the quality of products and processes. In 2024, the Bank broadened our measurement scope by including new customer touchpoints and segments.
- The Bank continuously assesses customer experience by conducting surveys across key interactions between a customer and the Bank. The feedback helps product and service channel owners identify process weaknesses, predict risks, develop, implement, and see the effect of respective improvements. In 2024, the Bank launched over 40 regular surveys examining the Bank's products, channels, and services. These included investment products, retail on-site service channels, remote servicing and support channels for the Corporate Investment Business customers, etc.

- The Bank's measurement system serves to identify customer attrition and retention drivers, which translates into proactive measures set to prevent customer churn and promote long-term loyalty.
- The Bank continuously monitors customer reactions in social networks, geo-services, mobile app stores, etc. These sources complement comprehensive customer analytics.
- To swiftly take measures to enhance customer experience and reduce complaints, the Bank systematically monitors customer requests, identifies their root causes, and produces detailed analytical reports.

Analysing and optimising customer journeys

- In 2024, the Bank introduced regular interviews with non-loyal customers across both Retail Business and Medium and Small Business segments. These feedback channels provide deep insights into pain points along customer journeys for our key products and services.
- The Bank conducted thorough audits of digital customer pathways in online and mobile banking in Retail Business and Medium and Small Business, along with benchmark comparisons to highlight areas for optimisation and growth.

Customer survey platform

- Our automated survey system efficiently gathers feedback from customers and staff alike. The integrated survey module enables quick programming and deployment of surveys embedded directly into customer journeys, while also boasting personalisation, quoting and quick reporting functionalities.

- The Bank take consistent steps to improve survey response rates. In 2024, response rates in the VTB Online channel nearly doubled following targeted optimisation of campaign settings. The Bank have also laid the groundwork for migrating retail customer surveys to the VTB Online mobile app in 2025.

Improving customer knowledge and data-driven decision-making competences

Automated customer survey service platform for product teams

- In 2024, VTB maintained and fine-tuned its survey service platform, which enables our product teams to find the best possible solutions at different stages of product development. With the platform, the Bank can have customers involved in the process by interviewing service users and testing them, sharing best practices in interface development and customer experience management, and reviewing customer journeys and the functionality of new solutions. In 2024, product teams completed around 200 projects relying on the research services offered by the platform.

Customer Knowledge Library

- The Bank's Customer Knowledge Library for our product and service teams offers analytical reports on customers, markets, trends, etc. to help the teams keep abreast of the latest developments and create products and services aligned with customer needs. Currently, the Library has over 1 thousand reports.



Enhancing the system of internal customer experience management

One of the key principles underpinning the Bank's quality management practices is to have employees of all levels engaged in the process. Superior internal customer experience lays the groundwork for ever-increasing loyalty from external customers.

- VTB conducts regular bank-wide assessments of the quality of internal services. In 2024, the assessment covered over 100 in-house processes and services with more than 26 thousand employees involved in measuring internal quality.

The Bank has also put in place a continuous improvement system for internal services based on user feedback received during the measurements. After each measurement, service owners make plans to improve their processes. A consolidated improvement plan, as well as a report of progress made against that plan, are published on the Bank's internal portal.

Managing customer experience quality under the bank's strategy

Customer experience quality management is a key focus area of the Bank's current Strategy, with 2024 marking the first year of our 2024–2026 strategic cycle. To achieve our ambitious quality goals, the Bank launched the Voice of Customer 2.0 project in 2024, uniting more than 30 Bank divisions and streams with over 80 IT development teams.

This comprehensive project will – for the first time – consolidate the customer's voice data across all interaction channels: call centre queries, branch visits, operator and bot chats, customer experience quality surveys, complaints, etc. Using proprietary machine learning models and AI capabilities, the Bank will analyse this unified customer voice, considering customer knowledge and complete service history, to provide Retail Business units and streams with real-time customer insights.

Additionally, the Bank plans to implement innovative feedback collection journeys through VTB Online and our website and accumulate the voice of employee data regarding customer-facing transactions in branches, call centre, and remote sales services, including delivery.

Rich analytics drawing on multi-channel customer voice data will be deployed based on a modern BI platform meeting import substitution requirements.

The project delivered its first tangible results in 2024, including initial ML models for automated complaint and claim analysis. The Bank expects to complete the majority of remaining initiatives in 2025.

~200

projects implemented
on the customer survey
service platform

1 000

reports
in the Customer
Knowledge Library

~26 thousand

employees involved in internal
service quality measurement
projects in 2024

1.5. Results overview

1.5.1. Financial review

Analysis of VTB Group's IFRS income statement

In 2024, VTB Group achieved a record net profit of RUB 551.4 billion, up 27.6% year-on-year. The Group solidified its position among the top banks in terms of profitability, reporting a return on equity of 22.9% in 2024 (up from 22.3% in 2023). Net operating income before provisions was RUB 1,072.8 billion in 2024 and RUB 302.5 billion in 4Q 2024, down 3.0% and up 27.0% year-on-year respectively.

551.4
RUB BILLION

record net profit

Key income statement indicators, RUB billion



Net interest income and net interest margin

487.2 $\downarrow 36.0\%$

RUB BILLION

net interest
income

1.7% $\downarrow 140 \text{ b.p.}$

net interest margin

The Group's net interest income totalled RUB 487.2 billion, down 36.0% vs 2023 and up 63.5% vs 2022.

The Group's net interest margin for 2024 stood at 1.7% (2023: 3.1%, 2022: 1.7%). Throughout the year, the Bank of Russia gradually increased its key rate, thus restraining the net interest income growth and putting pressure on our business margins.

Net interest margin momentum in 2024:

- 1Q 2024 – 2.2%
- 2Q 2024 – 1.9%
- 3Q 2024 – 1.8%
- 4Q 2024 – 0.8%

Net fee & commission income

269.0 $\uparrow 24.0\%$

RUB BILLION

net fee and commission
income

0.8% flat

net commission margin

The Group's net fee and commission income amounted to RUB 269.0 billion, up 24.0% vs 2023 and 82.1% vs 2022. It peaked in 4Q 2024, partly driven by positive effects from foreign exchange transactions and transaction fees related to cross-border payments.

Other operating income

In 2024, other operating income totalled RUB 316.6 billion, surging 148.7% year-on-year. The key factors behind this growth include transactions with financial instruments (RUB 242.5 billion) and FX gains (RUB 50.7 billion).

Provision charge

20.1 $\downarrow 89.3\%$

RUB BILLION

provision
charge

0.3% $\downarrow 60 \text{ b.p.}$

cost of risk

Provision charge for 2024 amounted to RUB 20.1 billion. The Group's cost of risk was 0.3%, down 60 b.p. as compared to 2023 due to the release of provisions in 4Q 2024.

Staff costs and administrative expenses

478.8 $\uparrow 19.6\%$

RUB BILLION

staff costs and
administrative expenses

44.6% $\uparrow 840 \text{ b.p.}$

CIR

At the end of 2024, the staff costs and administrative expenses reach RUB 478.8 billion, a 19.6% rise year-on-year, driven by strategic investments in technology and transformation, further expansion of the retail segment as per the Group's new Development Strategy, and recognising the expense base of Russian National Commercial Bank (RNCB) officially consolidated by VTB Group in March 2023.

The ratio of costs to net operating income before provisions came in at 44.6% in 2024 vs 36.2% in 2023.

Analysis of VTB Group's IFRS balance sheet

Assets

In 2024, VTB Group's assets grew by 22.8% to RUB 36.1 trillion. The total loan book before loan loss provisions amounted to RUB 23.8 trillion, up 13.2% over the year, or up 12.0% if adjusted for the effect of foreign currency revaluation.

Loans to individuals increased by 12.1% to RUB 7.8 trillion, loans to legal entities grew by 13.7% to RUB 15.9 trillion, or by 11.9% if adjusted for the effect of foreign currency revaluation. As at 31 December 2024, the share of retail in the Group's total loan book was 33% (compared to 33% as at 31 December 2023).

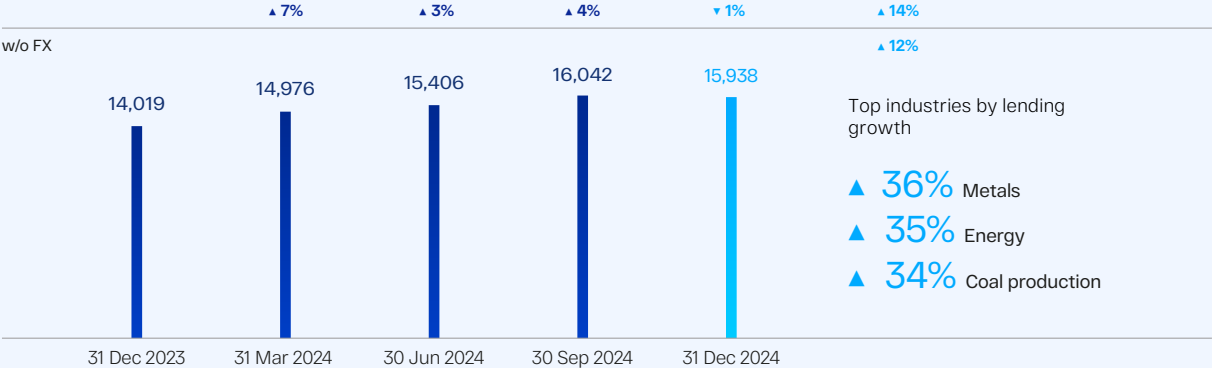
The mortgage market, like other segments, faced serious challenges in 2024. Despite this, the Group's mortgage loan portfolio delivered 9.8% growth coming in at RUB 4.7 trillion as of 31 December 2024.

36.1 **+23%**
In 2024
RUB TRILLION

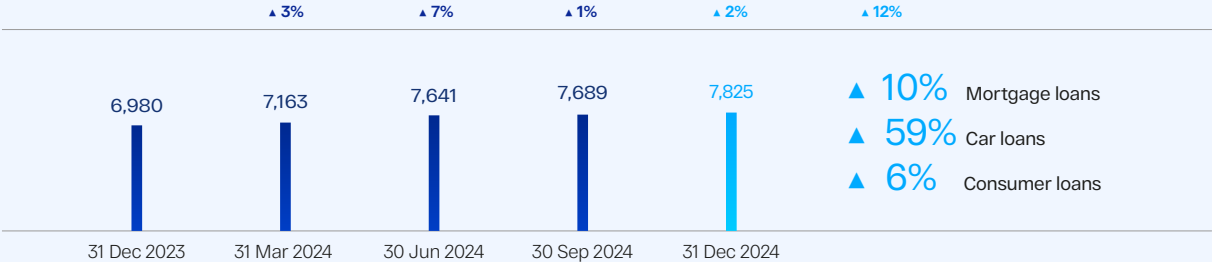
VTB Group's assets

Loan portfolio before provisions

Corporate business



Retail business

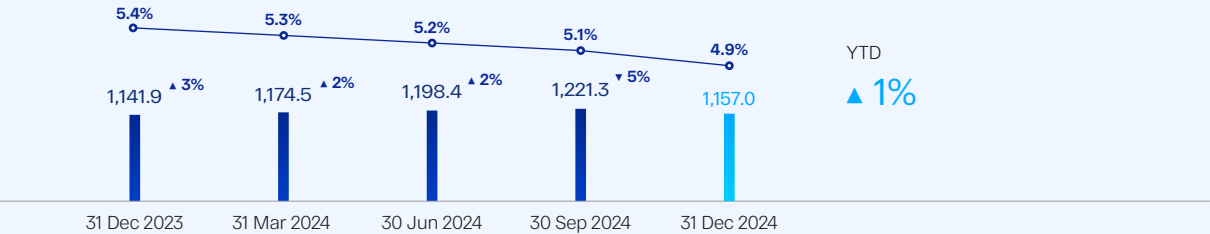


Asset quality

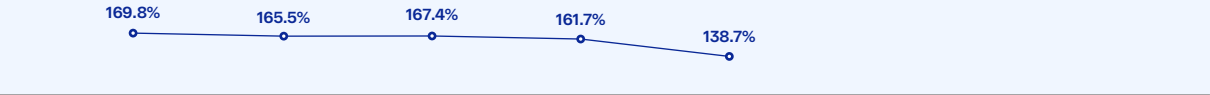
The share of non-performing loans (NPL) in the total loan portfolio increased by 30 b.p. to 3.5% year to date. The provision coverage of the total loan book was 4.9% (vs 5.4% as of 31 December 2023). The NPL coverage was 138.7% (vs 169.8% as of 31 December 2023).

Provision charge

Provision / loan portfolio

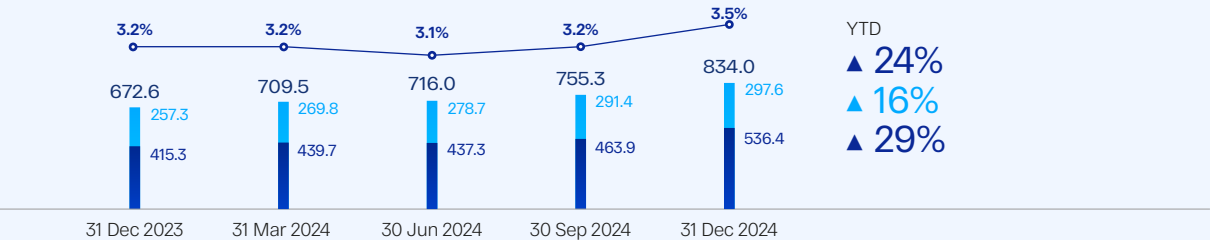


Coverage ratio



NPL (90+)

NPL ratio



Liabilities

As of 31 December 2024, the Group's total customer funding increased by 20.5% to RUB 26.9 trillion, or by 19.2% if adjusted for the effect of foreign currency revaluation.

Funding from legal entities grew by 9.2%, or by 7.6% if adjusted for the effect of foreign currency revaluation, amounting to RUB 13.9 trillion.

Funding from individuals saw a 35.5% rise to RUB 13.0 trillion, or by 34.7% if adjusted for the effect of foreign currency revaluation.

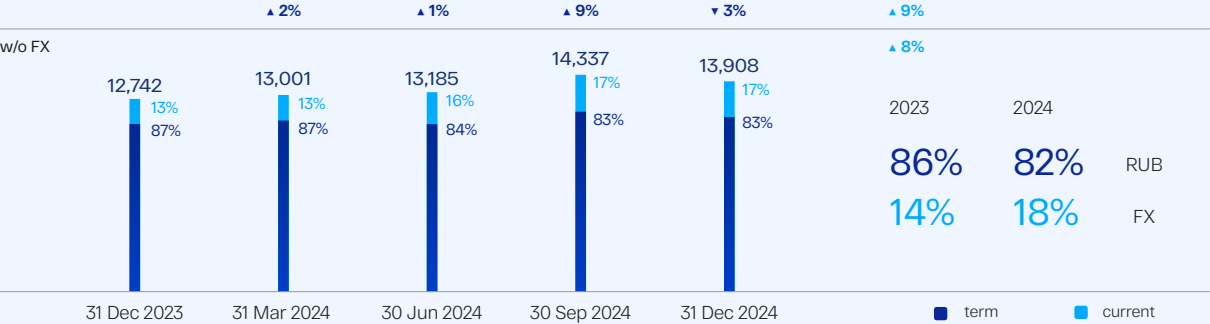
The loan-to-deposit ratio (LDR) was 84.0% as of 31 December 2024 compared to 88.9% as of 31 December 2023. The share of customer funding in the Group's total liabilities fell from 82.1% as of 31 December 2023 to 80.7% as of 31 December 2024.

Capital and capital adequacy under RAS

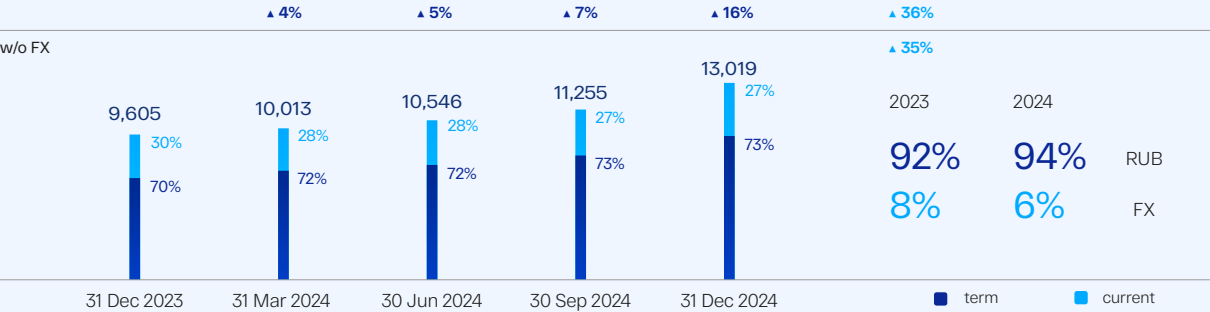
The Bank's capital adequacy ratios are at levels exceeding the regulatory minimums. As of 1 January 2025, the N20.0 ratio (total capital) was 9.1% (minimum allowable value, including buffers, – 8.255%), N20.1 (CET 1 capital) was 6.2% (minimum allowable value, including buffers, – 4.755%) and N20.2 (Tier 1 capital) was 8.1% (minimum allowable value, including buffers, – 6.255%).

Customer funding

Funding from legal entities



Funding from individuals



1.5.2. Corporate investment business

To provide efficient customer service, VTB Group's Corporate Investment Business (CIB) has in place customer relationship management units and product units. The service model in the Corporate Investment Business offers a tailored approach to each customer, reliance on sector-specific expertise, and the selection of banking products based on the industry landscape and customer needs.

Product units are structured in such a way as to meet the requirements of customers of all segments:

- Lending, leasing, and factoring services
- Transaction business
- Depository business
- Investment business
- Brokerage business

CIB customer financing

Thanks to the Bank's timely response to the external changes affecting the lending business, the Bank successfully navigated the key challenges posed by sanctions and showed robust results in 2024. By year-end, the loan portfolio expanded to RUB 11.8 trillion.

Since 2021, Corporate Investment Business has strategically reshaped its portfolio structure to strengthen key characteristics:

- the interest rate structure transformation – most of the portfolio now operates on floating rates, significantly reducing interest rate risk. Fixed-rate transactions comprise 16% of the portfolio;
- the currency structure was recalibrated, with transactions in unfriendly currencies accounting for only 5% in 2024.

The Bank worked hard to optimise its capital consumption and enhance loan portfolio quality through:

- the implementation of technological sovereignty and structural economic adaptation projects (taxonomy);
- continued deployment of the internal rating-based approach to assessing capital adequacy ratios across various business lines;

- collaboration with customers on rating acquisitions and other key initiatives.

These coordinated efforts yielded impressive results:

- cost of risk (CoR) of ca. 0.7%;
- non-performing loan ratio (NPL) of 1.1%;
- in our regular credit business, despite significant portfolio growth, RWA (risk-weighted assets) remained virtually unchanged in absolute terms, while relative RWA amounted to 53%.

Leasing

VTB Leasing ranks among Russia's premier leasing companies and leading market participants. It operates across 64 regions (adding the Republic of Crimea in 2024) spanning eight federal districts of the Russian Federation, and the Republic of Belarus. In 2024, the leasing portfolio gained 18% and reached RUB 1.1 trillion. The volume of new business amounted to RUB 272 billion in 2024. Key segments driving the company's leasing portfolio in the reporting year were railway transport, trucks, and passenger cars, as well as special-purpose machinery.

In the corporate segment, railway transport accounted for the largest share of VTB Leasing's portfolio in 2024. The leasing portfolio in this segment added 27%

to reach RUB 576 billion. In the railway equipment segment, VTB Leasing consistently holds leading positions and ranks first according to the Expert RA rating agency. The passenger car segment went up by 16.5%, special-purpose machinery by 10% and trucks by 2.84%. The Company signed over 38.9 thousand new contracts with customers in 2024.





Factoring

VTB Group is an innovation leader in the Russian factoring market, boasting the broadest product range for financing receivables and payables, as well as for inventory and finished goods warehouse management.

The Group's factoring line of business is operated by VTB Factoring and VTB Commercial Finance. Serving enterprises across all customer segments throughout Russia, including Crimea, the Group renders factoring services via remote channels and a network of representative offices.

The Group's strategic priority in the factoring segment is business efficiency and balanced portfolio growth, with a focus on new markets and products, and development of the SME offering. At year-end 2024, the volume of factoring financing disbursed exceeded RUB 770 billion for over 1,160 customers.

CIB transaction business

The Bank's transaction business comprises:

- trade finance (issuance, negotiation, and acceptance of guarantees, letters of credit, etc.);
- liquidity management products offering flexibility of financial flows while also cutting down operating expenses (account management, financing products, merchant acquiring, online banking and cash management services);
- banking support.

VTB Group provides and continuously improves a wide range of cash and liquidity management services for corporate customers. In 2024, VTB Bank introduced a number of new services aimed at improving customer experience and making existing technologies faster, more convenient and functional.

Digital rouble

VTB continues to take an active stance in the Bank of Russia's pioneering digital rouble initiatives. In addition to earlier successful piloting of digital accounts and retail payment acceptance, the Bank implemented digital rouble settlements between legal entities in 2024.

The VTB24 Business Online remote banking system

The Marksw Webb consulting agency ranked the VTB24 Business Online remote banking system

among the top digital banking platforms for large businesses. The system earned market leadership in seven out of 11 product categories, including system management and settings, integration solutions, rouble settlements, fund placement, payroll projects, and personnel management.

Over the past two years, the system underwent a remarkable transformation. The Bank focused on performance enhancements, which enabled processing of over 200 thousand payments in a single register. The Bank introduced an adaptive interface, interactive executive dashboards, electronic bank guarantees, B2B payments via the Faster Payments System, expanded corporate card functionality, and digital rouble capabilities. The Bank also revamped the product catalogue and landing page while actively developing the VTB Business Online CIB mobile app.

In 2024 the Bank introduced an efficient certificate requesting service in VTB24 Business Online. It helps large customers to obtain critical company account certificates remotely in a matter of a few minutes. By digitalising this routine process, the Bank saves considerable time for its customers. They can thus obtain certificates on account turnovers and balances (including with monthly breakdowns), confirmation of turnover absence or account restrictions, salary and social payment verification, transaction queue status, counterparty transaction records, etc. To request a certificate, customers need only tap on the relevant menu option and select their desired document. The service offers customisable parameters such as reporting period, number of copies, and delivery method (email or offline pick-up at a Bank office). Each electronic certificate carries the Bank's qualified signature and can be used in electronic document systems, including those of government agencies.

Universal payment QR code

VTB and the National Payment Card System (NSPK), pioneered the banking market's first universal payment QR code pilot project. The project was launched at checkout counters across several retail chains – the Bank's major customers.

This streamlined solution transforms the customer payment experience. Shoppers no longer face multiple QR code options at checkout – one code leads to various payment methods, including the Faster Payments System or the Bank's proprietary service. Importantly, banks retain full flexibility to offer tailored loyalty programmes and cashback based on customer preferences.



The universal QR code delivers dual benefits: faster transactions and enhanced transparency. Nowadays, retail customers often struggle to distinguish between Faster Payments System codes and bank-specific alternatives.

This solution also presents clear advantages for the financial sector and business owners making payments more convenient.

It is currently operating in pilot mode at checkout counters of major VTB retail customers. Going forward, the system will also support digital rouble payments for participants of the Bank's digital currency test programme.

VTB presented its universal QR code concept to the Bank of Russia at the Finopolis 2023 forum.

B2B payments via the Faster Payments System

In 2024, VTB successfully made its first outgoing B2B payment via the Faster Payments System. This new feature enables legal entities and individual entrepreneurs to conduct round-the-clock online settlements with near-instantaneous funds delivery to recipients' accounts. The service significantly expands business capabilities for partner and counterparty settlements, optimises cash flow, and reduces operational costs. B2B payments via the Faster Payments System are available across all Russian banks supporting the technology. VTB now offers this innovative service to all of its engaged customers.

Corporate cards in the mobile app

In 2024, VTB Business Online CIB, our mobile app for large businesses, introduced a new Corporate Cards section displaying all cards linked to business accounts.

This feature enables executives and financial controllers of VTB's large corporate customers to manage business cards remotely with exceptional security and ease. The Bank's corporate cards serve as versatile tools for handling daily company expenses and cash deposits without additional payment documentation.

The interface supports various filtering options: app users can select active or blocked cards, access transaction histories and card details. In addition, customers can initiate blocking or unblocking requests, as well as view and sign card applications. The app also features a chat with the Bank's customer support centre.

Issuance of electronic bank guarantees

In 2024, VTB rolled out electronic bank guarantees for large business segment customers. The new service enables corporate customers to process guarantees entirely digitally through the VTB24 Business Online remote banking system.

The implemented technology ensures a seamless guarantee issuance process with all stages fully digitised. Signing agreements and transaction documents, formation and sending of offers, and the actual issuance and receipt of guarantees by customers are all carried out electronically.

Previously, the Bank developed a digital framework for tax and customs guarantees for corporate customers.

Banking support

VTB's banking support service creates and manages payment infrastructure for participants in major construction, reconstruction, and supply projects. This service focuses on ensuring adherence to project timelines and budgets, protecting customer interests.

The year of 2024 saw remarkable growth in demand for VTB's banking support across key economic sectors, mainly driven by the Bank's technological excellence and extensive expertise.

By year-end, VTB's portfolio of contracts featuring bank support added a number of deals with industry leaders in oil and gas, energy, and shipbuilding. The Bank continues scaling this service on par with the country's expanding infrastructure development initiatives.

Other transactional services

Corporate Investment Business customers can also benefit from:

- online issuance of enhanced non-qualified electronic signatures via the Public Services portal for large business customers;
- extended operational hours (adding 30 minutes until 7:30 pm Moscow time), enabling internal transfers throughout the week, including non-working days.

Advanced payment services for public transport



Embracing the global digitalisation trend, the Bank continues implementing state-of-the-art payment technologies for public transport, boosting passenger convenience. In doing so, VTB prioritises variety, ease of use, and passenger comfort in its transport payment offering. Key innovations launched in 2024 include:

- integration of the Faster Payments System across Moscow's metro, ground and river transport networks;
- implementation of the virtual Troika card, providing Moscow transport passengers with a new contactless payment option that eliminates the need for plastic cards and counter ticket purchases. Passengers can now purchase tickets remotely without queuing and simply use their smartphones for travel.

Additionally, 2024 saw VTB and the St. Petersburg Metro embark on testing advanced biometric fare payment technology. This innovative system streamlines the passenger experience allowing turnstile access by glancing at the terminal. The contactless identification technology and reliable payment data storage system at VTB ensure both swift and secure transactions. The Bank is committed to support further implementation and roll-out of this service across the St. Petersburg Metro network in 2025.

Depository services

VTB Bank's Depository is one of the largest in Russia in terms of the number of customers and the value of assets in custody, and is among the Top 2 major Russian client depositories. It offers a wide range of depository services for securities and financial instruments, including accounting for rights to securities, settlement of securities and money between parties to transactions, and support for corporate actions and structured transactions. The Bank's Depository now has more than 4.6 million securities accounts.

Investment business

VTB Group consistently develops its traditional investment business offerings while strategically investing in innovative products and solutions. In 2024, the Group secured market leadership across numerous investment sectors:

- currency exchange transactions;
- precious metals trading;
- structured product issuance;

- securitisation transactions;
- derivative financial instruments for corporate customers.

Furthermore, VTB Capital Trading won second place in the 2024 arrangers ranking according to Cbonds.

In recent years, the Bank has witnessed growing investor and market interest in digital financial assets (DFAs) – an emerging business for both the broader market and VTB Group. In 2024, VTB Bank established itself as a major DFA market player, serving as both issuer and arranger. By year-end, the Bank ranked second among Russian peers by DFA issue volume according to Cbonds, with total issues reaching RUB 110 billion.

In December 2024, VTB Capital Trading was included in the Bank of Russia's register of information system operators, which will enable us to develop and use a proprietary infrastructure for DFA issuance and circulation.

Retail brokerage services

As at the end of 2024, the Group's brokerage business assets surpassed RUB 1.6 trillion (up 17% year-on-year), while the number of customers grew to 3.6 million (up 11%). VTB began widely offering brokerage services to legal entities in 2024.

In the reporting year, the Bank launched investment product sales via its retail branch network. VTB customers now enjoy omni-channel access to investment products – both digitally through the Internet bank and VTB My Investments (a dedicated investor app), and offline.



2024 featured intensified investment product promotion. VTB substantially expanded both volume and reach of its CRM campaigns and promotional activities. Throughout the year, investment offer coverage across the active customer base tripled, with over 35 million targeted offers sent to customers.

The Bank introduced compelling special offers and promos: enhanced-rate open-end mutual investment fund, WelcomeBonus, and Free Gold. They encouraged customers to open brokerage accounts while providing initial investment experience.

VTB My Investments launched FinCode, an educational platform for investors that attracted 44 thousand subscribers within its first two months of operation.

The 15th annual VTB Capital Russia Calling! Investment Forum featuring leading experts discussing market trends and investment future sparked great interest across the investment community. Over one thousand VTB brokerage customers attended it in person. Our customers also participated in regional events, as well as the med investment picnics and weekends.

VTB My Investments

mobile app is an investment platform
and the flagship product of VTB's
brokerage business



daily active users

>200 THOUSAND

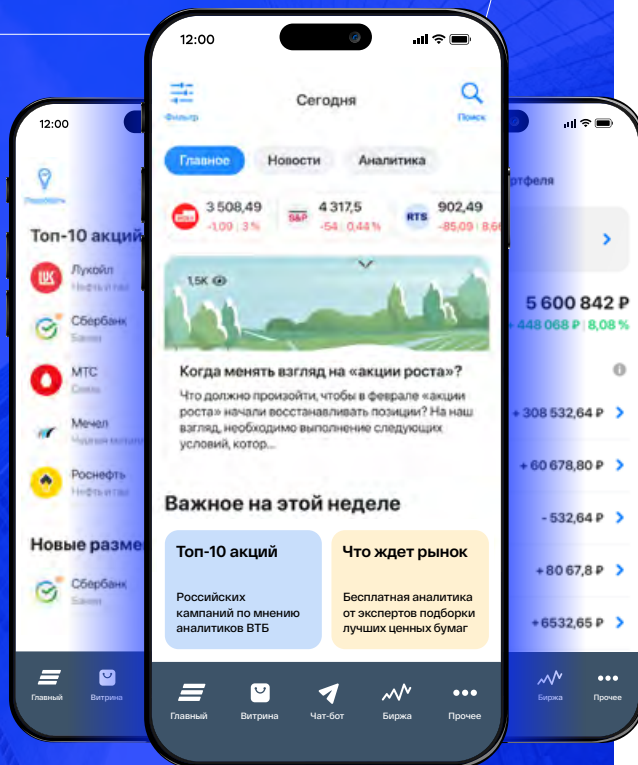
app's monthly
user base

>0.5^{+25%} MILLION

Broker clients
made

127^{totalling} MILLION TRANSACTIONS

RUB 16 trillion



The app offers customers the widest range of RUB and CNY-denominated placements in the market. In 2024, VTB My Investments customers became the first in the market to participate in corporate issuer actions directly through the app. This functionality enabled them to cast 859.6 million votes at shareholder meetings via the app.

In line with the Russian President's Decree No. 844 dated 8 November 2023 On Additional Temporary Economic Measures Related to the Circulation of International Securities, which permitted investors to sell frozen assets of up to RUB 100,000, our customers could submit digital applications in VTB My Investments. The app also enabled them to directly participate in Russian Government bond auctions.

The VTB My Investments placement platform stands as the Russian market's first and only mobile app offering retail customers comprehensive access to all placement types: pre-IPO/IPO/SPO, Russian Government bond auctions, VTB one-day bonds, all corporate and bank issues, high-yield bond issues, structured bonds, and bonds with structured income. In 2024, the platform facilitated over one thousand placements, processing 800 thousand applications and enabling customers to purchase securities worth RUB 2.5 trillion.

Thanks to the platform, VTB has maintained the share of individual customers in corporate bond turnover at 60% and regional bonds at approximately 40%. The platform users also enjoy access to the market's exclusive VTB one-day bonds.



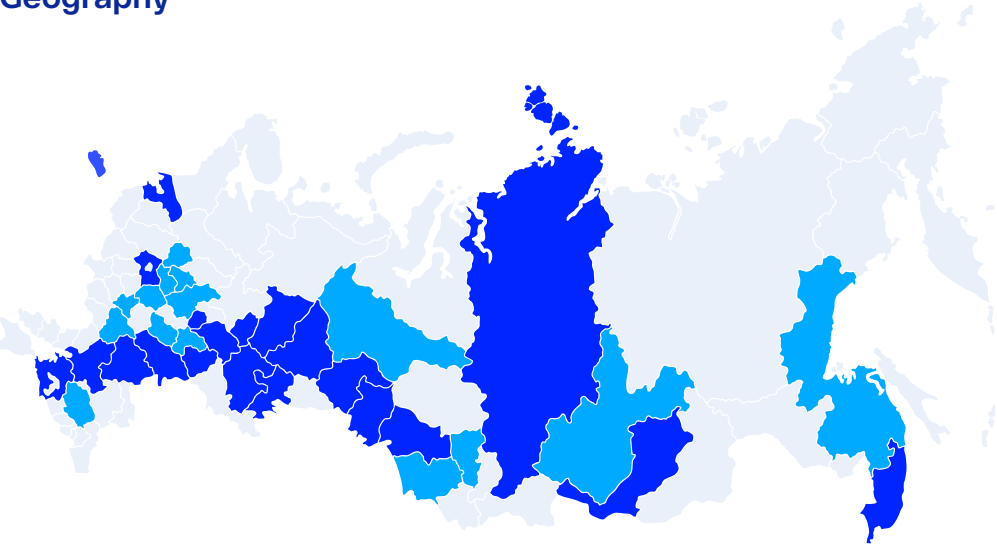
Awards received in 2024

- VTB Bank secured the prestigious Best Bond Market Company award in the Capital Market Elite contest.
- Frank Invest & Insurance Award 2024. VTB My Investments was recognised for offering the most advantageous brokerage rates for retail investors.
- Wealth Navigator Awards 2024. VTB My Investments Broker was named best investment company and VTB My Investments Advisory – best investment consulting service.
- Golden Website and Golden App 2023. VTB My Investments won in the Investment and Commerce category.
- Investfunds Awards 2023. VTB My Investments was named the best broker mobile app for 2023.

VTB investment advisory

VTB customers benefit from the country's most extensive network of investment consultants, spanning from Kaliningrad to Vladivostok.

Geography



2025
37 **+15**
CITIES

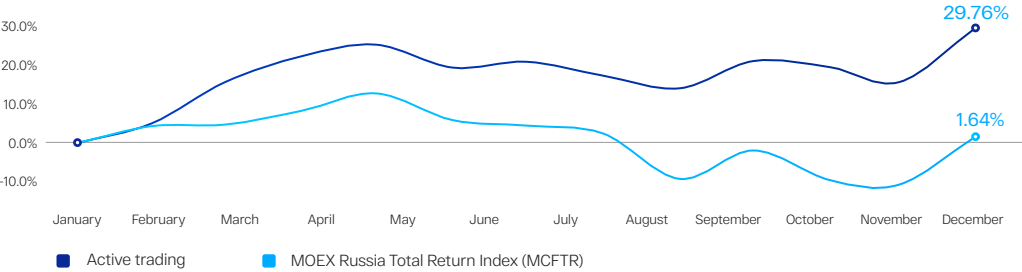
2024
22 CITIES

In 2024, assets under management (AUM) of customers using investment advisory services surged by 80% to RUB 209.5 billion, while the number of customers using the Advisory PRO service rose by 53%. Additional highlights include:

- 88% growth in assets under the Advisory PRO service;
- 26% increase in the robo-advisor's AUM.

Digital investment advisory services cover all customer segments: from robo-advisor for the mass market of the Retail Business to Advisory Lite for Privilege customers and Advisory Pro for Private Banking customers. These services help to stay in touch with customers 24/7 and increase the profitability of the customer portfolio. New customers can access the full investment advisory product range directly via VTB Online.

The Ultra-Conservative strategy prompted by the robo-advisor outperformed its benchmark by 4.1% while maintaining deposit-comparable risk levels. Meanwhile, the Advisory Pro. Active Trading strategy outperformed MOEX Russia Index by an impressive 28% in 2024.



In 2024, our customers benefited from the following products and services:

- the popular Investkopiika product became available nationwide through both branch networks and the Opening Deposits section on VTB Online. This solution enables investors to flexibly manage funds and place them for any term at a rate approximating the Bank of Russia's key rate – a benefit already recognised by over 150 thousand customers;
- seamless transition capability between VTB Online and VTB My Investments;
- enhanced functionality for open-end mutual investment funds on VTB Online:
- payment options for open-end mutual investment funds now include automated top-ups;
- implementation of redemption functionality for open-end mutual investment funds;
- in 2024, purchases of open-end mutual investment funds via VTB Online grew 6 times;
- implementation of IIA³-3 opening functionality. With over 60 thousand accounts already established, customers also convert existing IIA to IIA-3;
- weekend access to trading and brokerage account withdrawals.

1.5.3. Medium and Small Business

The Group's Medium and Small Business segment provides banking services to legal entities and individual entrepreneurs with annual revenues of up to RUB 25 billion. In Russia, VTB Group's banking business provides services to some 1.7 million companies and individual entrepreneurs.

In 2024, VTB showed growth across all key indicators. VTB's loan portfolio in the Medium and Small Business segment exceeded RUB 3.8 trillion, growing by 17%.

VTB is a leader in the deposit market for legal entities and individual entrepreneurs. Nearly half of all small and medium-sized businesses seeking term deposits use VTB products to generate additional income. This is confirmed by numerous awards received in 2024: Digital Leaders, 2024 Consumer Choice, Stolypin Financial Award, and Regional Development: the Best for Russia, as well as the results of independent monitoring of the small and medium-sized business deposit market by Frank RG, which recognised VTB's deposit offerings for having the "best terms for one-month deposits" and "prime terms for one-year deposits".

VTB's main goal is to evolve from a bank serving businesses into a full-fledged partner for companies

and entrepreneurs. The Bank places significant emphasis on working with small businesses, demonstrating its commitment to active growth in the segment. To foster the development of small and medium-sized businesses in 2024, VTB updated its product line, improved service terms across nearly all areas, and conducted a series of promotions and special events.

One of the key changes was the transition to a new service model, assigning a dedicated relationship manager – a personal financial and business advisor – to all customers, including small businesses. Additionally, for small and seasonal businesses, VTB launched a special service package called Simple Interest, allowing customers to pay only when their business is active. For businesses in the sales and services sector, the Bank introduced not only new services but also a range of attractive special offers, including waived commissions and service discounts.

Supporting and facilitating foreign trade also remains VTB's priority. In 2024, the Bank expanded the capabilities of its foreign trade digital ecosystem, customs services, and settlement tools, and continued to provide expert support to all customers at every stage of international transactions, regardless of their value, scale, or complexity.

New service model



During the year, VTB introduced a new service model,

assigning relationship managers to all customers regardless of turnover or tenure with the Bank. Having a personal relationship manager is crucial for enhancing the quality of banking services. Business owners have their manager's direct contact details; therefore, issues are resolved as quickly as possible, and customers enjoy a tailored approach and flexibility in choosing the time and format for consultations.

This is particularly important for start-ups that require individual attention. The relationship manager not only simplifies communication with the Bank but also supports the customer's business development. They understand the nature of the customer's industry and business processes. This is why they not only advise on the Bank's products and services and select the best service package, loan, deposit, payroll project, or merchant acquiring tariff, but also provide comprehensive support at all stages of operations. Despite increasing digitalisation and automation, surveys show that the human factor remains key in banking services.

Hence, there is a positive trend in satisfaction among Medium and Small Business customers served by relationship managers. VTB is a market leader in this indicator (according to ORO research).

The new sales model has won several prestigious awards:

- 2024 Consumer Choice (Customer Experience category, Transformation of the Year nomination);
- Stolypin Financial Award (Customer Focus: Best Practice nomination);
- Time of Innovations 2024 (Service Solution of the Year nomination, Small Business Support and Development category).

Launch of services in Crimea and new regions

In 2024, VTB began serving small and medium-sized businesses in Crimea and the new regions. In the autumn, the Bank launched a special range of service packages for entrepreneurs and companies registered in Crimea, the Donetsk and Lugansk People's Republics, and the Zaporozhye and Kherson regions.

The new regional line includes four service packages and two additional options, adapted to the needs and specifics of local businesses in terms of both the bundled banking products and services and their cost. The At the Start. South zero-fee tariff is suitable for companies with a monthly turnover starting from RUB 10,000. The Most Important of All. South tariff is designed for growing companies. All Inclusive. South tariff caters to actively developing businesses, while the Large Turnover. South tariff, maximising services offered, is ideal for large, high-turnover businesses. Each service package includes free rouble account opening and maintenance, access to the VTB Business Platform Internet bank and mobile app, unlimited intra-bank transfers, transfers from an individual entrepreneur's account to their personal accounts and cards, and much more.

Two special add-on options are available for all packages in this range to expand cash deposit capabilities at branches and ATMs: The Cash Plus. South and the Self-Service Cash Collection. South. Additional options from the nationwide product range are also available in these regions. These include Personal Transfers to increase limits on transfers to retail accounts and Payments+ for 50 additional monthly payments to customers of other banks. The Cash Withdrawal option increases the ATM cash withdrawal limit, while VTB Kassa allows customers to pay for a VTB POS terminal with online cash register functionality in instalments.

When signing up for the Most Important of All. South and All Inclusive. South service packages, customers receive a 50% discount on the monthly fee for the first six months of service. Savings are achievable through VTB's referral programme for small and medium-sized businesses, where customers can recommend the Bank to partners and receive a month of free service for each successful referral.

Furthermore, a promotional offer with special terms – the Welcome Offer for Customers of RNCB, Crimea and the New Territories of the Russian Federation – has been launched for RNCB Bank customers. This offer enables them to open a current account and subscribe to the Business Essentials, Most Important of All, All Inclusive, or Large Turnover service packages at a special price for 12 months.

Entrepreneurs in Lugansk and Melitopol can register their business and open a current account with VTB remotely, without visiting a Bank branch.

Self-employed customers

The Bank continues to actively engage with self-employed individuals, developing new services tailored to this customer category. To make registering and operating as self-employed easier, VTB introduced a service to assist non-residents with the registration process and ongoing compliance. As part of product development in 2024, new features included fast income registration from incoming payments and a unique function: automatic receipt generation for QR code payments.

Lending to Small and Medium-sized businesses

In 2024, the Bank observed stable demand for financing in the Medium and Small Business. Business owners sought funds for scaling up operations, import substitution initiatives, and infrastructure projects. This indicates that business activity has not only remained robust but has also benefited from additional opportunities for growth and ventures into new markets. Working capital and capex financing for the Medium and Small Business in 2024 were comparable to 2023 levels. In 2024, capex loans exceeded RUB 1.3 trillion, while working capital loans surpassed RUB 1.5 trillion.

By the end of 2024, the Bank's trade finance portfolio for SME customers hit a record RUB 843 billion, exceeding the previous year's figure by more than a third.

Express loans with online processing

To facilitate access to debt financing, even for non-customers, VTB introduced one-time scoring in 2024 for applications submitted to the Bank via a partner's website using an API (Application Programming Interface for secure data exchange between different services, applications, systems, and organisations). The volume of loans disbursed through such applications is on the rise.

Furthermore, the Bank unveiled express loans of up to RUB 30 million for individual entrepreneurs and up to RUB 50 million for limited liability companies.

Preferential lending under state support programmes

VTB remains a leading player in the lending market and an active participant in all major state business support programmes. As of the end of December 2024, VTB took part in 23 state programmes as part of its Medium and Small Business global business line. The number of active loan agreements between VTB and Medium and Small Business customers under state support programmes exceeded 12.8 thousand, with a total value of active agreements surpassing RUB 1.2 trillion. The loan portfolio of the Bank's Medium and Small Business global business line under preferential programmes amounted to over RUB 675 billion.

In 2024, the Bank continued lending under all major existing programmes and also began participating in new support measures.

For example, VTB launched a financing programme that is secured by intellectual property rights and supported by the Government of Moscow. Business owners can obtain loans of up to RUB 50 million at a preferential interest rate of up to 3.5% per annum. These are working capital loans issued for up to 36 months, for investment purposes, refinancing, and business development. Customers can opt for a one-off loan with a tailored repayment schedule or arrange revolving and non-revolving credit facilities. Loans are secured by the Moscow Small Business Credit Assistance Fund suretyship, providing collateral covering up to 95% of the principal amount.

To support businesses in border regions, VTB initiated financing under a special subsidised programme. This programme offers lending at a rate no higher than the key rate and is available to small and medium-sized businesses registered and operating in the Belgorod, Bryansk, and Kursk regions. Entrepreneurs and legal entities can receive up to RUB 30 million for both working capital and capex purposes. The preferential interest rate is valid for one year. These special terms apply to VTB's entire core range of credit products for entrepreneurs and legal entities. All loans are secured by an umbrella suretyship from SME Corporation with an enhanced coverage. Entrepreneurs in border regions can apply for loan repayment holidays and resort to debt restructuring services at VTB.

Also in 2024, VTB began lending to residents in the free economic zone in the Donetsk and Lugansk People's Republics, and the Zaporozhye and Kherson regions under a subsidised programme from the Territorial Development Fund and the VEB.RF suretyship programme. Medium and Small Business customers can receive up to RUB 5 billion for investment projects at a rate 10% below the market rate. VEB.RF provides a suretyship covering up to 70% of the outstanding loan amount for a term of up to 11 years. The programme was designed and approved to stimulate investment, promote economic recovery, and relaunch projects in key industrial sectors of the new regions. VTB was the first bank to enter into loan agreements under the Territorial Development Fund's subsidised programme.

The Bank continues to develop its own programmes for borrowers and reviews restructuring requests from small and medium-sized businesses on existing loan agreements.

Financing housing construction

In 2024, VTB Bank continued to finance housing construction under Federal Law No. 214-FZ On Participation in the Funding of Construction of Apartment Houses and Other Real Properties and Amendments to Certain Legal Acts of the Russian Federation dated 30 December 2004 using the escrow accounts mechanism. Back in 2019, VTB was among the first banks to actively engage in this business

following legislative changes, ultimately securing a leading position in the housing construction finance market.

As of the end of December 2024, the volume of funds held in escrow accounts opened at the Bank under agreements with small and medium-sized businesses reached RUB 496.3 billion, including RUB 468.9 billion under agreements financed by VTB.

Developing deposit products

In today's macroeconomic environment and amidst a high key rate, deposits have become an attractive instrument for generating additional income and fostering business growth. To ensure every small and medium-sized business customer can find the most suitable and profitable tool, VTB offers a wide range of deposit and savings products on favourable terms, along with special depositing conditions. Bank customers can select the optimal product and terms using an easy-to-use online calculator. Deposit management can also be handled online – topping up, extending the term, making partial withdrawals, closing deposits ahead of schedule, and changing payment details for maturity.

A streamlined process has been introduced for setting individual discounts on deposits from the standard funding rate, allowing flexible configuration of pricing conditions and limits for various products, customers, or customer groups. Apart from that, new customers

in the Medium and Small Business can now open deposits on special terms with higher interest rates. These enhanced rates are automatically displayed in the VTB Business Platform Internet bank or mobile app, with additional visualisation highlighting the personalised higher rate. For the segment's new customers, VTB offers enhanced deposit rates, adding 0.3 to 0.6 p.p. per annum to standard interest rates. In 2024 (since the option's launch in July), new customers opened over 10.5 thousand deposits with increased rates.

For greater customer convenience, an improved digital process was implemented for opening Business Piggy Bank savings accounts, which accrue interest on the balance and offer a special rate for new customers.

The Lite range, comprising two products – Overnight Lite and NSO Lite (minimum account balance) – remains available for small companies and novice entrepreneurs. These products allow placements starting from just RUB 50,000, compared to the standard minimum of RUB 1 million.

As a result, nearly half of all small and medium-sized businesses seeking term deposits use VTB products to generate additional income. By year-end, the term deposit portfolio for Medium and Small Business customers had grown by over a third. Entrepreneurs and companies in this segment conducted almost 7 million deposit transactions at the Bank, a 140% increase year-on-year. The segment's customers placed funds in deposits 1.5 times more frequently than in the previous year, with most preferring short-term deposits and utilising the one-business-day overnight option.

The Lite product line also proved popular with customers. The number of Overnight Lite deposit placements increased 9.5 times by the end of 2024 compared to the beginning of the year. For Auto-Overnight, the number of placements grew 3.4 times since the start of 2024. VTB customers also continued to actively place deposits in Chinese yuan. Since the beginning of 2024, small and medium-sized businesses increased their funds held in the Chinese currency fivefold; while the number of placements soared 18 times.

Beyond the financial indicators demonstrating the growing popularity of VTB's deposit and savings products, the Bank received numerous industry awards in 2024. Frank RG analysts, monitoring the small and medium-sized business deposit market, recognised VTB deposits as the best in two categories: "best terms for one-month deposits" and "prime terms for one-year deposits." Additionally, deposit products were named the Product of the Year at the Digital Leaders 2024 Awards, Banking Product of the Year at the 2024 Consumer Choice Awards, received the title "Best Programme for SMEs" in the Finance and Banking category at Stolypin Financial Award, and were recognised as Industry Leader in the Business and Service category at the Regional Development: the Best for Russia award.

Foreign trade

Supporting and developing foreign trade remains a key area of focus for the Bank. As part of the initiative to transform foreign trade products and services,

significant steps were taken in 2024 to automate FX control services. The customer experience for basic FX control products and transaction support within the Internet bank and mobile app was also tremendously improved. For greater convenience, the foreign trade digital ecosystem has been integrated into the mobile bank for the Medium and Small Business, enabling the submission of FX control documents, including contract registration, certificates of supporting documents, and information on FX transactions. The Bank has introduced new FX control solutions, including a service for the automated generation of certificates of FX supporting documents, a service for the recognition and digitalisation of FX control documents, functionality for automatic acceptance of FX control for payments under foreign trade contracts, and other services.

Importers and exporters gained access to new services for buying / selling currency and interacting with foreign counterparties via mobile and Internet banking, including:

- a unique opportunity to purchase currencies of friendly countries at rates closest to the market ("special offers on friendly country currencies");
- an automated process for buying / selling currency using borrowings;
- a service for buying / selling FX options to automate transaction confirmation between the bank and the customer, and a payment tracking service allowing real-time monitoring of foreign currency transfer status;

- an invoice generation service for importer and exporter customers to issue invoices for goods and services supplied or to prepare invoices on behalf of foreign partners, ensuring transaction documentation fully meets the requirements of the Federal Customs Service.

All foreign trade customers now have access to the Foreign Trade Monitor service, which provides notifications about customs declarations received by the Bank from the Federal Customs Service, incoming rouble payments, completed foreign currency payments, and relevant foreign trade news.

In 2024, the Bank continued to actively digitalise existing foreign trade consulting and customs services and create new ones. These services significantly simplify processes, enhance clarity, and improve the efficiency of customers' interactions with foreign partners while ensuring compliance with legislation, saving time and resources for business development.

- The capabilities of the Foreign Partner Verification service were expanded: express checks for companies from China became available within three hours, and the service's geographical coverage was extended to include verification for companies registered in India, Vietnam, and Iran.
- New services were introduced to provide support at all foreign trade stages: Legal Support for Foreign Trade, Document Translation Services, and Foreign Partner Search in China.

- The Bank launched a new Online Customs Declaration product, enabling customers to independently create and submit declarations to the Russian customs authorities via online banking channels.
- At the beginning of 2024, VTB waived the issuance fee for the virtual customs card for Medium and Small Business customers engaged in international business. The digital product retains its functionality and allows entrepreneurs to save time and money otherwise spent on paperwork and visits to the Bank's branches. It allows customers to make payments at the time of submitting the customs declaration without the need to advance funds and transfer reserve amounts to the account in case of changes in exchange rates and force majeure. The virtual card enables all types of customs payments to be made 24/7.

The Bank's foreign trade operations received several awards in 2024: a special nomination for Best Bank for Digital Foreign Trade Services at the Digital Leaders awards, Platform of the Year in the Business and Service category at the Development of Regions. Best for Russia awards, and Project of the Year at the Digital Leaders Retail & Service awards.

New cash management tools

In 2024, VTB focused not only on developing its product and service offerings for existing customers but also paid significant attention to the process of onboarding new customers.

For aspiring entrepreneurs, VTB offers a free business registration service where Bank employees prepare and remotely submit the necessary data to the Federal Tax Service (FTS). The entire process takes no more than 20 minutes for the customer. This saves not only time but also money, as using VTB's business registration service eliminates the need to pay the state duty. To make it even easier for customers who registered their business via the VTB service, the Bank implemented remote opening of their first current account.

VTB is also participating in piloting an FTS service that enables individuals, during the business registration stage, to select the bank where their account will subsequently be opened and connected to the online banking system. Immediately following registration, the bank automatically opens the account and activates services of the online banking system.

For potential customers – specifically, limited liability companies with a sole executive body, where the body is an existing retail customer with active VTB Online – the Bank implemented functionality for fully remote current account opening via the Prospective Customer Account. This complements the process for individual entrepreneurs.

In 2024, VTB expanded the geographical reach of its on-site account opening service to cover the entire country, including locations without Bank offices for Medium and Small Business customers. The on-site service is available to customers in over 2 thousand

locations across eight federal districts of Russia, including the Republic of Crimea.

To develop cash management for the segment, VTB introduced a new service package and special offers to customers in 2024.

At the beginning of the year, VTB launched the new Simple Interest service package, where the service fee depends on the volume of payments received on the current account. This approach benefits seasonal businesses with fluctuating activity patterns and small companies with annual turnover under RUB 5 million. With its clear fee structure, businesses only pay during active periods, helping them manage banking expenses more effectively. Key features of the package include unlimited transfers to other banks and within VTB, as well as an increased free monthly transfer limit of RUB 2 million to retail accounts.

In May 2024, to mark Russia's Entrepreneurs' Day, the Bank unveiled over 20 special offers. A promotion was launched to enable both existing Bank customers and those opening an account for the first time to access numerous products and services for free or at an additional discount. For example, new customers could open a current account and receive a 50% discount on servicing for 12 months on the Most Important of All and All Inclusive service packages, which are highly popular among entrepreneurs. To enable even small companies and novice entrepreneurs to generate additional income, the Bank offered them the Overnight Lite and NSO Lite products, allowing deposits starting

from just RUB 50,000 instead of the standard RUB 1 million (income accrues even on one-day deposits). For customers engaged in international business, VTB provided a personal foreign trade expert free of charge to support all stages of their transactions. During the promotion period, new and existing VTB customers could access business services on special terms – ranging from submitting reports to government authorities and travel automation services to comprehensive online accounting and obtaining a free licence for electronic document flow.

In November 2024, ahead of the peak New Year business season, VTB launched a special offer called Two Weeks of Super Discounts. When opening their first current account, new customers received a 50% discount on cash management services for 12 months, as well as improved deposit terms – increased rates with a premium of up to 0.6% added to standard terms. To receive the annual discount, customers simply needed to open an account and subscribe to the Most Important of All or All Inclusive service packages. Customers could also benefit from a 50% annual discount on the Payments+ add-on option, which increases the number of transfers to other banks included in the package. The Bank also provided bonuses for existing customers, offering members of the VTB Business League loyalty programme a discount on their active service package. Pro level members received a 30% discount on one month's service fee, Master level members received 50% off, and Legend level members received one month of service free of charge.

Transactional and operational processes

VTB continues its focus on making daily operations easier. New functions added in 2024 included enabling cash depositing with business cards across VTB Group's ATM network and introducing cardless cash deposits and withdrawals (using login/password or QR code) at VTB ATMs. For premium business cards in the segment, customers gained access to business lounges via the MIR Pass service, an enhanced cashback option on selected spending categories under the Rebate programme became available, and the Internet bank can now generate statements with advanced filters by spending category.

To offer more self-service cash collection options, VTB launched a new product for depositing cash revenue directly at the point of sale – the Cash Deposit Machine. The Bank installs the electronic device and provides one or more identifiers (logins) and passwords. Customers can deposit Russian roubles via the device with money being instantly credited to their VTB current account. This new product offers added convenience and speed when handling cash: lower cash collection costs, real-time reporting and revenue management thanks to 24/7 account top-ups, shorter cash gaps, prevention of internal and external cash theft, and automatic counting and banknote authentication.

As part of developing functionality for tools based on the Faster Payments System (FPS), services

for B2C and B2B transfers were launched in digital channels, including the deployment of B2B transfers within the Internet bank and mobile app.

Development of Specialised Accounts continued in 2024. New types of specialised accounts were integrated into digital channels: developer accounts, bankrupt developer accounts, and nominal accounts for guardians and caregivers (for operations under Federal Law No. 48-FZ⁴). In the mobile bank, Medium and Small Business customers gained access to information on account blockings by electronic trading platforms under Federal Law No. 44-FZ⁵, including grounds for blocking, and information on the status of supporting documents. Also, the Bank introduced a calculator for bidding stage timelines in the Internet bank under Federal Law No. 44-FZ and bidding results analytics.

Alongside other promotional campaigns, VTB offered special terms on transactional products and services.

For instance, ahead of the peak New Year season (in November) the Bank waived fees for accepting payments via the FPS QR codes until the end of January 2025. To start accepting zero-fee QR code payments, new customers could fill out an application on the website, open an account, and activate merchant acquiring services at a Bank branch. Existing VTB customers could apply to activate merchant acquiring and FPS services via the VTB Business Platform Internet bank or mobile app. Key advantages of accepting FPS

payments include low fees and savings on additional equipment, as QR codes with payment details can be displayed on a phone screen, printed and placed at the checkout, posted on a website, or sent via email or messenger. Funds are credited to the seller's account in real time.

For online stores, VTB launched a bundled promotional offer. Customers can activate a cloud-based VTB cash register at a discount and start using turnkey online acquiring services. Online acquiring can be activated free of charge and available via the Internet. Customers activating both products for the first time receive a one-off 10% discount on the cloud-based cash register for 1, 3, or 12 months. This solution, deployed jointly with First OFD, a fiscal data operator, allows businesses to quickly organise online payment acceptance with 24/7 technical support and access to sales analytics. The solution includes everything one might need for online sales via websites, apps, social media, or online stores in line with legal requirements.

For offline shops and seasonal businesses, VTB waived merchant acquiring fees for the entire summer season – special terms were valid for three months from service activation. The offer targeted new Medium and Small Business customers opening their first current account with the bank and included a zero fee subject to a total turnover of up to RUB 300,000 per month. Under the promotion, business owners could connect up to three POS terminals on special terms – an ideal offer for small seasonal businesses.

Developing business services

VTB not only offers the market's broadest range of banking products for SMEs but also continues to develop its marketplace of non-banking services and proprietary business solutions, revalling offerings from banking sector leaders.

In 2024, the Bank added new insurance products from Rosgosstrakh Insurance Company to the business services portfolio. The range of technological services was strengthened with telecom products from Rostelecom, as well as advanced domestic security solutions for information and digital services. Beyond product offerings, the focus in 2024 was on adding new features to the non-banking services platform. This enabled direct debit from customer accounts for service payments, automatic subscription renewals in digital sales channels, and customer sign-up for several services via the hotline of the Medium and Small Business contact centre. In 2024, the VTB Accounting for Business product became available for sign-up via the mobile app and network points of sale.

Closer to Business portal

VTB acts not only as a financial partner for businesses but also as an expert bank for starting and growing a business. One key initiative in this area is developing

the Closer to Business educational portal. In 2024, the portal team published over 300 articles, conducted 25 online events featuring Bank experts and guest speakers, and added 14 new business courses.

Also in 2024, the Closer to Business portal launched a Business Support Measures section and piloted the portal's business club:

- published details on 37 nationwide and 20 regional business support measures;
- conducted 48 online business case study sessions with entrepreneurs.

Over the year, the portal's traffic doubled, reaching 820 thousand unique users. On top of that, the Closer to Business portal gained recognition within the professional business community, winning three awards in the Education and Support for Small and Medium-Sized Business in Russia category.

⁴ Federal Law No. 48-FZ On Guardianship and Trusteeship dated 24 April 2008.
⁵ Federal Law of the Russian Federation No. 44-FZ On the Contract System of the Federal and Municipal Procurement of Goods, Works and Services dated 5 April 2013.

1.5.4. Retail business

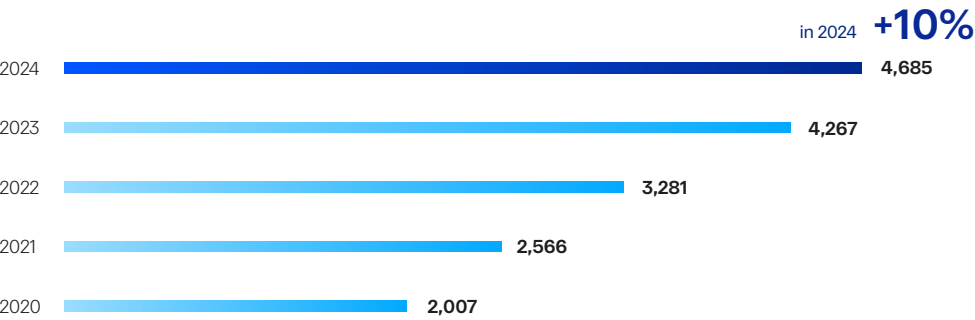
The Retail Business specialises in banking for individuals, providing a wide range of financial products and services that fully cover the needs of customers.

Retail lending

As of 31 December 2024, VTB Group's portfolio of loans to individuals was RUB 7.8 trillion, up 12% year-on-year. As of the end of 2024, mortgage loans accounted for 60% of total loan portfolio in retail business, consumer and other loans for 28%, car loans for 8%, and credit cards for 4%.

Mortgage lending

VTB Group's mortgage loan portfolio, RUB billion



VTB Group's mortgage loan portfolio increased by 10% to RUB 4.7 trillion in 2024. In the reporting period, borrowers took out around 199 thousand housing loans worth more than RUB 1 trillion (in 2023, the sales totalled RUB 1.5 trillion).

Key drivers of mortgage lending in 2024:

- Government support programmes. The Bank issued most of its mortgage loans (75% totalling RUB 756 billion) as part of preferential initiatives, while in 2023 their share accounted for 57%. In the reporting period, the most popular preferential programmes were Government Support – 2020 and Family Mortgage.
- Banks' joint programmes run with developers to subsidise mortgage propped the market up amid increased lending rates.
- VTB is a reliable partner of the government in support programmes. As part of preferential initiatives in 2024, the Bank issued:
 - 78.3 thousand loans worth RUB 466.4 billion under the government support programme for families with children, with mortgage loans granted at 6% per annum;
 - 6.1 thousand loans worth RUB 29.5 billion under the government support programme in the Far Eastern Federal District and Arctic zone (at 2%);
 - 39.9 thousand loans worth RUB 166.5 billion under the 2020 government support programme (at 8%, discontinued since 1 July 2024);
 - 9.6 thousand loans worth RUB 93.0 billion under the government support programme for IT profes-

sionals (at 6%). In 2024, VTB rose to the first place in issuing mortgage loans for IT professionals, with a share of 31.5%;

- 29 loans worth RUB 157.0 million under the mortgage programme for the new territories of Russia (at 2%);
- RUB 16.2 billion worth of loans under the private housing construction programmes in 2024.

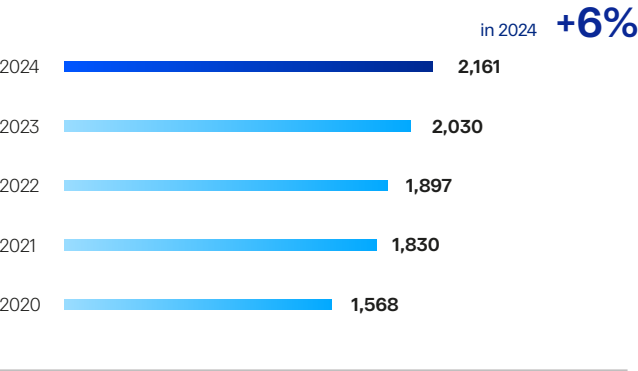
Mortgage borrowers could benefit from mortgage repayment holidays and holidays for participants of the Special Military Operation and their family members under Federal Law No. 377-FZ. In 2024, as part of expanding its support for borrowers the Bank introduced repayment holidays for borrowers affected by emergencies, counter-terrorism operations, or terrorist acts (customers who live or own mortgaged property in the affected areas were allowed to defer loan payments for up to six months).

In 2024, to expand regional lending coverage, the Bank launched new products and services:

- mortgage lending in new regions (the Republics of Crimea, Ingushetia, Kalmykia, Karachay-Cherkessia, and Tuva);
- lending for all residential housing, regardless of its size or year of construction;
- mortgage lending for self-employed individuals;
- lending for private housing construction using escrow accounts;
- mortgage programme for the new territories (covering Lugansk and Donetsk People's Republics and Kherson and Zaporozhye regions).

Consumer loans

VTB Group's consumer loan portfolio, RUB billion



In 2024, the Bank of Russia consistently tightened regulations of the consumer lending market to slow down retail lending and curb rising household debt levels.

Throughout 2024, the Bank of Russia repeatedly increased premiums on risk ratios and tightened macroprudential limits on unsecured consumer loans, thereby gradually imposing stricter restrictions for highly indebted borrowers. 1 July 2024 was the first time the regulator introduced premiums on risk ratios for consumer loans secured by vehicles. These premiums were raised on 1 November 2024.

Starting 1 July 2024, the moratorium on applying limits to the full cost of credit for consumer loans and certain types of borrowings was lifted, reducing banks' ability to offset risks through interest income.

The tightening of macroprudential requirements was accompanied by key rate hikes, which also contributed to the slowdown in lending activity. In 2024, the key rate rose from 16% to 21%, hitting an all-time high.

As of the end of 2024, VTB Group's consumer cash loan portfolio totalled RUB 2.2 trillion, up 6% year-on-year. The share of online sales exceeded 70%.

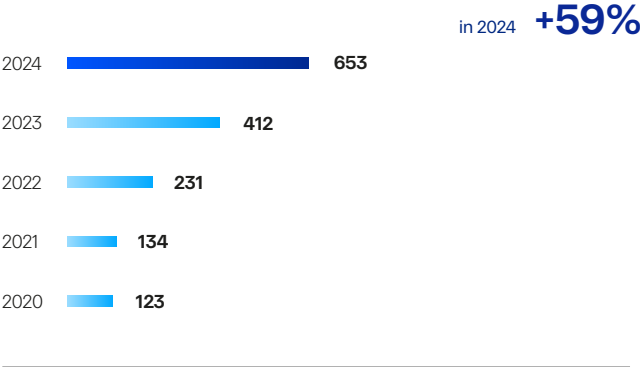
In 2024, VTB Bank expanded its regional lending coverage, launched new products, and continued to develop remote servicing channels by:

- launching lending in new Russian regions (Crimea, Sevastopol, Kherson and Zaporozhye regions, and Lugansk and Donetsk People's Republics);
- introducing loans secured by existing vehicle – an opportunity to obtain a loan on more favourable terms if the vehicle is pledged (reduced rate compared to the standard product, increased limit);
- launching loans with deferred collateral / external debt repayment – an opportunity to reduce the interest rate and payments under the loan agreement upon providing collateral / repaying existing external debt.

Car loans

VTB Group's car loan portfolio, RUB billion

VTB Group's car loan portfolio increased by 59% since the beginning of 2024, reaching RUB 652.6 billion by the end of the year. In total, VTB issued 369 thousand car loans worth over RUB 496 billion in 2024. The volume of car loans nearly doubled year-on-year, with their number increasing by 1.5 times.



In 2024, VTB continued to develop digital channels, launched new plans and participated in government support programmes in the car loan segment. In the reporting year, the Group issued more than 11.5 thousand government subsidised loans worth over RUB 9 billion. Under this programme, customers benefited from a 20% discount on the purchase of a new car (35% discount for buyers of electric vehicles). The programme is available to select categories of borrowers, including conscripts, volunteers and contracted military personnel participating in the Special Military Operation, as well as those members of their families who reside with them; healthcare and education workers; people with disabilities; and families with underage children residing in the Far Eastern Federal District and purchasing a vehicle (including electric vehicles) there. VTB actively responded to regulatory changes aimed at cooling the lending market through premiums on risk ratios in respect of credit claims effective from 1 July 2024 and interest accrued (accumulated) on RUB-denominated loans issued to individuals for non-business purposes and secured by motor vehicles. The premium range for loans with a debt ratio in excess of 50% was set at 0.7–2.0.

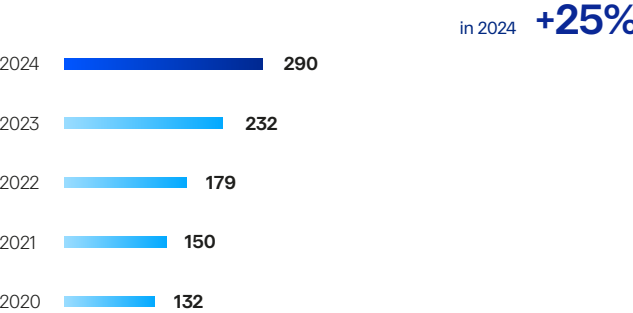
VTB also updated its car loan pricing model by incorporating discounts/ premiums adjusted for credit risks based on the customer's debt ratio

so as to offer fair personalised interest rates to customers subject to their credit profile limitations, while also addressing the Bank's increased risk exposure in pricing arrangements. Throughout the year, the Bank worked on refining its customer product offering, improving and expanding the terms and conditions on car loans, while keeping product risk indicators at an acceptable level. In 2024, car loans exceeded RUB 220.5 billion.

In the reporting year, VTB continued to win tenders held by carmakers and to strengthen its partnerships by launching special programmes with such brands as Geely, Knewstar, and Moskvich. The mix of issued car loans evolved over the year, with new cars accounting for 30% of all issuances by the end of 2024. This reflects stronger partnerships with Chinese manufacturers: in 1H 2024, VTB added Chery, Omoda, Jetour, Livan, Hisun, Dongfeng, and VGV to its partner list.

Credit cards

VTB Group's credit card, RUB billion



As of the end of 2024, VTB Group's credit card portfolio totalled RUB 290.2 billion, up 25% year-on-year.

In 2024, the Bank issued more than 2.4 million credit cards (up 42% year-on-year), with a transaction turnover of RUB 541 billion (up 23% year-on-year). This result was achieved through several initiatives, including:

- up to 25% Cashback Bonus Category, a campaign enabling customers to select an additional fifth cashback category exclusively for credit card purchases each month, which significantly increased the visibility of VTB credit cards in the customer's wallet and boosted transaction activity by over 10%. The campaign ran from 24 June to 31 December 2024;
- RUB 20,000 for Regular Spending, a campaign under which customers who spend at least RUB 20,000 per month using their credit cards receive cash rewards every four months, with the reward amount increasing over time. The campaign runs from September 2024 to September 2025;
- the onboarding of new partners offering credit card application and issuance services, including M.Video, MegaFon, Finfort, Finbox, Direct Credit, etc.;
- improvements to courier delivery of credit cards, such as a simplified application form, income verification options, and expanded courier delivery coverage with the addition of new cities;
- streamlined process to apply for credit cards via VTB Online, with the completion time reduced to just two minutes;
- introduction of an option to request credit limit increases via VTB Online for existing cardholders;
- simplified cross sales of credit cards alongside other lending products of the Bank, with the service time reduced by 9 minutes.

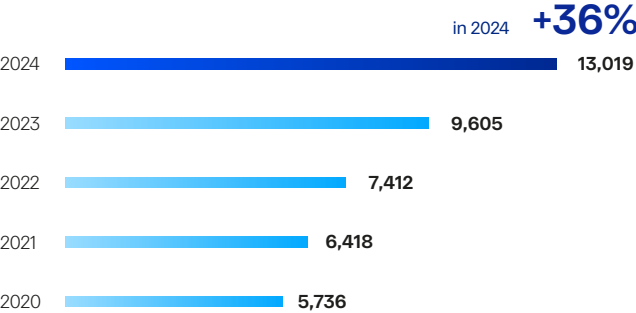
In 2024, VTB Bank also placed great emphasis on improving the customer experience:

- VTB Online introduced a dedicated section featuring relevant information for both new and existing credit cardholders;
- customers got an opportunity to order an additional credit card with express courier delivery within one hour, while also tracking the delivery status on VTB Online;
- the Bank launched a refreshed card and cardholder design.

The Bank also puts effort into streamlining and enhancing the customer journey to make the credit card application process as seamless and fast as possible. As a result, VTB won the Frank Credit Cards Award in the category for the Best Customer Journey in Credit Card Applications in 2024.

Customer funding

Deposits and accounts of individuals, RUB billion



>13 ^{+36%}
year-on-year
RUB TRILLION

VTB Group's retail deposits
and accounts in 2024

In 2024, VTB Group's retail deposits and accounts exceeded RUB 13 trillion, up 36% year-on-year. The structure of customer funding continues shifting towards term deposits. They are becoming increasingly popular among depositors seeking reliable ways to preserve and grow their wealth. High returns, predictability and security make this financial instrument especially attractive. The share of term deposits in total retail deposits of VTB Group as of 31 December 2024 was 73% compared to 70% at the end of 2023.

VTB Bank boasts the largest share of customer deposits in the Group. In 2024, more than 847 thousand new customers opened savings accounts and made deposits with the Bank. The total number of savings account holders with positive balances and customers making deposits reached 7.9 million.

Today, customers increasingly value a personalised approach to savings. In line with market trends, the Bank actively expanded its range of savings products in 2024. These include:

- VTB Deposit, a product offering an option to increase the applicable interest rate upon depositing new funds. Existing customers also receive a higher rate if they transfer their salary or pension to VTB. Segment-specific premiums allow the Bank to better meet the needs of different customer categories by

offering more attractive terms to pensioners and payroll customers. This personalised approach helps customers maximise their returns and makes the saving process more efficient and convenient;

- Key Deposit, a RUB-denominated VTB deposit linking yields to the Bank of Russia's key rate. It is available to the customers of Private Banking and holders of the Privilege service package. The deposits start from RUB 1 million and are opened for terms from six months to three years. Customers may opt for additional top-ups or top-ups combined with partial withdrawals up to a set minimum balance. This flexible product allows customers to manage their finances in line with the current market conditions and personal financial goals;
- VTB Savings Account with interest accrued on the minimum balance, with the possibility of getting extra bonuses for purchases made with VTB cards, as well as for customers who receive their salary or pension to an account with VTB;
- Double Benefit, a deposit offering higher interest rates for customers entering into long-term savings agreements with VTB Pension Fund for amounts starting from RUB 30,000.

VTB continued to enhance customer experience throughout the lifecycle of its savings products with a focus on maximising customer satisfaction and loyalty. The Bank achieves this by regularly analysing customer feedback and offering proactive value-added services. Key customer journey enhancement initiatives included:

- expanding the range of eligible transaction types for earning bonuses on the VTB savings accounts through the Faster Payments System transactions;
- adding convenient automatic top-up options for the VTB savings accounts such as a fixed percentage of salary or an automatic scheduled transfer. This service can be activated both online and in the Bank's offices;

- enabling customers to renew safe deposit box agreements remotely, without visiting an office;
- expanding the sales of gold bars at dedicated offices (Moscow and St. Petersburg);
- introducing a discount system for individual safe deposit boxes.

VTB also introduced a new savings tool – government-subsidised long-term savings programme from VTB Pension Fund, which allows customers to build personal capital through voluntary contributions, government co-financing, tax benefits, and investment returns and use it to address life's major challenges. The programme focuses on long-term investments and combines several sources of income:

- government co-financing of up to RUB 36,000 annually for the first three years, provided the customer contributes at least RUB 2,000 annually;
- tax deductions ranging from RUB 52,000 to RUB 60,000 annually, depending on the customer's income level;
- investment income (annual personal capital increases driven by investment income from VTB Pension Fund);
- unfreezing of pension savings, with customers given a chance to transfer pension assets frozen in 2014.

To help customers monitor earnings, the Bank enhanced digital tools in its mobile app and Internet bank. New features included deposit income projections, a modal window with a description of new funds, and an expanded deposit overview with a new Cash Order section.

VTB joined forces with partners to expand the range of investment-linked savings options, offering customers from the high-net-worth and premium segments unique solutions that combine expertise from both sides.

The Bank sees partnership as a key growth driver and looks forward to strengthening this collaboration.

- Specifically for VTB customers, Rosgosstrakh Life insurance company developed Planning for the Future, a long-term savings programme designed to help families build capital for children over a period of 10 years. For each annual contribution from the customer, the insurer adds up to 40% in additional income.
- Basis Active, an investment life insurance from Rosgosstrakh Life, gives customers an opportunity to invest in the Market Favourites index composed of Russia's most reliable shares, while also securing their initial capital in case of stock market downturns.

Customers can also access the new Smart Investments strategy under the Maximum investment life insurance product from SOGAZ-LIFE. The return of the strategy's underlying index depends on the performance of a basket of ten liquid Russian stocks dynamically selected from 23 companies across key sectors of the Russian economy based on the maximum price return.

Retail transaction business

In the POS + C2B segment of the transaction market, the share of Faster Payments System transactions increased to 6.8%, reversing the decline in VTB's market share that had continued since 2019. POS + C2B turnover rose 1.4 times year-on-year to reach RUB 4.3 trillion.



Debit cards

Debit cards remained the Bank's key customer acquisition tool, accounting for 60–70% of all new customers. In 2024, the Bank brought in 2.5 million new customers through debit cards and current accounts, marking a 1.5x increase year-on-year and beating the previous annual customer acquisition record set in 2023.

One of the key goals of the transaction business in 2024 was to attract transactionally active customers as the target audience using the Bank's services on a regular basis and showing interest in other products. In 2024, VTB grew its portfolio of target transactionally active customers to 8.6 million, demonstrating a 1.5-fold increase compared to December 2023.

The reporting year also saw strong growth in debit card sales through the online channel and courier delivery. Customers received a total of 2.4 million debit cards through the online channel, with 1.2 million cards delivered by courier (2.4 times more than in 2023).

To drive POS sales and attract new customers in 2024, the Bank launched several partnership projects. These included joint promotional campaigns with Yandex, offering discounts and cashback on such popular platforms as Yandex.Fuel, Yandex.Afisha, and Yandex.Travel. VTB also issued a co-branded card and the first co-branded sticker with Aeroflot, targeting customers in the Privilege and Prime categories.

Family bank

VTB became the first bank to offer customers benefits through family banking.

In 2024, the Bank launched the Family package enabling customers to build family groups and receive additional benefits. By December 2024, the number of additional cards issued for third parties and children had grown by 2.4 times compared to October 2024, with 753 thousand new customers acquired since the launch of the Family package.

VTB Plus subscription

Another key launch of October 2024 was the scaled rollout of the VTB Plus subscription, which enabled customers to choose extra cashback categories of up to 10% on their favourite Yandex services, two cashback categories for essential daily spending, 5% cashback on marketplaces, and one weekend cashback category, while also giving them access to free SMS notifications and a one-month free trial (under the Family package, the free trial is extended to two months). Additionally, customers with an active VTB Plus subscription benefit from a 1% bonus to the current interest rate on their VTB savings account.

VTB Pay

VTB Pay, the Bank's new payment solution, played a major role in achieving its 2024 target for the POS turnover share. In June 2024, the VTB Pay payment button was integrated into the Public Services platform, with more than 300 thousand monthly payments made through this service. On 27 November, VTB enabled smartphone payments at checkouts. In December alone, 206 thousand cards activated the VTB Pay option, with the POS turnover from the launch of the solution until the end of 2024 coming in at RUB 1 billion.

Payments

Payment services saw strong growth in 2024. In 2024, payments totalled RUB 3.9 trillion, including:

- utility bills – RUB 195 billion (up 57%);
- mobile communications – RUB 61 billion (up 39%);
- traffic fines – RUB 3.5 billion (up 53%);
- taxes – RUB 45 billion (up 119%);
- C2B payments via the Faster Payments System – RUB 429 billion (up 141%).

Net of the housing ecosystem services and loan repayments, payments to legal entities and C2B payments via the Faster Payments System grew 1.7 times compared to 2023.

Key payment initiatives launched in 2024 included:

- automatic payment suggestions by address for customers in Moscow and the Moscow Region. Based on their registered or residential address, customers receive tailored payment recommendations with the relevant account number from the service provider. This initiative helped acquire an additional 100 thousand users in the payments segment. In 2025, the service will become available in other Russian regions;
- an option to transfer payments from any bank.

Transfers

The market of cross-border transfers continued to grow in 2024. The number of such transfers increased sixfold year-on-year. In 2024, total cross-border transfers reached RUB 50.5 billion (up 35% year-on-year) and covered more than 100 countries, with regular customer transfers recorded in 56 of them.

Transfers to Tajikistan, Uzbekistan, Kyrgyzstan, Kazakhstan, Belarus, and China showed the highest growth in terms of both numbers and fee and commission income. VTB offers some of the most competitive exchange rates for transfers to Kazakhstan, Armenia, and Azerbaijan, including transfers to national and international cards.

Outgoing transfers in Russia reached RUB 37 trillion in 2024, up 1.7 times from the previous year. Key growth drivers included the enactment of Federal Law No. 482-FZ on 1 May 2024, which allows customers to transfer up to RUB 30 million per month to their accounts at other banks without incurring fees and commissions. Given the rising key rate of the Bank of Russia and intensified competition between banks for customer funds, the market of transfers via the Faster Payments System saw a 2.8x increase in 2024 to reach RUB 8.3 trillion.

Intra-VTB transfers doubled to RUB 3.3 trillion in the reporting year, highlighting our growing role as the bank of choice for customers.

MULTIBONUS 2024

Loyalty programme

RUB **36.4** BILLION

cashback accruals in 2024

x **2.2**

Y2Y increase in cashback
payouts

+112 %

Expansion in cashback category
selection (May vs Dec. 2024)

+29 %

Y2Y growth in POS turnover
per loyalty programme member
(Dec. 2023 vs Dec. 2024)

70 THOUSAND

Number of customer microsegments
with customised cashback categories

Multibonus loyalty programme

Loyalty programmes have become a vital tool for each bank to retain its customers and drive POS sales. In May 2024, VTB Bank overhauled its loyalty programme, turning it into one of the strongest offers on the market:

- under the new concept, cashback is paid out in roubles and showcased alongside other products and transactions in a dedicated section of the main VTB app, which replaced the previous separate app;
- fixed cashback categories were eliminated. Customers now choose their own cashback categories each month, based on their needs and spending habits. The Bank update each customer's cashback options monthly using their transaction behaviour and the amount of savings;
- cashback payouts have become more transparent, with roubles credited to the customer's account without any extra conditions or fees.

In 2024, 60% of active customers were selecting their cashback categories. Since the relaunch in May, this indicator has increased by 80%. VTB offered customised cashback deals across a base of over 70 thousand microsegments.

Supermarket and pharmacy purchases delivered the highest cashback payouts in 2024. Other top five categories included clothing and footwear, cafés and restaurants, and the universal All Purchases category.

VTB Online



In 2024, VTB Online received a significantly higher score in the Markswebb ranking, with the Android app climbing two spots compared to the previous year. Over 14 million customers now use the Android app, which ranks among the top banking applications in the app stores.

VTB Online is the key channel for servicing VTB Bank's retail customers. It accounts for 52% of all transactions made by retail customers. Over the year, the number of active users of VTB Online increased by 6.9 million to 24.6 million, with 21 million, or 85% of active customers, signing in and performing actions online at least once a month.

The web version of VTB Online attracts 6.9 million monthly users. It is fully optimised for mobile browsers and offers such features as Face ID and Touch ID for quick access, integration with the address book for transfers, push notifications, and access to the camera for QR code payments. These enhancements have made the web version a viable alternative to the mobile app.

Development of special segments

Payroll customers

In 2024, VTB was recognised as Russia's best payroll bank by Frank RG. In 2024, VTB had 9.4 million payroll customers at 236 thousand companies. During the year, their number increased by more than 1.5 million customers, which was a record high growth for any given year. Total transactions to pay salaries rose by 35% to exceed RUB 7.3 trillion.

In 2024, VTB relaunched its payroll project, offering customers more attractive terms. The Bank added free transactional services, including SMS and push notifications, cash withdrawals at any ATM, and money transfers of up to RUB 1 million to customers of other banks. Payroll customers also gained exclusive access to select products and services, including additional cashback categories of their choice, credit discounts, and premiums on savings products. For customers in the IT and public sectors, the Bank developed customised tariffs unlocking access to the most relevant product advantages.

9.4 **+1.5 million**
MILLION **year-on-year**
payroll customers

To attract new customers, the Bank introduced a referral programme with an increased bonus of RUB 3,000 per new customer, which helped bring in an additional 303 thousand payroll customers in 2024.

VTB also continues to enhance customer experience for corporates, creating technology solutions that make their interaction with the Bank even more convenient, attractive, and easy. As part of the efforts to integrate the client base of Otkritie Bank, VTB implemented a business plan to migrate both retail and corporate customers to its payroll service, attracting over 700 thousand additional customers.

Pensioners

By the end of 2024, total pension payments exceeded RUB 530 billion.

In 2024, VTB implemented a number of initiatives to support its customers who use VTB cards to receive pension payments:

- all pensioner customers could choose the Pharmacies loyalty category with a cashback of 5%, with 540 thousand pensioners taking advantage of this benefit;
- a 2% bonus was added to the welcome rate on savings accounts, with 83 thousand customers capitalising on this opportunity;
- referral programme with cash rewards: as of the end of 2024, applications to have their pension payments

transferred to VTB cards under this programme were submitted by nearly 400 thousand customers;

- military pension recipients were offered an opportunity to take part in a special promotion and earn RUB 3,000, with 21 thousand customers joining the initiative;
- the Bank launched a family promotion, allowing a pensioner and their close relative to receive benefits such as a 3% bonus to the interest rate on deposits / savings accounts, a 3% discount to the interest rate on car / cash loans, or a 3% add-on to cashback on all purchases. Almost 100 thousand customers took advantage of this offer.

2.6
MILLION
CUSTOMERS

use VTB cards to receive
pension payments

Public services recipients

In 2024, average social benefits credited to individuals' accounts with the Bank increased by 85% to reach RUB 15.4 billion. The number of customers receiving government allowances for military personnel, medical workers, children and others rose by 40% year-on-year to 1.1 million.

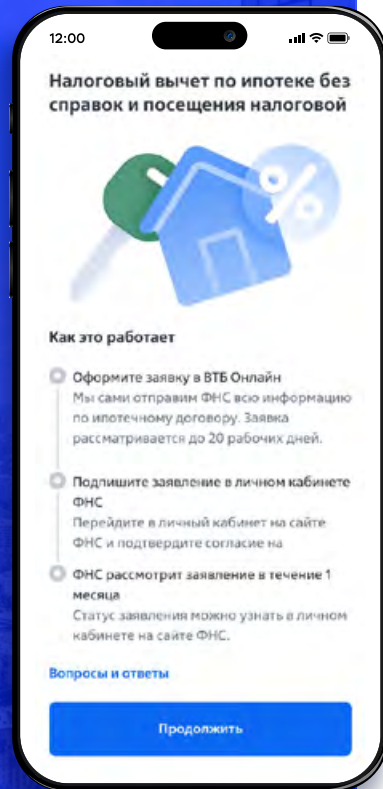


VTB IS
AN ACTIVE MEMBER
OF THE PUBLIC
SOCIAL CARE
SYSTEM

15.4 **+85%**
RUB BILLION **in 2024**

average monthly social
benefits credited
in 2024

The Bank continues to enhance its services to make government support more accessible to people. Our customers can now learn more about available benefits, submit relevant applications, and receive updates from government agencies.



VTB was the first Russian bank to offer its customers an online tax credit for their property, with this service growing in popularity each year. The entire process is done remotely, with no need for customers to provide documents in paper form, fill in a 3-NDFL tax return, or visit the Bank's office or tax inspectorate. As many as 20% of the Bank's mortgage borrowers that have taken out a mortgage loan since 2020 have already made use of the service for simplified property tax refund. In 2024, VTB customers had over RUB 8.5 billion of taxes refunded to their accounts with the Bank. The average time from application to a refund credited to the customer's account is down to 37 days instead of four months for applications filed conventionally at the Federal Tax Service.

Another useful tool launched at the end of 2023 is the Social Calculator designed to help navigate a wide range of government support measures. In just two minutes, customers can get all information about federal-level allowances for children that their family is eligible for, and immediately apply for some of them. Account details for having allowances credited to customers are filled in automatically to avoid errors and reduce the time required to complete the application. In 2024, more than 1 million customers of the Bank made use of the Social Calculator, with 46% of them finding government support measures that they were eligible for. Nearly 190 thousand people completed the application process and started receiving benefit payments to their VTB cards.

Starting September 2024, the service is available to all Russians (not just VTB customers), with nearly 290 thousand people using it to check for eligible child benefits in the reporting year.

One of the most important measures of social support for families with children is the maternity capital programme of subsidies. 80% of the families that receive it use the money to improve their housing conditions. VTB made this process easier for its customers: allocating the subsidy money towards mortgage repayment now takes just a few clicks, with no need to submit documents in paper format or leave home, and the process is now twice as fast. Today, 96% of applications for early repayments of mortgage loans using maternity capital money are filed online. In 2024, customers submitted approximately 40 thousand applications and transferred around RUB 20 million in maternity capital through VTB's service. Nearly 19% of the Bank's mortgage loans issued in 2024 involved maternity capital.

To make sure that customers do not miss out on important updates from government agencies, VTB launched a service for notifications from state authorities in 2024. Over the year, customers received more than 2.4 million messages on the status of their benefit payments, available support measures, and other critical updates from government bodies.

In 2024, VTB Online's Allowances and Payments service added a feature that allows customers to view statistics on the receipt of social benefits to their VTB accounts over a selected period of time.

All customers who receive federal allowances for children to their VTB Mir cards can enable a free of charge insurance plan for children's critical illnesses. The policy applies to all customers' children aged under 18 and covers heart and cancer diseases, including finding the bone marrow donor, paying for the transplantation surgery, obtaining the right medications, and reimbursing associated costs. It is unique and stands out from other products available in the market as it also covers children suffering from congenital heart diseases. Last year, insured customers also gained access to 24 online consultations with specialist doctors for children and adults, while also having an opportunity to hear the second medical opinion.

In fulfilling its social mission, the Bank actively contributed to a federal initiative to support expectant mothers and children in 2024. Five regions across the country launched a remote health monitoring programme for pregnant women. As part of the project, expectant mothers can receive medical devices that transmit real-time health data subject to relevant prescriptions. The devices include digital blood pressure monitors, glucose meters and cardiotocographs. All the collected data is recorded in a mobile app, which also features regular surveys to track the mother's well-being.

In addition to health monitoring, pregnant women can access online consultations with specialist doctors and benefit from free insurance that covers pregnancy complications or critical child illnesses. All these services are available free of charge under VTB's Support Programme for Expectant Mothers and Children. To enrol in the programme, a woman must be a VTB customer and receive antenatal care at a participating maternity clinic. To extend the benefits after the baby is born, she must arrange to receive child benefits via a VTB Mir card.

This project helps to improve access to medical care for pregnant women, reduce illness and mortality rates during pregnancy, and mitigate the risk of premature birth.

Branch network and self-service terminals

As part of its Development Strategy, the Bank continued to expand its regional footprint and increase the number of ATMs in high-traffic areas.

In 2024, VTB launched operations in seven new regions, opened branches in 73 new towns and cities, and increased the total number of offices by 25% to 1,6 thousand. VTB branches serve more than 120 thousand people on a daily basis.

The Bank focused on creating a comfortable customer environment, with VTB offices featuring multimedia displays and waiting areas with playgrounds for children to cater for the needs of families.

One of the key priorities for 2024 was the active development of on-site sales channels. VTB made product delivery available to 121.9 million people across 4.6 thousand communities, with express one-hour delivery introduced in major cities. The Bank continues to develop its own delivery infrastructure by setting up dedicated logistics centres for on-site sales staff. These hubs improve transport accessibility, increase delivery speed, and support centralised document management, coordination, and trip monitoring. As a result of these efforts, VTB increased sales through its on-site channel more than fivefold.

In 2024, the following initiatives were implemented to make the use of VTB's ATMs more convenient:

- VTB started providing its ATMs at shopping malls, railway stations, and other locations with heavy customer traffic. To stand out from peers, the Bank revamped the design of its ATMs. More of them are now available in the Moscow Metro, with 371 ATMs installed at 235 stations. To make it easier for customers to locate ATMs, VTB enhanced the functionality of its ATM map in VTB Online and on the Bank's website. In 2024, the Bank installed more than 3.9 thousand state-of-the-art ATMs;
- the Bank completed the migration of Otkritie Bank's ATMs;
- cash deposits and withdrawals have been made easier: 91% of our ATMs have NFC modules, enabling faster transactions through tapping of a card or payment stickers (for customers who are iOS users). Also, iOS users can withdraw cash without their card by using a QR code generated in the VTB Online app;
- VTB ATMs are brand ambassadors. In 2024, VTB launched Kaleidoscope of ATMs, an image-building project seeking to install ATMs in major transport hubs and iconic locations across Russia such as airports, railway stations, cultural, historical and tourist hotspots. The design of ATMs is based on the visual identity and cultural code of each city, featuring recognisable sites and historical landmarks to introduce users to the city's history. In 2024, the Bank installed ATMs in Moscow, St. Petersburg, Kazan, Samara, Tula and Ufa. Several dozen more uniquely designed

ATMs are planned to be put in place in major cities of operation in 2025–2026;

- VTB won two prizes in the special CX Award – Service Quality nomination of the 2024 Retail Finance Awards for its Unconventional ATMs and Voice Support for Online Customers projects. The Bank also received the Time of Innovations 2024 award in the Import Substitution: Product of the Year category for Innovations in Self-Service Terminals of VTB Bank;
- The Bank introduced an innovative customised interface, enabling ATMs to greet customers by name, wish them a happy birthday, display personalised offers, and manage their banking products directly through the terminal;
- ATMs have become a channel for selling retail banking products and completing service operations. Customers can now use VTB ATMs to open savings products and access services (confirming a trusted phone number, granting consent to the credit history bureau, agreeing to receive marketing communications, unlocking accounts, and more).

General product services

In 2024, the Customer Care Division focused on enhancing the customer experience and improving the quality, flexibility, and efficiency of retail processes, with innovative solutions implemented to significantly simplify customer interactions with the Bank, ensure a high level of digital service delivery, and strengthen customer loyalty.

Key achievements

Digitalisation of banking workflow

The Bank introduced an enhanced qualified electronic signature technology for digital certificates on VTB Online, bringing the Bank close to 100% certificate digitalisation. Customers can now obtain legally binding documents without visiting an office, which saves them time and helps get the documents they need in just a few minutes.

Improvements in the management of customer requests

The Bank created an innovative system for managing customer requests designed to ensure their prompt consideration and fast response times. The Bank also introduced an online settlement mechanism, which allows most customers to have their issues resolved at the time of submitting the request and thus significantly improves satisfaction levels.

Improved flexibility of banking products

VTB developed solutions that significantly accelerate updates of the banking product's terms and conditions, and enable customisation to meet the needs of different customer segments. Moreover, an expanded toolkit was put in place to improve communication of bank offers to customers and help them make more informed financial decisions.

Optimisation of banking workflow

The Bank upgraded our banking workflow management system, significantly reducing the time required to generate and process documents during transactions. The Bank also implemented a set of measures to improve the reliability and accessibility of printed forms and eliminate errors and inaccuracies in banking documents.

These initiatives significantly enhanced service quality and improved the efficiency of customer interactions in line with VTB's strategy to deliver the best customer experience in the Russian financial market.

Digital platform 2024

2024 was a year of transformation, as VTB began building the digital platform of the future – an intelligent, responsive and value-driven system with a strong customer-centric focus. The digital platform has evolved beyond a simple interaction tool into a full-fledged ecosystem offering personalised customer experiences. It successfully minimised intrusive communications by tailoring them to customer context and needs, while also reducing the churn by 0.8 p.p. year-on-year.

The key drivers of the platform's success in expanding the customer base were:

- successful personalised migration of Otkritie Bank's customers;
- introduction of family bondage mechanics, which helped segment 2.8 million customers into stable family groups;

- implementation of referral mechanics;
- engagement of new customers in the segment of savings products;
- rollout of more than 400 CRM campaigns (large-scale marketing initiatives aimed at customer acquisition and retention).

In May 2024, the Bank launched a unique online engine to calculate personalised loan offers based on the customer's behaviour and credit needs. It now takes just 30 seconds to generate a pre-approved credit product.

Insurance and related services

Bundled insurance products

In 2024, VTB and its partners developed and launched several new bundled insurance products:

- Travel Insurance on VTB Online – this programme covers medical expenses and reimburses costs related to flight cancellations, lost luggage, visa rejections or delays and other emergencies for travellers in Russia and abroad. Customers can take out a policy for themselves or for a group of up to six people for a term of up to 90 days or a full year with an unlimited number of trips;
- Pet Protection on VTB Online – this programme provides online consultations with specialised vets and reimburses costs for treating pet injuries or

illnesses, including tick bites. Customers can insure cats, dogs, ferrets, mini pigs, and snakes;

- Real Estate Advisor – a digital service for resolving housing-related issues ranging from contractor checks to the final inspection of a property.

VTB also improved its existing bundled insurance products:

- Loan Assistant – a service product designed to help customers adjust their credit history and improve their credit score. The Bank launched new RUB 5,000 and RUB 10,000 plans, with the product now available via VTB Online;
- SportsCover on VTB Online – this programme by Rosgosstrakh Insurance Company offers payouts in the event of accidents (injury, hospitalisation, disability, or death) and is suitable for everyday life and sports activities. For greater customer convenience, the Bank introduced the Calendar tool, which enables users to choose their preferred insurance period and set a future start date. Customers can choose a coverage period from 7 days to one year, with the start date selectable from the day after payment to up to 60 days in advance.

Insurance and related services for car owners

Key achievements in services for car owners in 2024:

- more than 360 thousand car owners used VTB Bank's Roadside Assistance service, including

Prime and Privilege customers. Specifically for its customers, the Bank expanded the service coverage, with more than 20 cities and towns added, including locations in the North Caucasus, Crimea and new regions of the Russian Federation. Starting December 2024, customers can access 24/7 Legal Support and authorise professional lawyers to handle negotiations on their behalf;

- over 38 thousand life insurance policies were issued to car owners, with coverage expanded to include new regions of Russia and Crimea;
- the Bank upgraded the VHI for Car Accidents product, with the coverage limit increased to RUB 1.6 million and new services added (medical check-ups and the Fitmost beauty and wellness service). In 2024, the Bank issued more than 32 thousand VHI policies under this programme;
- for customers taking out car loans, VTB Bank introduced an additional product – the Car Owner card offering better loan terms (reduced monthly payments, lower interest rates, and less overpayment) and a number of services for car owners (Roadside Assistance, Legal Support). In 2024, VTB issued 135 thousand Car Owner cards, marking a 2.5-fold increase compared to 2023.

The team of insurance and related services places particular emphasis on the quality of customer experience. Thanks to new customer satisfaction monitoring and improvement tools, the number of complaints and claims associated with insurance and related services for car owners decreased threefold year-on-year.

INSURANCE PRODUCTS IN 2024:

6 MILLION
customers insured

22 THOUSAND
insurance claims registered

1.2 MILLION POLICIES
issued outside of points of sale

RUB 46 BILLION
in net operating income

10 MILLION
active policies



CMTPL and MHI policies for car owners

Key achievements in 2024:

- in 2024, VTB Online issued over 345 thousand CMTPL insurance policies (up from around 126 thousand policies in 2023). Total insurance premium reached RUB 2.34 billion;
- customers with active car loans gained access to a new MHI Light programme, which enables them to quickly insure their vehicles without technical inspection. They can choose either the car's full market value or the outstanding loan balance as the coverage amount;
- VTB Online launched a new product for motorists – MHI Against Third-Party Mistakes. It offers protection against incidents involving drivers without a valid CMTPL insurance policy, including road accidents caused by scooters, bicycles and cars without third-party insurance. Customers can purchase this product either together with CMTPL or separately, choosing from the six leading insurance providers.

Pension business

VTB Pension Fund is the largest non-state pension fund in Russia, operating in the pension market for over 30 years.

The Fund manages non-state pension plans, long-term savings and compulsory pension insurance arrangements under perpetual pension provision and pension insurance licence No. 269/2 issued by the Russian Federal Service for Financial Markets on 18 October 2007. It is a member of the National Association of Non-State Funds, and ERA of Russia, the All-Russian Industry Association of Energy Employers.

On 3 May 2024, the Bank successfully completed amalgamation of the Group's Otkritie and VTB pension funds. Retail and corporate customers experienced a seamless transition, with pension assets transferred automatically. VTB Pension Fund migrated to a unified technological platform and integrated the best solutions and services of both funds. Throughout the process, the Fund ensured smooth service delivery and met all customer obligations on time.

In 2024, VTB Pension Fund's total assets exceeded RUB 1.1 trillion, with over 11 million customers choosing the fund to manage their pension savings and long-term investments. According to the Bank of Russia's report on non-state pension funds as of 30 September 2024, VTB Pension Fund ranked first by the value of assets, number of insured persons, and pension savings under management.

In 2024, the Fund focused on attracting new contributions to its long-term savings programme. 700 thousand individuals signed contracts with VTB Pension Fund under this programme, depositing a total of RUB 33.3 billion to their accounts. The average contribution amounted to RUB 47,700. 44.9 thousand customers transferred their compulsory pension savings to the long-term savings programme, contributing a total of RUB 11.3 billion.

The Fund's total pension savings exceeded RUB 926 billion, with pension reserves coming in at above RUB 147 billion. The number of persons insured under the compulsory pension arrangements reached 9.7 million, while the number of contributors to non-state pension plans and long-term savings programmes exceeded 1.3 million. VTB Pension Fund paid out over RUB 19 billion in pensions during the reporting year, including RUB 14 billion under compulsory pension insurance arrangements and nearly RUB 5 billion under non-state pension plans. Today, more than 213 thousand customers receive pension payments from the Fund.

To implement corporate pension plans, the Fund works with more than one thousand businesses in various industries. In 2024, customers made contributions to VTB Pension Fund under corporate (non-state) pension plans for a total of RUB 7 billion, marking an increase of 12% year-on-year. For co-funded corporate pension plans, the average monthly pension contribution of individual customers grew by 17% compared to 2023.

The stability and reliability of VTB Pension Fund are confirmed by the top-tier ratings from Expert RA

(ruAAA) and the National Rating Agency (AAA [ru.pfi]). On a regular basis, the Fund successfully undergoes stress tests by the Bank of Russia to assess the sufficiency of its assets to honour its obligations in case of negative market scenarios.

VTB Pension Fund's operations received praise from the expert community. The Fund won the 2024 Consumer Choice Award in the Financial Literacy and Transparency category of the nomination for the Non-State Pension Fund's Product of the Year for promoting the new long-term savings programme and offering its customers access to VTB Bank's Double Benefit term deposit. The Fund also received the 2024 Investment Leaders Award 2024 in the Human Capital Investments category of the nomination for Corporate Programme of the Year for integrating the long-term savings programme into the corporate pension plans of corporate contributors to VTB Pension Fund.

In 2025, the Fund plans to focus on attracting new customers to the long-term savings programme, increasing top-ups under existing contracts, and encouraging transfers of compulsory pension savings into the long-term programme, while also continuing to enhance its digital services, implement new automation solutions, and develop bundled products.

1.6. Risk management

Risk management policy, organisation, and structure

The most significant types of risks to which VTB Group is exposed

 Credit risk	 Operational risk	 Country (political) risk
 Market risk	 Liquidity risk	 Concentration risk (individual subtypes)

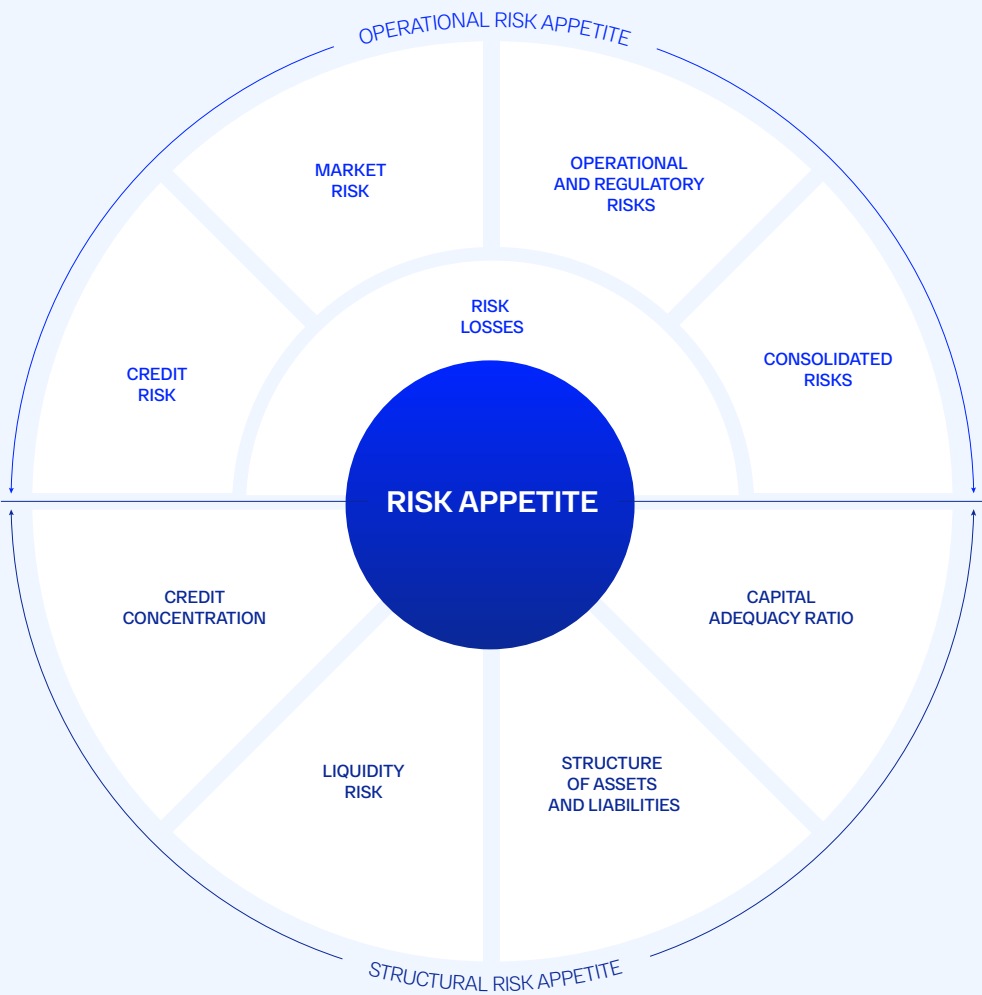
Key elements of the risk management process



One of VTB Group's key principles of risk management is to take the Group's risk appetite into account when managing its activities. Risk appetite is determined in accordance with stakeholder and regulatory requirements, objectives of the development strategy, business plans for upcoming periods, and best practices. This approach also involves integration of risk appetite into business planning and management decision-making procedures.

Risk appetite is a set (system) of quantitative and qualitative indicators determining the aggregate level (profile) of risks that the Bank / Group is able and / or willing to accept in order to achieve the goals set by the Development Strategy and business plans for the forthcoming period, taking into account the needs of stakeholders. The main provisions on risk appetite are described in the Risk and Capital Management Strategy, which is approved by resolution of the Supervisory Council.

The following quantitative and qualitative basic provisions (benchmarks), which determine the acceptable level of risks in order to ensure sustainable development, constitute high-level risk appetite. Quantitative indicators set out high-level risk appetite by establishing specific metrics covering significant areas of the Bank / Group's activities. The quantitative indicators of risk appetite are set for the following risk types – credit, market, operational and regulatory (compliance), liquidity and concentration risks, as well as aggregated risk categories such as consolidated risk-related losses, assets and liabilities structure, and capital adequacy. VTB Group has established a procedure for monitoring risk appetite and guidance on response to violations of risk appetite reference values.



Key parameters of quantitative indicators of risk appetite of the Bank/Group for the forthcoming / current year (or other period as needed) are reviewed (approved) by the Bank's Management Board and approved by resolutions of the Bank's Supervisory Council.

Key principles of the Group's risk management system:

- compliance with legal and other mandatory requirements;
- transparency of risk-associated activities for shareholders, investors, and other stakeholders, and respect for their interests;
- risk analysis and management on a consolidated basis covering all of the Group's Russian and foreign banks, as well as its key financial companies;
- optimal distribution of risks within the Group;
- minimising exposure and potential losses from risks in the markets where the Group operates;
- development of a risk management culture within the Group's companies, including by improving employees' skills in terms of identifying and preventing potential risks and losses in their areas of responsibility;
- ensure effective integration of risk and capital management tools into the Bank's (Group's) overall governance framework, strategic and business planning procedures, and business processes;
- improve the risk management system taking into account sustainability risk factors;
- application of modern methods for assessing and monitoring risks and use of automated risk management systems based on industry best practices

The Group's risk management system has a tiered structure, which includes consolidated (Group-level) and local risk management levels. It is based on regulatory requirements. The Group's key business areas (reporting segments) include Corporate Investment Business, Medium and Small Business, Retail Business, Other Business, Treasury, Corporate Centre, and Non-Distributed Acquisitions. Corporate Investment Business, Medium and Small Business, and Retail Business are business units responsible for providing services to different customer segments. Treasury, Other Business, Corporate Centre, and Non-Distributed Acquisitions are not deemed as standalone business units.

The system also takes into account other requirements for the effective organisation of internal processes. It is coordinated by the Group's dedicated Risk Competence centres. The standard organisational structure of the Group's banks and financial companies includes an independent risk assessment and control unit unit that corresponds to the appropriate risk profile, specific features, and scale of the business. Each Group company or bank has a senior executive (Chief Risk Officer) responsible for comprehensive risk management.

The organisational structure of risk management within VTB Group includes:

- Group-level collective bodies;
- headquarters;
- governing bodies, dedicated collective bodies (committees), and structural units / authorised officers of the Group companies.

The Group continuously oversees the organisation of risk management and risk management policy within the Group's companies, primarily through corporate governance (including in the form of

VTB Bank representatives on subsidiaries' supervisory councils / boards of directors), as well as through the Group's Risk Competence centres. Key risk management internal regulations of subsidiaries are approved by their governing bodies based on feedback from the Risk Competence centres.

As part of the development of internal procedures for assessing capital adequacy, the following results have been achieved:

- sustained compliance with regulatory capital requirements established by the Bank of Russia. Compliance with regulatory standards was ensured with reliance on the Bank of Russia's support measures;
- compliance of VTB Group's internal capital adequacy ratios (with respect to economic capital) with regulatory requirements;
- improving the system to control significant risks as a way to ensure the required level of risk monitoring in different areas of business;
- close attention to data integrity and quality as a means of improving efficiency of internal procedures for assessing capital adequacy;
- capital planning and capital adequacy monitoring, which take into account the results of supervisory stress testing.

The Bank's main internal regulations specifying key principles of, and approaches to, the organisation and development of its risk management system (including subsidiaries covered by the Group's consolidated risk management):

- VTB Bank's Regulation on Risk Management System⁶;
- VTB Bank's Risk and Capital Management Strategy and the Procedure for Managing VTB Bank's Most Significant Risks⁷.

In 2024, new versions of VTB Bank's Risk and Capital Management Strategy and the Procedure for Managing VTB Bank's Most Significant Risks were approved⁸ by the Supervisory Council.

Main strategic objectives in risk and capital management:

- ensure implementation of the Risk and Capital Management Strategy and other risk and capital management resolutions adopted by authorised bodies (including on a consolidated basis);
- ensure compliance with regulatory and supervisory requirements on organisation of the risk and capital management system;
- identify risks inherent in the Bank's (Group's) activities (including specific business areas, types of operations (products), and counterparty segments) and highlight significant (most significant) risk types based on the relevant methodology;
- identify and analyse potential risks in the development and implementation of new products and services and/or upon tapping into new markets;
- promote risk culture and enhance responsibility for risk-related decision-making at different management levels;
- ensure optimal balance between risk exposure and financial performance across the Bank's (Group's) operations;
- apply efficient methods for assessing and controlling (limiting) significant risks based on best practices;
- maintain an adequate risk and capital reporting system to apprise governing bodies, authorised collective bodies and executives, and to submit reports to relevant supervisory bodies;
- continuously monitor adequacy of capital required to cover risks, including through modelling and analysis of potential shock impacts on the Bank's (Group's) financial position (stress testing);

- ensure effective integration of risk and capital management tools into the Bank's (Group's) overall governance framework, strategic and business planning procedures, and business processes;
- improve the risk management system taking into account sustainability risk factors.

VTB Bank's Development Strategy seeks to create an integrated risk management system that corresponds to the nature and scale of the Bank's operations and risk profile and is aligned with the economic environment and the Bank's business development needs.

The Bank's risk management function is developed and improved in accordance with regulatory requirements and recommendations of the Bank of Russia, as well as best practices.

Structure of VTB Bank's risk management system:

- General Meeting of Shareholders;
- Supervisory Council and executive bodies;
- credit committees (related to different levels and customer segments);
- Retail Risk Committee;
- Finance Committee;
- Credit and Market Risk Management Committee;
- Operational and Regulatory (Compliance) Risk Management Committee;
- Audit Committee of the Supervisory Council;
- other dedicated committees and structural units involved in risk management processes.

6 Developed in line with the Methodological Guidelines of the Russian Government and approved by the Supervisory Council (Minutes No. 14 dated 5 November 2020).
7 Developed in accordance with the regulatory requirements of the Bank of Russia; subject to revision and update at least once a year.
8 Minutes No. 12 dated 15 November 2024.

Credit risk

Credit risk means the risk of incurring losses as a result of a counterparty's non-performance or improper performance of its obligations to the Bank / Group companies.

Credit risk is managed both locally by individual companies and at the Group (consolidated) level.

Credit risk management at the Group level

As part of the local credit risk management system, VTB Group companies independently accept and manage credit risks (including through insurance and hedging) within established authorities and limits (risk indicators) in accordance with national laws. VTB Group companies are responsible for the results of their lending activities and the quality of their loan portfolios, and also for monitoring and controlling credit risks associated with their portfolios.

The key elements of the Group's consolidated credit risk management include:

- developing and adopting uniform standards concerning credit procedures, decision-making processes, models, and methods for managing credit risk to be used throughout the entire Group (including the methodology for assessing counterparties, pricing in credit operations, monitoring, provisioning, and stress testing);

- establishing limits and other restrictions within the Group (including consolidated limits on counterparties / groups of related counterparties, major transactions, countries, industry sectors);
- assessing the capital necessary to cover the Group's credit risks;
- regular consolidated reporting on the Group's credit risk to the Group's governing bodies for review.

Consolidated risk management covers all key assets and off-balance sheet operations of the Group companies that assume credit risk and require control over concentration within the Group as a whole. For the purpose of consolidated control and reporting, the scope and range of such operations is determined by the Group's coordinating bodies.

In 2024, dedicated units within VTB Bank, including the Non-Core Assets Department and the Financial Settlement Department, were responsible for identifying, monitoring, and managing bad debt at the Group level.

In 2024, the corporate credit risks of subsidiary banks were managed by the Corporate Credit Risk Department. Together with the Underwriting Department and the Expertise and Fraud Monitoring Department, the Corporate Credit Risk Department ensured expert monitoring of the credit procedure in terms of decision-making and controlled compliance with the limits on non-standard transactions of corporate customers. As the Group's Risk Competence centre for corporate credit risks, the Corporate Credit Risk Department is responsible for developing uniform approaches to, and methods of, managing corporate credit risks, evaluating them on a centralised and systematic basis, and developing an optimal structure of corporate credit risk accepted by the Group, including its compliance with the Group's risk appetite.

In 2024, the Retail Credit Risk Department was responsible for the centralised management of retail risks at VTB Bank's subsidiary banks. Together with the Expertise and Fraud Monitoring Department and Underwriting Department, the Retail Credit Risk Department ensured

expert monitoring of the credit procedure in terms of decision-making and controlled compliance with the limits on non-standard transactions. The Retail Credit Risk Department is the Group's risk competence centre dealing with retail credit risks and responsible for developing uniform approaches to, and methods of, managing retail risks, evaluating them on a centralised and systematic basis, and developing an optimal structure of retail risks assumed by the Group, including its compliance with the Group's risk appetite.

Credit risk management at the VTB Bank level

VTB Bank manages credit risks by:

- restricting credit risk through the Bank's existing system of limits, which comply with the Bank of Russia's mandatory regulations and other requirements;
- accepting collateral and insurance to cover credit risks, charging adequate fees for the credit risk, and establishing provisions for losses on loans;
- controlling the level of credit risk assumed by the Bank for each counterparty by way of risk assessment, as well as regularly monitoring the credit portfolio, individual customers (including by ranking borrowers), transactions, and collateral; and
- preventing credit risk at the loan application review stage and taking prompt measures when monitoring reveals credit risk factors.

The Bank applies the following main methods of credit risk assessment:

- determining a customer's level of credit capacity by analysing financial and non-financial indicators and conducting an expert assessment (in line with the Bank's internal procedures for customer ranking);

- employing scoring models and automated credit-related decision-making procedures, as well as verifying customer data using automated anti-fraud systems as part of retail credit risk assessment;
- estimating potential losses from credit risk as part of calculating and creating loss provisions (in line with the requirements of the Bank of Russia and IFRS);
- assessing capital adequacy and the scale of credit risk when calculating the required ratios established by the Bank of Russia;
- determining internal capital needs (economic capital calculation) for credit risk based on the actual quality of the loan portfolio (as required by the Bank of Russia); and
- stress testing loan portfolio losses under different macroeconomic scenarios.

The main tool for credit risk monitoring and mitigation is the system of established credit restrictions (limits). The key types of credit risk limits were established as follows:

- limits on a counterparty (a group of related counterparties), for example, limits on operations with a counterparty (a group of related counterparties), including sub-limits for various types of operations with a credit risk or designated purpose;
- limits on the concentration of credit risk (by industry, country, major counterparties, credit products, etc.);
- limits on expected losses in operations exposed to credit risk; and
- other restrictions in line with the requirements (required ratios) of the Bank of Russia (for example, limits on exposure to substantial credit risks, borrower / group of related borrowers).

The Bank employs collateral to reduce credit risk.

Liquidity risk

Liquidity risk means the risk of losses in the form of Group company being unable to finance its operations, i.e. ensure asset growth and perform obligations as they become due without incurring losses in an amount that would be unacceptable for the financial stability of the Group / Group company.

Liquidity risk management at the Group level

The liquidity risk management involves the Finance Committee and the Treasury Department of the Bank, as well as the Market Risk Division of the Integrated Risk Management Department.

The Finance Committee reviews and approves regulations on liquidity risk management, adopts the methodology for assessing liquidity risks, sets internal requirements, limits and liquidity ratios, develops measures to achieve them, and monitors their implementation. The Finance Committee regularly approves a resource plan for the upcoming period and monitors progress against it.

Methods for controlling and mitigating liquidity risk include:

- setting and monitoring internal liquidity ratios / requirements (including for the purposes of monitoring compliance with the required ratios established by the Bank of Russia / relevant internal risk appetite metrics);
- monitoring liquidity gaps calculated using the scenario analysis for different periods to identify disparities between receivables and payables;

- making and implementing decisions to manage assets and / or liabilities of the Group in order to maintain liquidity risk at a level that corresponds to internal and regulatory liquidity ratios.

Liquidity risk management at the VTB Bank level

Liquidity risk management comprises the following steps:

- identification;
- assessment and control; and
- mitigation.

Methods for controlling and mitigating liquidity risk at the Bank level include:

- monitoring liquidity for different periods to identify disparities between receivables and payables in the baseline scenario, as well as under moderate and severe stress scenarios;
- making and implementing decisions to manage assets and / or liabilities of the Bank / Group in order to maintain liquidity risk at a level that corresponds to internal and regulatory liquidity ratios;
- monitoring key internal and external factors that may have a substantial effect on the Bank's liquidity;
- monitoring restrictions on excess liquidity and concentration risks;
- regularly preparing and reviewing resource plans at Finance Committee meetings;
- establishing and tracking red flags, triggers, and limits for economic capital allocations for liquidity risk coverage;

- setting and monitoring risk appetite metrics for liquidity gaps under both the baseline scenario (limits) and severe stress scenario (triggers);
- ensuring compliance with mandatory Bank of Russia liquidity ratios while establishing and monitoring internal risk appetite metrics for these regulatory requirements, developing and implementing internal models for liquidity risk assessment.

Market risks

Market risks mean risks of downward pressure on the financial results from an unfavourable change in the value of assets or liabilities of the Bank/Group affected by market indicators, i.e. risk factors (FX rates, interest rates, credit spreads, share prices, stock indices, etc.).

Based on the nature of the assumed market risks, activities of the Bank and dedicated subsidiaries are divided into trading book and bank book activities.

The Regulation on the Procedure for Managing Market Risks⁹ categorises operations based on the nature of assumed market risks and approaches to managing them, controls of limits and restrictions, and response if they are exceeded. It also governs reporting on the Bank's / Group's market risk.

Market risk assessment includes:

- assessment of the market risk (risks of the trading book and the currency risk of the banking book);
- assessment of the banking book's interest rate risk;

- assessment of financial result volatility of instruments in the revalued banking book portfolio.

Interest rate risk of the banking book

Interest rate risk of the banking book is the risk associated with changes in the money and debt market rates on sensitive positions in the banking book.

Interest rate risk management includes:

- setting risk appetite for interest rate metrics (economic capital or net interest income sensitivity) both for the Group and Group companies;
- determining the procedure for setting credit interest rates and base interest rates for retail credit products;
- setting commissions for active operations and compensation spreads for active and passive operations to reduce / cover interest rate risks;
- initiating operations with interest rate derivatives to reduce the gap in timing and conditions between interest rates on assets and liabilities by currency.

Main parameters used to assess interest rate risk:

- economic capital to cover the banking book's interest rate risk – changes in the net current value of the Bank's interest rate in case of preset changes in the base yield curve (severe stress scenario);
- net interest income sensitivity – possible change in the interest income over a horizon of one year from the reporting date assuming a specific shift in interest rates, provided that the volume of operations at the reporting date remains unchanged (moderate stress scenario).



Trading risk and currency risk of the banking book

Currency risk of an open currency position

The Bank calculates economic capital to cover market risks. This indicator can be cascaded by risk type and business unit and used to determine the effectiveness of business lines. Economic capital is calculated for all areas of trading book risks and the currency risk of the banking book. Stress scenarios are approved by the Bank's collective bodies. Currency risk is assessed on a regular basis.

⁹ Enacted by VTB Bank Order No. 1536 dated 14 June 2024.

The Bank also assesses currency risk using a Value-at-Risk (VaR) methodology that estimates the maximum potential negative impact on profit before tax resulting from changes in FX-denominated structural positions over a given holding period for a given confidence level. The VaR methodology is a statistically defined probabilistic approach that takes into account market fluctuations and risk diversification by recognising offsetting positions and correlations between products and markets. Risk can be assessed uniformly across all markets and products, and it is possible to aggregate risk levels to arrive at a unified metric.

The Bank's VaR model is based on historical data and factors in the interdependence of exchange rates. The Russian rouble serves as the base (risk-free) presentation currency.

Market risk of trading operations

VTB Group is exposed to market risk through its trading book. The trading book includes activities for the purpose of generating a profit from their revaluation or hedging of other trading operations, as well as their financial result. Key indicators for market risk assessment:

- to assess the risk of losses – stress-testing of trading book positions under moderate or crisis scenarios based on stress ratios approved by the authorised bodies of the Bank / Group / subsidiary (these scenarios are also developed taking into account potential additional losses caused by concentration of the Group's position in different types of financial instruments);
- to assess volatility of the trading book financial result – VaR calculated by the historical modelling method with assumptions / parameters set for relevant instruments; and
- to assess accumulated actual losses on trading operations from the beginning of the calendar year – loss on the trading book (stop-loss) accumulated from the beginning of the year.

The level of accepted market risks on trading operations is monitored based on the internal system of limits defined in the Bank's / Group's internal regulations.

The Integrated Risk Management Department continuously monitors compliance of the market risk limits with the approved market risk appetite parameters and in case of changes in the market environment (higher volatility of risk factors, change in correlation between them, lower liquidity of certain instruments, etc.) submits proposals to the Finance Committee to adjust the limits so that they comply with the market risk appetite parameters.

Subsidiaries organise monitoring and controls for market risk levels based on the Group's standards, taking into account the requirements of the regulator and the risk profile of their operations.

Parameters for VaR calculation

Value at Risk (VaR) is a statistical indicator reflecting the amount of loss that, with a given probability, should not be exceeded during a certain time period. VaR limits are set for all trading book transactions. Limits can be broken down into sublimits by initiating unit and portfolio.

VaR is calculated on the basis of the following parameters:

- historical period – two years;
- forecasting horizon – one trading day;
- confidence level – 95%;
- method used – historical modelling.

Operational risk

Operational risk means the risk of direct and indirect losses resulting from deficiencies or errors in internal processes, actions of staff and other parties, failures and deficiencies in information, process and other systems, as well as external events.

Legal risk, information security risk, including cyber risk, and information systems risk are parts of operational risk.

The operational risk management system identifies separate types of operational risk, the management procedures for which are within the responsibility of dedicated units.

To control exposure to operational risk, Bank-wide control indicators for operational risk level and their target values are set over the planned annual period. These indicators are cascaded to the Bank's business lines, units, and support and control departments, including their standalone structural units responsible for operations / transactions and processes falling within their remit. To maintain operational reliability over the planned annual period, the Bank sets target indicators of operational reliability, with their threshold values cascaded to relevant process owners.

To manage operational risk, the Bank has implemented the following unified mechanisms to identify, assess, and monitor the level of operational risk:

- a process to collect information on operational risk incidents and resulting losses;

- monitoring of key operational risk indicators, control indicators for operational risk level, and target indicators of operational reliability;
- operational risk self-assessment;
- scenario analysis.

Before any new products, services, processes, or systems are implemented, they are subject to mandatory analysis in order to identify and assess operational risks in a timely manner. Said mechanisms – operational risk management tools – are used for quantitative and qualitative assessment of the operational risk level. Based on the results of the assessment, mitigating actions are developed and taken, and management reports are prepared.

The Bank uses the following methods to respond to operational risks:

- taking mitigating actions: developing and implementing the necessary corrective measures to reduce the negative impact of operational risk on the quality of processes and the gross losses (total losses from the materialised risk before accounting for reimbursement);
- accepting risk: readiness to accept possible losses within the established limit subject to the limit control procedure¹⁰;
- avoiding risk: refusal to provide particular types of services or operations due to a high level of operational risk (used if measures to minimise risk are not economically feasible);
- transferring risk: operational risks are insured; the risk is transferred to another party – a counterparty and / or customer (used if the Bank / Group companies are unable to manage the operational risk independently).

The Bank uses the following principal measures to reduce the negative impact of operational risk:

- changing processes;
- establishing additional forms of control;
- training employees, including those involved in processes;
- using automated solutions;
- identifying and assessing operational risks prior to implementing (developing) new activities, banking products, processes, or systems; and
- taking other measures to minimise the adverse impact of operational risk.

The main measures aimed at limiting losses from the materialisation of operational risk events include:

- setting thresholds for decision-making authority and establishing limits, overseeing the authority;
- developing plans to ensure the continuity and / or recovery of critical processes and the functioning of information systems, as well as plans to ensure the security and integrity of information systems and information (including by putting in place backup communication channels, geographically dispersed server rooms, autonomous power, heat and water supply sources, fire prevention initiatives); and
- insuring operational risks.

In 2024, the Bank had the following risk insurance programmes:

- insurance against crime;

- insurance against losses associated with software installation or upgrade;
- insurance for money and valuables while in storage and during transit;
- liability insurance of the Bank's certification centres;
- liability insurance of the Bank's executives;
- insurance against risks related to business activities (including buildings, equipment and vehicles).

Quantitative assessment measures the level of operational risk calculated using data on net losses from the materialisation of relevant events, and includes:

- the amount of operational risk calculated at least once a year;
- the current risk appetite level;
- the capital required to cover losses from operational risk events determined in internal procedures for assessing capital adequacy (economic capital); and
- stress testing of operational risk conducted at least once a year as part of internal procedures for assessing capital adequacy.

In order to calculate economic capital to cover the operational risk, the Bank applies the Advanced Measurement Approach in line with international best practices.

Performance of the operational risk management system and its elements, including completeness and accuracy of the operational risk management procedures adopted by the Bank, is assessed on an annual basis.

¹⁰ Risk acceptance is considered by the Bank's authorised body in line with the established procedure, provided that such consideration takes place prior to the implementation or modification of a process, product or service, and materialisation of operational risk events or one of the additional criteria (for example, if the cost of measures to minimise operational risk, including risk control procedures, exceeds the Bank's possible losses from the materialisation of operational risk and is economically inexpedient).

Model risk

Model risk means the risk of errors in the processes of developing, verifying, adapting, accepting and applying the methods used in quantitative and qualitative models for assessing assets, risks, and other indicator used in making management decisions. Model risk is a type of operational risk.

In order to ensure effective management of model risk, the model risk management function is assigned to a dedicated independent unit, the Model Risk and Validation Department, which regularly validates and analyses the effectiveness of models. In addition, it determines, together with the Integrated Risk Management Department, the level of model risk, which is taken into account when determining the Bank's capital adequacy in the context of internal procedures for assessing capital adequacy.

In model risk management, the Bank follows the principles of regularity, completeness, confidentiality, the distribution of responsibilities, the functioning of three lines of defence, as well as the principle of conservative analysis. The stage of evaluating (validating) the effectiveness stands out of other stages of the model life cycle. The Bank carries out regular (at least once a year) validation of significant models.

To ensure the identification of model risk, a consolidated register of models has been created and is updated on a regular basis, while the Bank's designated body regularly considers issues related to recognising models as significant based on the data in the register as well as other available information. Quantitative assessment of model risk is carried out both in the context of operational risk management procedures and by the Model Risk and Validation Department in the context of each significant model, including during regular model validation procedures.

Model and process risk ratios are aggregated in order to calculate the capital needed to cover the Bank's model risk. This is carried out in accordance with the Methodological Guidelines for the Calculation of Model and Residual Risks.

The standard methods for responding to model risk are complemented by a regulated procedure for making recommendations and instructions to the model owners / developers based on the results of a performance assessment. As a rule, the recommendations and instructions are aimed at

- making changes to the model in order to improve its quality;
- improving the processes associated with the implementation and application of the model;
- improving IT systems;
- improving the quality, availability and completeness of data; and
- adding a conservative approach to the model (model results) to cover the model risk.

To oversee the effectiveness of the model risk management system, regular audits of the Bank's activities are carried out by an independent unit, the Internal Audit Department, in accordance with the requirements of the Bank of Russia and the procedures established by the Bank's internal regulations and directives.

Sustainability risks

Sustainability risk management is integrated into the Bank's risk management system. This integration begins with an assessment of sustainability risk factors' impact on the significance of bank risks. This ensures that the impact of sustainability risk factors on the Bank's financial position is aligned with the risk and capital management approaches applied.

Taking into account the complex interrelationships between risks, the Bank pays attention to **sustainability risks** associated with the environmental, social, and governance aspects that might have a positive or negative impact on the Bank's financial performance.

The Bank has defined qualitative risk appetite to limit financing for projects / counterparties that do not meet sustainability principles, and segments its corporate loan portfolio accordingly. To assess risk materiality, the Bank identifies the exposure of its loan portfolio to the environmental, social, and governance risk factors (sustainability risk factors).

The loan portfolio is assessed in several stages:

- calculation of the loan portfolio's exposure to sustainability risk factors;
- identification of material sustainability risk factors;
- calculation of the loan portfolio's exposure to material sustainability risk factors;
- consideration of the loan portfolio's exposure to material sustainability risk factors in categorising materiality of the industry credit concentration risk.

Wherever life flourishes

Learning and development

Financial stability

Team of professionals

Ambitious projects

Corporate life

02

CORPORATE
GOVERNANCE

Management
report

Corporate
governance

Sustainable
development

Financial
statements

Annexes

VTB

in all its forms and expressions

2.1. Overview

VTB Group corporate governance

VTB Group operates as a strategic holding structure. This model requires a common growth strategy for all Group companies – a single brand, centralised finance and risk management, and unified controls.

The Group has two lines of management:

- administrative management – exercising the rights of the parent bank as the majority shareholder by allowing its representatives to participate in the governing bodies of subsidiary companies;
- functional management – managing business, support and control lines within VTB Group. Functional coordination is an additional governance tool providing for a deeper expert review of management decisions.

To achieve its key strategic goals, the Group focuses on the following business lines: Corporate Investment Business, Medium and Small Business, and Retail Business.

For more details on our business lines and their performance, see Results Overview

Each business line requires certain market tools – from complex investment advice for corporate customers to simple mobile payment solutions for individuals. Each line has a unique product and service offering.

Our Corporate Centre sets the overall strategic course and promotes best practices. It oversees the Group's global operations and interacts with other functions to deliver against business lines' strategies for various markets where VTB is present.

The existing corporate governance framework enables the Bank to develop a global customer service offering, closely coordinate each and every business line across its footprint, boost margins by unlocking synergies and promoting best practices, and reduce costs by leveraging shared infrastructure and resources. It also serves as a platform for the effective integration of assets acquired by VTB Group.

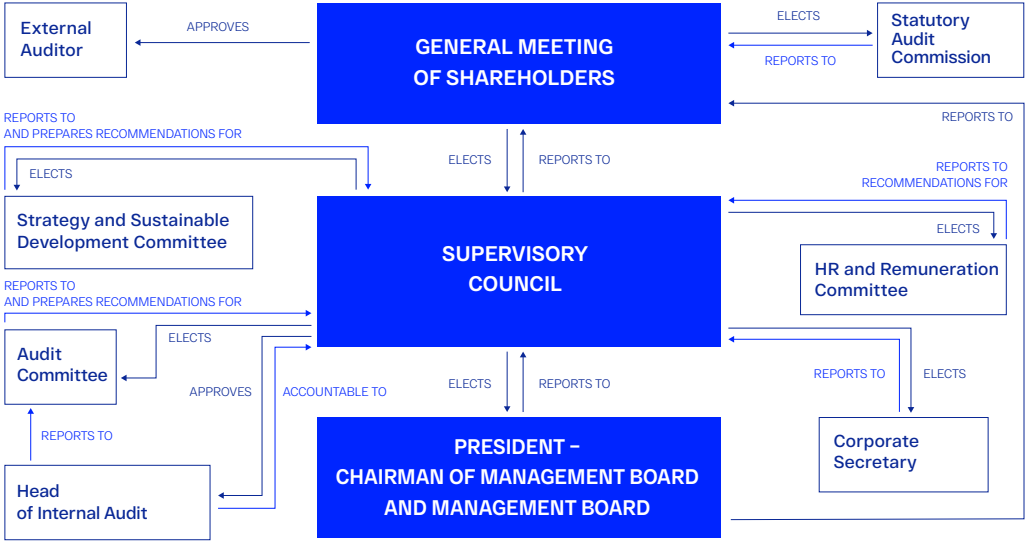
The Bank focuses on improving its governance framework and ensuring full compliance with corporate and antitrust laws in the countries of operation.

VTB Bank corporate governance

Corporate governance at VTB Bank provides for interaction between its executive bodies, the Supervisory Council, shareholders and other stakeholders. It seeks to ensure the Bank's long-term sustainable development, including by protecting the rights of shareholders and investors, promoting its investment case and transparency, setting up robust risk assessment tools

to enhance shareholder value, and guaranteeing the efficient use of shareholder and investor funds.

The Bank's corporate governance framework relies on the principle of full compliance with Russian laws and stock exchange regulations, taking guidance from the Corporate Governance Code¹¹.



11 Approved by the Bank of Russia's Board of Directors, see Information Letter No. 06-52/2463 On the Corporate Governance Code dated 10 April 2014.

The corporate governance principles and procedures of VTB Bank are set out in internal regulations, with the Bank's – [Bank's Corporate Governance Code](#)¹² used as the highest-level document.

The Bank's corporate governance framework principles:

- equitable and fair treatment of all shareholders provided with an opportunity to exercise their rights and legitimate interests;
- professionalism and accountability of the Supervisory Council, active participation by independent directors and members of the Supervisory Council nominated by minority shareholders in managing the Bank;
- strategic management, efficient control over executive bodies, and oversight of the risk management and internal control framework exercised by the Supervisory Council;
- sound, bona fide and effective management of the Bank's day-to-day operations by executive bodies and key executives;
- compliance with Russian laws and the national laws of the countries of operation;
- commitment to ESG standards;
- strong business ethics and zero tolerance to corruption;
- robust internal controls, internal and external audits;
- cooperation with investors, creditors, and other stakeholders in order to increase the Bank's assets and capitalisation; and
- continuous improvement of corporate governance practices.

The General Meeting of Shareholders is VTB's supreme governing body. Any holder of ordinary shares may exercise the right to participate in managing the Bank by

voting on the agenda of the General Meeting of Shareholders. For the ease of convenience, VTB was among the first Russian banks to introduce remote e-voting at General Meetings of Shareholders.

The Supervisory Council, which is elected by shareholders and held accountable to them, provides for strategic management and oversight of executive bodies. The Supervisory Council approves the Bank's Strategy and Long-Term Development Programme, Sustainability Strategy, and the policy on remuneration and compensation payable to executive bodies and other key executives. It also plays a key role in the Bank's material corporate events and determines key principles of, and approaches to, risk management and internal controls.

The Supervisory Council's Committees' functions:

- HR and Remuneration Committee drafts recommendations on key appointments and incentives for members of the Supervisory Council and the Bank's executive and control bodies;
- Audit Committee focuses on analysing and maintaining sound and effective internal controls; and
- Strategy and Sustainable Development Committee considers and makes recommendations on strategy, sustainability, ESG matters, corporate governance and capital management improvements.

Furthermore, the Bank has the Supervisory Council Administration, a special function led by the Corporate Secretary who is approved by the Bank's Supervisory Council.

The Bank's executive bodies – collective (Management Board) and sole (President and Chairman of the Management Board) – manage ongoing operations and deliver on objectives set by shareholders and the Supervisory Council. They report to the General Meeting of Shareholders and Supervisory Council.

The quantitative and personal make-up of the Management Board, election of its members, and early termination of their powers are approved by resolutions of the Supervisory Council. The Management Board is chaired by the President

and Chairman of the Management Board. The Supervisory Council determines the term of office for members of the Management Board, which shall in no event exceed five years. If members of the Management Board are appointed to replace other members following early termination of their powers or due to an increase in the number of the Management Board members, their term of office may not exceed the term of the President and Chairman of the Management Board.

To mitigate management risks, liability insurance is purchased for the Bank, members of its Supervisory Council and executive bodies.

For more details on the competencies and responsibilities of the Management Board, see the Regulation on the Management Board



The Bank's financial and business activities are monitored by the Statutory Audit Commission and the Internal Audit Department, a standalone business unit reporting to the Supervisory Council.

The Internal Audit Department reviews and assesses the effectiveness of the Bank's risk management and internal controls, and verifies the reliability, completeness, fairness and timeliness of accounting and management statements. Furthermore, it ensures a unified approach to managing internal controls in the entities controlled by the Bank, gathers information about their current status, and develops improvement recommendations. The Supervisory Council approves the Internal Audit Department's work plans and monitors their implementation.

The Bank and its minority shareholders have established the Shareholders Consultative Council, an independent expert advisory and consultative body consisting of minority shareholders, with its meetings also attended by members of the Bank's Supervisory Council and executive bodies. Members of the Shareholders Consultative Council meet with senior management to discuss key matters affecting the interests of shareholders, including those related to the Bank's Strategy development and implementation, and corporate governance improvements.

Development of corporate governance in 2024



Corporate governance improvements

are an integral part of the Bank's efforts to enhance its overall effectiveness. That is why the Supervisory Council and executive bodies keep a close eye on them.

VTB Bank monitors changes in corporate laws and practices and makes consistent efforts to enhance corporate governance in the Bank and the Group companies.

In 2024, the Bank completed annual self-assessment of the corporate governance framework pursuant to VTB Bank's Methodology for Assessing Corporate Governance.



According to the methodology, the system of corporate governance is assessed taking into account the following components:

- distribution of powers between management bodies and strategic management;
- formation of executive bodies and control over their activities;
- definition of principles and approaches to organizing the risk management system;
- monitoring of the internal control system;
- prevention of conflicts of interest of shareholders, members of the Supervisory Board, executive bodies;
- activities of the Supervisory Board;
- composition, structure and general level of competence of the Supervisory Board;
- information policy and disclosure of information.

This involved surveying members of the Supervisory Council, who praised maturity of the corporate governance framework and assigned a maximum score of 4 to seven out of its eight components, with one component assessed at 3.97.

In 2024, the Bank struck a delicate balance between the special disclosure requirements that were in force during the reporting period and the need to keep shareholders informed about its operations. The Bank decided to use the right granted to Russian issuers by the regulator and to disclose a limited scope of information that is subject to disclosure under applicable Russian laws and regulations of the Bank of Russia. Information and materials that need to be disclosed in the run-up to the General Meeting of Shareholders were available in both hard copies and on the Bank's website. In addition, in the issuer's reports in 2024, VTB Bank

resumed disclosure of the total remuneration paid to the members of the Supervisory Council and executive bodies.

On 7 June 2024, VTB Bank held its Annual General Meeting of Shareholders, which elected a new Supervisory Council and Statutory Audit commission (Minutes No. 62 dated 10 June 2024).

The Bank's Supervisory Council is composed of 11 directors, including one executive and five independent ones. A non-executive director was elected Chairman of the Supervisory Council, and Senior Independent Director was elected from among the Supervisory Council's independent members.

After the new Supervisory Council was elected, its Committees were composed.

The Audit Committee and the HR and Remuneration Committee included four and three independent directors, respectively, which is fully in line with the Listing Rules of the Moscow Exchange and recommendations of the Russian Corporate Governance Code.

In 2024, the Supervisory Council members were given the right to request support to undergo advanced training with a view to improving performance, and also to engage external experts and consultants on matters reserved to the Supervisory Council, at the expense of the Bank. This right is set out in the Bank's Regulation on the Supervisory Council. Furthermore, in 2024, the Supervisory Council members had a dedicated session on digital transformation in banking.

The Bank annually engages an external consultant to conduct independent assessment of the corporate governance quality, which helps the Bank consistently implement applicable best practices. The assessment is performed by the Russian Institute of Directors (RID), a recognised expert institution promoting corporate governance and measuring its quality for Russian companies. The RID's methodology includes 160 criteria across four components: shareholder rights, governing and oversight bodies, information disclosure, and ESG.

In the reporting period, the Bank retained its high ranking at 8+ in the National Rating of Corporate Governance (compiled by the Russian Institute of Directors based on annual monitoring results). The 8+ score is assigned to companies, which experts believe to comply with Russian corporate governance laws, adhere to a significant portion of the Corporate Governance Code recommendations, and have immaterial risks of losses for owners due to corporate governance quality issues.

Compliance with the corporate governance code

VTB Bank complies with substantially all provisions of the Bank of Russia's Corporate Governance Code.

Following review of the Report on Compliance with the Principles and Recommendations of the Corporate Governance Code as part of its annual exercise to monitor progress of public joint-stock companies in implementing the Corporate Governance Code, the Bank of Russia praised VTB Bank for achievements in embedding the Corporate Governance Code's recommendations into its operations.

The actual compliance with the Corporate Governance Code is disclosed in the Report on Compliance with the Principles and Recommendations of the Corporate Governance Code, which is subject to review and approval by the Supervisory Council and is included in the Bank's annual reports.

Report on compliance with the principles and recommendations of the Corporate Governance Code



2.2. General meeting of shareholders

The General Meeting of Shareholders is VTB's supreme governing body. Any holder of ordinary shares may exercise the right to participate in managing the Bank by voting on the agenda of the General Meeting of Shareholders. Holders of preference shares may vote only when provided for by the applicable Russian laws.

The decision to convene the General Meeting of Shareholders is made by the Supervisory Council. Information about the date and place of the meeting (when it is held in person) and the shareholder record date for such meeting is published on the Bank's official website and posted in the VTB Shareholder mobile app pursuant to applicable laws and the Bank's Charter.

7 June

Annual General Meeting of Shareholders

16 October

Extraordinary General Meeting of Shareholders

The Bank consistently prioritises transparent communication with shareholders notifying them of each meeting and participation procedures via all available channels. Aligning with best practices in sustainable development, VTB has refrained from sending physical information letters to notify of shareholder meetings for several years now. Instead, the Bank uses remote channels such as the Bank's and registrar's websites, the VTB Shareholder

mobile app, shareholder newsletters, personal emails to shareholders, and social networks.

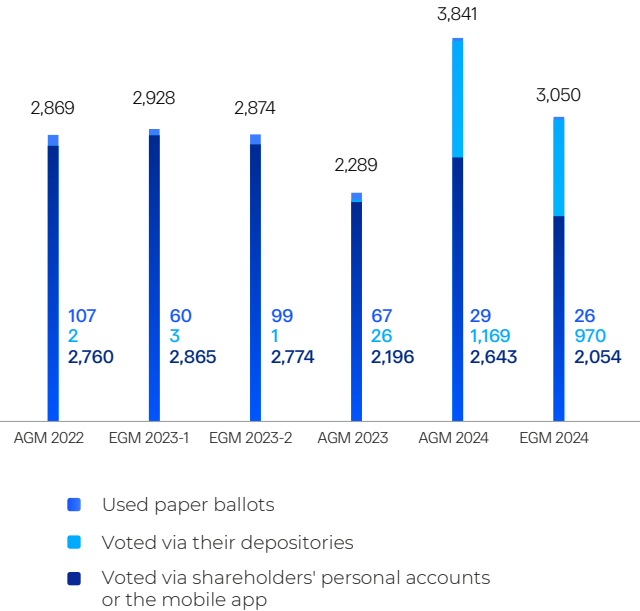
In 2024, VTB held an Annual General Meeting and an Extraordinary General Meeting of Shareholders.

During the voting period, shareholders could personally visit shareholder centres in Moscow, St. Petersburg, and Yekaterinburg for a consultation. At these meetings, shareholders had the opportunity to review relevant materials and cast votes using terminals. Shareholders were also consulted on the agenda items and draft resolutions of the meetings. The materials were also available on the VTB website and in the VTB Shareholder mobile app, at the office of the Bank's Sole Executive Body (11A Degtyarny Pereulok, St. Petersburg), and were sent to nominee holders for further distribution among depositories' customers – the Bank's shareholders.

Shareholders could participate in the meeting via the e-voting system developed by the Bank's registrar, JSC VTB Registrar. Votes can be cast at the registrar's website or its branches, in the VTB Shareholder mobile app and in shareholder centres. For the first time, shareholders were offered an option to cast their votes via VTB Broker in the VTB My Investments app. Alternatively, shareholders could fill in paper ballots at branches and divisions of VTB Registrar, instruct their nominee holder, or fill in paper ballots by themselves.

Voting at the General Meeting of Shareholders follows the principle of "one voting share – one vote", except for cumulative voting for the election of the Supervisory Council members..

Participants of General Meetings of Shareholders



Annual General Meeting of Shareholders held on 7 June 2024



As decided by the Supervisory Council, the Bank's Annual General Meeting of Shareholders was held on 7 June 2024 in the form of absentee voting¹³. The absentee voting covered the following agenda items:

1. approval of VTB Bank's annual report;
2. approval of annual financial (accounting) statements;
3. profit distribution, including payment (announcement) of dividends for 2023;
4. determination of the number of members of the Supervisory Council;

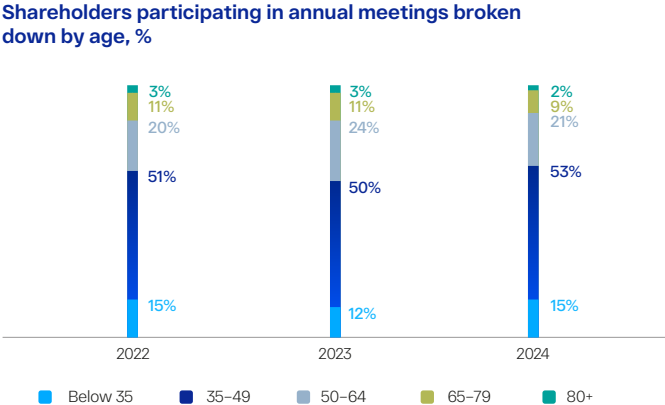
5. election of members to the Supervisory Council;
6. election of members to the Statutory Audit Commission;
7. appointment of an audit firm (individual auditor);
8. consolidation of the Bank's ordinary shares;
9. VTB's membership in the National Association of Stock Market Participants.

The meeting was attended by 3,841 shareholders representing 81.4% of shares. Decisions were passed on all agenda items: more than 99.4% of participating voters supported it.

The meeting elected a new Supervisory Council and a new Statutory Audit Commission. Traditionally, governing and control bodies included representatives of the Shareholders Consultative Council. The meeting also resolved not to pay dividends for 2023.

Pursuant to the resolution passed at the meeting regarding the consolidation of the Bank's ordinary shares, 5,000 ordinary shares with a par value of RUB 0.01 each were converted into one ordinary share with a par value of RUB 50. This increased the par value of each share while reducing the total number of shares to 5,369,933,893.038.

As part of the preparations for the General Meeting of Shareholders, the Bank continued its practice to create dedicated websites for general meetings of shareholders. Following our well-established tradition, the Bank launched a website for the 2024 Annual General Meeting of Shareholders featuring information about the meeting, materials on agenda items, statements from the Bank's top management, and links to supporting resources. Every day, the Bank updated the number of shareholders who cast their votes on the website. During the meeting, the dedicated website received visits from over 9.6 thousand users.



13 Pursuant to Federal Law No. 25-FZ dated 25 February 2022.

Extraordinary General Meeting of Shareholders held on 16 October 2024

99.1%

shareholders cast e-votes

0.9%

used paper ballots



16.10.2024

Meeting date

14.05.2024

Record date

In absentia

Pursuant to the resolution passed by the General Meeting of Shareholders on the first agenda item, the Bank initiated a restructuring in 2024 involving the spin-off of a legal entity. This new entity will assume assets that the Bank is unable to dispose of due to restrictive measures, as well as liabilities towards foreign persons associated with states committing unfriendly acts against Russian legal entities and individuals.

The restructuring was completed in line with the specific provisions set forth in Article 8 of Federal Law No. 292-FZ On Amendments to Certain Legislative Acts of the Russian Federation, Repeal of Article 7, Part 1, Paragraph 6 of the Law of the Russian Federation "On State Secrets", Suspension of Certain Provisions of Legislative Acts of the Russian Federation and Establishment of the Procedure for Regulating Corporate Relations in 2022 and 2023 dated 14 July 2022. Notably, shareholders did not gain the right to demand that the Bank buy back their shares as a result of the General Meeting of Shareholders' resolution on the Bank's restructuring.

An absentee voting on the meeting agenda took place from 22 September to 15 October 2024. The meeting was attended by 3,050 shareholders representing 99.9% of the votes (including holders of preference shares who, pursuant to Article 32 of Federal Law No. 208-FZ On Joint-Stock Companies dated 26 December 1995, were entitled to vote on the first agenda item). Following the vote, all resolutions were passed; over 99.96% of the votes cast by shareholders participating in the meeting voting FOR.

An extraordinary General Meeting of Shareholders was held in the form of absentee voting on 16 October 2024, with the following matters on the agenda:

1. VTB Bank's restructuring;
2. approval of the new version of the Bank's Charter;
3. approval of the new version of the Regulation on Preparing, Convening and Holding VTB Bank General Shareholders Meetings;
4. approval of the new version of the Regulation on the Supervisory Council;
5. approval of the new version of the Regulation on the Management Board.

2.3. Supervisory Council

The Supervisory Council is one of the most important elements of VTB Bank's corporate governance framework. The Supervisory Council is guided by the interests of the Bank and its shareholders. It acts for the benefit of its shareholders and in accordance with the applicable Russian laws, the Bank's Charter, the Regulation on the Supervisory Council and the Corporate Governance Code.

Key focus areas of the Supervisory Council:

- elaborating and adopting the Bank's development strategy, digital transformation strategy and sustainable development strategy;
- forming the Bank's executive bodies and overseeing their activities;
- assessing the efficiency of the Bank's risk management and internal controls;
- determining the HR policy, including remuneration payable to executive bodies and senior managers; and
- participating in the decision-making process.

The Supervisory Council determines the modus operandi of the Bank's corporate governance framework by adopting internal regulations that govern the principles and procedures of its individual elements and oversees the corporate governance framework as a whole. The Charter stipulates that the establishment and termination of powers of executive bodies, and approval of material employment terms with their members are reserved to the Supervisory Council. The Council's oversight of executive bodies' activities encompasses several core areas:

- execution of the Bank's strategy;
- delivering on targets;

- risk management;
- performance of the internal control framework;
- compliance of the Bank's operations with the applicable Russian laws and regulations.

Remit of the Supervisory Council

The Supervisory Council plays a key role in the Bank's material corporate events. The Supervisory Council reviews critical matters, including:

- defining the Bank's priorities, including in the area of sustainability, and social and environmental responsibility;
- convening the Annual General Meeting of Shareholders and passing relevant resolutions for its assembly and conduct;
- pre-approving the annual report;
- approving annual financial (accounting) statements;
- electing and re-electing the Supervisory Council's Chairman;
- forming executive bodies and terminating their powers;
- putting forward proposals on the Bank's restructuring to the General Meeting of Shareholders for review;
- increasing the authorised capital by issuing additional shares within the authorised number and categories of shares, as defined by Federal Law No. 208-FZ On Joint-Stock Companies dated 26 December 1995 and the Bank's Charter;
- approving the registrar, terms of the registrar agreement, and its potential termination;

- reviewing matters arising from the receipt of a mandatory or voluntary tender offer to purchase in excess of 30% of the Bank's shares;
- reviewing financial results for the reporting period (quarter, year);
- assessing performance of the Supervisory Council, executive bodies, and management;
- approving regulations on the Internal Audit Department;
- approving the risk management policy;
- approving the dividend policy.

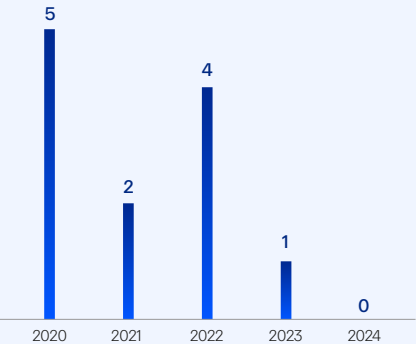
Composition of the Supervisory Council

Members of the Supervisory Council are elected by the General Meeting of Shareholders for a period extending until the next General Meeting of Shareholders. Shareholders holding at least 2% of the Bank's voting shares have the right to propose their nominees to the Supervisory Council. Also, the current Supervisory Council may do so at its own discretion. Members of the Supervisory Council are elected through cumulative voting by the General Meeting of Shareholders.

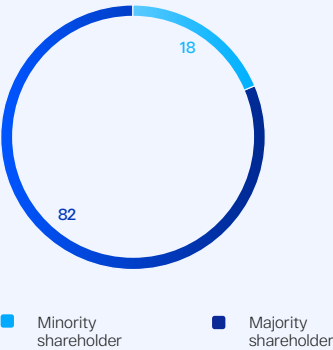
The Annual General Meeting of Shareholders, held on 7 June 2024, elected a new Supervisory Council composed of eleven members. As of 31 December 2024, ten directors were non-executive, with five classified as independent. Such a combination of executive and non-executive directors (including independent directors) is fully in line with international best practices and ensures that the interests of all shareholder groups are represented.

The composition of the Supervisory Council is reviewed annually for their professionalism, experience, performance, and strategic fit.

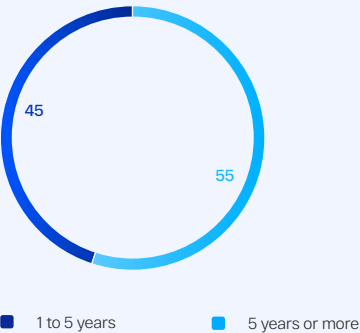
Changes in the Supervisory Council, people



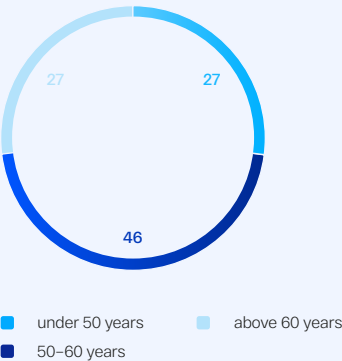
Shareholder representation, %



Duration of service, %



Composition of the Supervisory Council by age, %



Independent directors

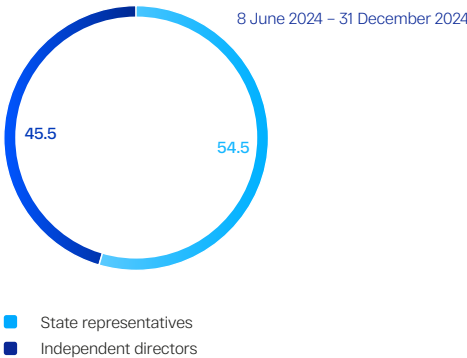
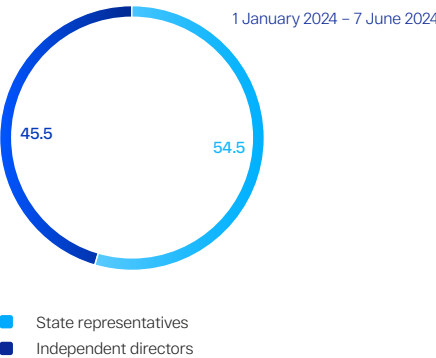
VTB places a great emphasis on maintaining a proportion of independent directors among the members of its Supervisory Council. Their contribution to the Council's performance helps strengthen shareholders' and investors' confidence, transparency of the governance framework and unbiased decision-making.

Independent directors take part in the discussion and approval of resolutions, monitoring of the Bank's performance and competitive position, analysis of the management performance, assessment of risk management and internal control tools and framework, as well as settlement of corporate conflicts.

Independent directors may not be in any relationship with the Bank that would prevent them from fairly and impartially making decisions with regard to VTB's development strategy and day-to-day operations. In determining the

independence criteria for the members of the Supervisory Council, the Bank is guided by the applicable Russian laws, the listing rules of the stock exchange where the Bank's securities are traded, and the Bank's internal regulations.

Proportion of independent directors, %



Independent directors must avoid actions that could compromise their independence and promptly inform the Supervisory Council of any circumstances that might influence their status.

By resolution of the Bank's Supervisory Council, a senior independent director is elected from among the independent directors. The senior independent director acts as an advisor to the Chairman of the Supervisory Council, fosters the Council's effective performance, and coordinates interaction between independent directors. This involves organising and presiding over their meetings when required and liaising with the Bank's shareholders.

Chairman of the Supervisory Council

The Chairman coordinates the activities of the Supervisory Council, convenes and chairs its meetings, keeps minutes, and presides over General Meetings of Shareholders. The Chairman is elected and may be re-elected from among the members of the Supervisory Council by a majority vote. If there is no elected Chairman, the respective duties are assumed by a member of the Supervisory Council appointed by the Supervisory Council.

The Chairman of the Supervisory Council may not concurrently hold the position of the President and Chairman of the Management Board, neither may they sit on the Bank's Management Board or be otherwise employed by the Bank.

On 18 June 2024, the Supervisory Council meeting elected the Chairman from among its members¹⁴.

Induction procedure for members of the Supervisory Council

For newly elected Supervisory Council members, the Bank hosts an induction programme¹⁵.



Liability insurance for Supervisory Council members

Supervisory Council members are insured under the Directors and Officers (D&O) Liability Insurance programme. The programme covers damages (including legal costs) arising from unintentional misconduct, negligence or omission by members of the Supervisory Council in the course of the Bank's financial operations which are reimbursable in connection with possible claims raised by investors, shareholders or government authorities during the insurance period. Such claims may relate to the personal responsibility of members of the Supervisory Council for mistakes made in the decision-making process, flaws in risk management and financial controls resulting in a loss, impairment of the Bank's shares or assets, or damage caused to third parties.

In 2024, the directors liability insurance contract was renewed after the Bank's Operational and Regulatory (Compliance) Risk Management Committee deemed its extension advisable.

HEADS OF TERMS OF THE LIABILITY INSURANCE CONTRACT FOR MEMBERS OF THE SUPERVISORY COUNCIL

Insurer

GAS INDUSTRY INSURANCE COMPANY

Period covered

**25 AUGUST 2024 –
25 AUGUST 2025**

Amount of coverage

RUB 5,000,000,000.00
(five billion and 00/100)

Additional coverage
per independent director

RUB 75,000,000.00
(seventy-five million and 00/100)

¹⁴ Minutes No. 7 dated 18 June 2024.

¹⁵ The programme aims to ensure the effective operation of the Supervisory Council and improve corporate governance practices in line with the best principles, including those set out in the Corporate Governance Code approved by the Bank of Russia's Board of Directors, Regulation on the HR and Remuneration Committee, and the Bank's Corporate Governance Code. The programme was approved by a resolution of the Supervisory Council's HR and Remuneration Committee on 9 August 2019 (Minutes No. 77)..

Preventing conflicts of interest

The Supervisory Council oversees conflict of interest management among the Bank's management, shareholders, and employees, as outlined in Section 4 of its [Corporate Governance Code](#). To this end, the Bank has in place a system for identifying conflicts of interest and managing transactions where such conflicts may arise. Efforts in this area are guided by VTB Bank's Regulation on the Supervisory Council, Regulation on Reporting Interested-Party Transactions, and Regulation on Preventing and Settling Conflicts of Interest.

Certain restrictions are in place to govern and prevent conflicts of interest for Supervisory Council members. More specifically, they are obliged:

- not to exploit their role or information acquired about the Bank's operations for personal gain;
- not to disclose confidential and insider information about the Bank's operations that is considered official, commercial, banking, or any other form of legally protected secret;
- to prioritise the Bank's interests, refrain from making biased decisions favouring particular shareholders or employees, and to duly assess potential risks and adverse outcomes for the Bank in decision-making;
- to promptly inform the Chairman of any personal interest or conflict of interest in decision-making and abstain from voting on such matters;
- to follow the requirements under which members who are public servants do not receive remuneration or compensation¹⁶.

For nominees to the Supervisory Council, documentation is thoroughly reviewed¹⁷, including verifying a nominee's compliance with restrictions related to appointment to the Bank's Supervisory Council and holding/receiving positions post-election set out in the applicable Russian laws. If serving as a public servant, the nominee must provide written confirmation of adherence to such restrictions.

Should a conflict of interest at any point impact or potentially impact the Bank's executive bodies, the Supervisory Council takes charge of its resolution, specifically its Strategy and Corporate Governance Committee. Members of the Supervisory Council facing a personal conflict of interest are suspended from the resolution process.

Report on the activities of the Supervisory Council

Meetings of the Supervisory Council are convened at the discretion of its Chairman or at the request of a Council member, the Statutory Audit Commission, the auditor, the Management Board, the President and Chairman of the Management Board or the Head of the Internal Audit Department. A quorum is formed by the attendance of at least half of the elected members.

Decisions are taken by a majority vote of members unless otherwise provided for by the Bank's Charter and the Regulation on the Supervisory Council. For decision-making purposes, each member of the Council has one vote. When considering agenda items, the members of the Supervisory Council evaluate potential conflicts of interest between them and the Bank and refrain from voting on (and, if necessary, discussing) any matter that may, in their opinion, lead to a conflict of interest.

The Supervisory Council's schedule covers the period between Annual General Meetings of Shareholders and is approved by the Council. Meetings are scheduled in advance based on the Bank's business cycle and may be held in person or in the form of absentee voting. If necessary,

they may be held out of schedule. The format of each meeting is determined in accordance with the Bank's Charter with due regard to the importance of its agenda, with the most important matters to be resolved at in-person meetings.

Following a meeting in person or in absentia, minutes are made to reflect the voting results and the opinion of each member of the Supervisory Council on agenda items.

In 2024, the Supervisory Council engaged with minority shareholders and also considered the Report on Cooperation with the Bank's Shareholders and a shareholder relations plan for the calendar year. Members of the Supervisory Council – representatives of minority shareholders took part in meetings with the Supervisory Council and meetings of the Shareholders Consultative Council.

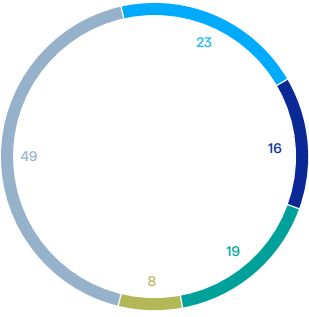
The Supervisory Council considered a total of 115 matters in 2024, including 44 matters supplied with the Committees' recommendations.

During the reporting period, the Supervisory Council reviewed the findings from the assessment of the reliability and effectiveness of the Bank's risk management and internal control system.

	Number of meetings and absentee votes	In person	In absentia	Number of matters considered
2024	16	5	11	115
2023	19	5	14	125
2022	18	4	14	144
2021	20	7	13	150
2020	15	5	10	122

¹⁶ The Bank's Regulation on Remuneration and Compensation to Members of the Supervisory Council (Minutes of the General Meeting of Shareholders No. 56 dated 1 July 2021).
¹⁷ The document review procedure is established by the Bank of Russia's Regulation No. 625-P On the Procedure for Approving by the Bank of Russia of Candidates' Appointment (Selection) to Positions in a Financial Institution; for Notifying the Bank of Russia about Selecting (Terminating Authorities), Appointing (Releasing from Office of) Top Managers, Other Officials in Financial Institutions; for Assessing Compliance with the Qualification Requirements and (or) Requirements for Business Reputation of the Top Managers, Other Officials and Founders (Shareholders, Members) of Financial Institutions; for Forwarding Information to the Bank of Russia by a Member of a Financial Institution's Board of Directors (Supervisory Board) on Voting (Non-voting) against a Decision Made by the Board of Directors (Supervisory Board) of a Financial Institution; for Requesting Information from the Bank of Russia and the Latter's Replying Regarding the Availability (Non-availability) of Information in Databases Stipulated by Articles 75 and 76.7 of Federal Law No. 86-FZ, Dated 10 July 2002, 'On the Central Bank of the Russian Federation (Bank of Russia)'; and on the Procedure for Maintaining Such Databases dated 27 December 2017.

Matters considered by the Supervisory Council
in 2024



- Review of reports and plans
- Risks and internal controls
- HR matters and incentive system
- Priority areas of operations
- Corporate governance and procedural matters

Information technology used
by the Supervisory Council

Since 2018, members of the Supervisory Council have been using their mobile accounts as a single access point to materials from current and past meetings of the Council and its Committees, as well as information about the decisions made, participants and other data required for them to perform their duties effectively, including financial statements, press reviews, internal regulations, etc. On top of that, members of the Supervisory Council can vote remotely using an electronic signature.

Performance assessment
of the Supervisory Council

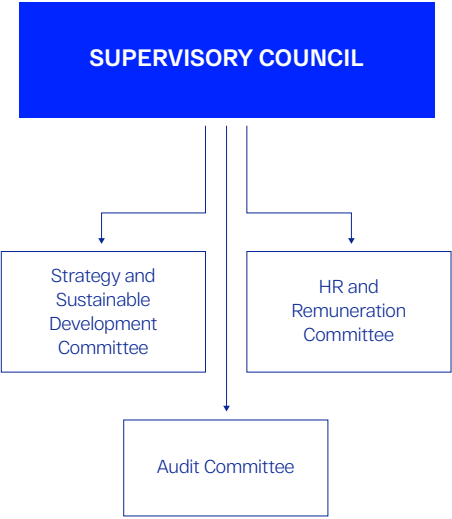
VTB Bank conducts annual assessments of its corporate governance framework, which also includes a self-assessment by members of the Supervisory Council using a questionnaire based on the Methodology for Assessing the Bank's Corporate Governance approved by the Supervisory Council.

The methodology introduces the following measures of merit:

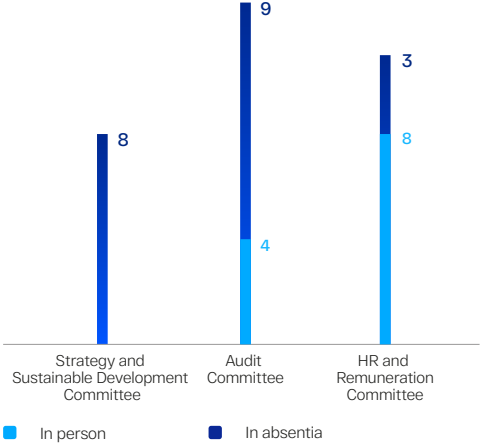
- dividing powers between the governing bodies and strategic management;
- forming the executive bodies and overseeing their activities;
- determining the principles of, and approaches to, organising a risk management system;
- monitoring internal controls;
- preventing conflicts of interest involving shareholders, members of the Supervisory Council, executive bodies;
- activities of the Supervisory Council;
- composition, structure and overall competence of the Supervisory Council; and
- information policy and disclosures.

Supervisory Council Committees

For effective management and supervision, as well as for the preliminary detailed study of certain matters, VTB Bank has Committees that develop recommendations on the most important matters within the competence of the Supervisory Council.



Total number of meetings / absentee votes
of Committees in 2024



	Number	Independent directors	Non-executive directors	Executive directors
Strategy and Sustainable Development Committee	8	5	7	1
Audit Committee	4	4	4	0
HR and Remuneration Committee	3	3	3	0

Strategy and sustainable development committee

"In the reporting year, the Strategy and Sustainable Development Committee formulated recommendations for the Supervisory Council on key matters of strategic and business planning, sustainable development, and strategic directions. It reviewed and recommended for approval the Bank's business plan and budget for 2025, and amendments to the Digital Transformation Strategy for 2022–2024, while also providing recommendations on consolidation of the Bank's ordinary shares, distribution of profit for 2023, amalgamation of Bank Otkritie Financial Corporation and Sarovbusinessbank into BM-Bank, and combination of RNCB with VTB Bank.

The Committee also considered a report on the implementation of the Bank's Long-term Development Programme in 2023 and the Report on Sustainable Development for 2023. In terms of corporate governance, the Committee, among other things, reviewed the Bank's participation in the National Association of Stock Market Participants and the findings of the Bank's corporate governance assessment for 2023."

Chairman of the Committee

19 MATTERS

reviewed by the Strategy and Sustainability Committee in 2024

Duties of the Strategy and Sustainability Committee

The Committee assists the Supervisory Council in resolving matters in the field of strategy, sustainable development, social and environmental responsibility, as well as corporate governance. Its main duties are:

- establishment of strategic goals and priorities in the development of the Bank, including in the field of sustainable development, social and environmental responsibility, for the short, medium, and long term, and monitoring their achievement;
- support and improvement of the corporate governance framework;
- improvement of the Bank's equity strategic management activities.

Key focus areas of the Strategy and Sustainability Committee in 2024

Strategic goals and priorities:

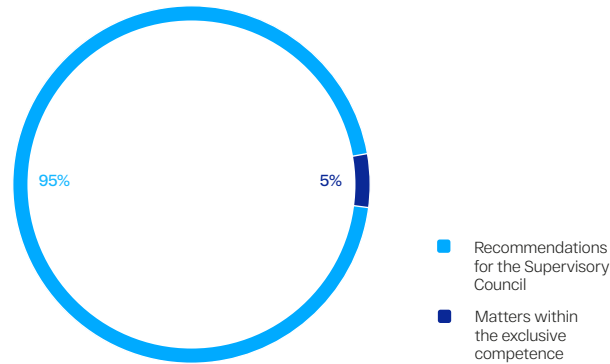
- amendments to the Digital Transformation Strategy 2022–2024;
- business plan and budget for 2025;
- report on the implementation of the Long-Term Development Programme for 2023;
- Sustainability Report for 2023.

Capital management:

- consolidation of the Bank's ordinary shares;
- profit distribution for 2023 and resolution on dividends;
- amalgamation of Bank Otkritie Financial Corporation and Sarovbusinessbank into BM-Bank;
- combination of RNCB with VTB Bank;
- plan to restore the Bank's financial stability;
- action plan to preserve regulatory capital adequacy on solo and consolidated bases.

Corporate governance:

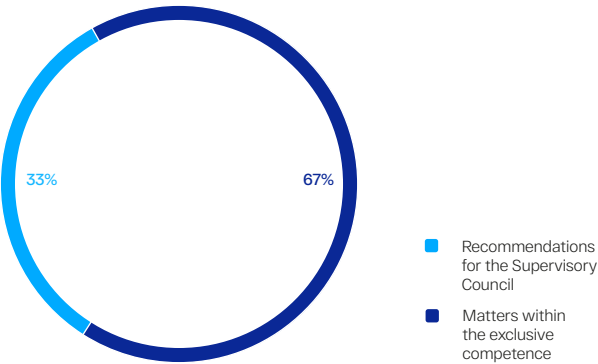
- VTB's participation in the National Association of Stock Market Participants;
- the Bank's corporate governance assessment for 2023.



Audit Committee

"The Audit Committee, comprising exclusively independent Supervisory Council members, continued to exercise thorough control over the Bank's financial and business operations in 2024. This involved quarterly monitoring of the structure and evolution of consolidated financial results and operations, and validation of the financial statements' quality and reliability through external auditor review, whose selection is also controlled by the Committee. Discussions on managing various risk types ensured continuous oversight of the internal control framework's reliability and effectiveness. A special emphasis was laid on import substitution, responding to relevant external threats (including external fraud), and improving the quality of service for VTB's retail customers."

Chairman of the Committee



Duties of the Audit Committee

Establishing an audit committee within the board of directors or supervisory council is a standard corporate governance practice globally. It ensures the creation, consistent evaluation, and upkeep of an internal control framework suited to the organisation's scale and operations, along with facilitating smooth collaboration with the internal audit function.

To handle these tasks, VTB Bank has the Audit Committee, which:

- assesses and upholds the effectiveness of the Bank's internal control and risk management frameworks;
- exercises general supervision over the preparation of financial statements and the functioning of the internal control framework;
- controls and analyses the activities of the Bank's Internal Audit Department;
- interacts with the external auditor.

The exclusive competence of the Audit Committee includes the assessment of candidates for the Bank's external auditor, assessment of the auditor's report, the effectiveness of the Bank's internal control procedures, as well as the development of proposals for their improvement.

33 MATTERS

reviewed by the Audit Committee
in 2024

Key focus areas of the Committee in 2024

The key areas of work of the Audit Committee in the reporting period – in the context of following the functions, recommendations of the Regulator and the Federal Agency for State Property Management, best practices in corporate governance and the challenges of the reporting period – were:

1. **as part of control over the preparation of accounting (financial) statements:**
 - implementation of control over ensuring the completeness, accuracy and reliability of the Bank's financial statements;
 - regular review of VTB Group's consolidated financial statements and quarterly monitoring of financial performance;
2. **as part of analysis of the risk management system and the maintenance of an effective and adequate internal control system:**
 - monitoring the implementation of procedures for the identification, assessment, management and monitoring of risks associated with the preparation of accounting (financial) statements;
 - discussion of strategic issues of development and risk management of the Bank and VTB Group, including a preliminary review of the updated Risk and Capital Management Strategy, as well as approaches to managing the most significant risks;
 - review of the recommendations of the Bank's Internal Audit Department and the External auditor in order to identify risk areas in the Bank's operations that require priority attention as part of the implementation of internal and/or external audit procedures;
 - monitoring the Bank's import substitution efforts with a focus on IT;
 - review of responses to relevant external threats, including external fraud, and consideration of the Bank's risk mitigation measures;

- discussion of retail customer service quality and measures taken to improve it;
 - analysis of the implemented tools aimed at maintaining the effectiveness of the internal control system in the field of countering the legalization (laundering) of proceeds from crime and the financing of terrorism;
 - preliminary analysis of amendments to the Bank's principal internal regulations that shape risk and capital management strategies, along with the application of advanced risk and capital management methods in the Bank (including with inputs from the Internal Audit Department);
- 3. as part of interaction of the Supervisory Council with the external auditor:**
- appointment of an audit firm for the mandatory annual audit and providing the Supervisory Council with recommendations on potential external auditor for the Bank and the cost of its services;
 - detailed discussion with the external auditor of approaches to the implementation of audit procedures at the stage of planning the audit of financial statements;
 - analysis of the results of the external auditor's work, evaluation of the external auditor's conclusion and his recommendations within the framework of the audit / review procedures of the interim and annual reports of the Bank and VTB Group;
- 4. as part of execution of certain instructions of the Supervisory Council:**
- monitoring of the amount of write-offs by the Bank of bad loans (legal entities and individuals) at the expense of the provision for possible losses on loans, on loan and equivalent debt;

5. as part of monitoring the activities of the Internal Audit Department:

- preliminary review of the key focus areas and general work plan of the Bank's Internal Audit Department for the next calendar year;
- discussion of the reports of the Internal Audit Department on the main identified violations, errors and shortcomings in the operations of the Bank and its subsidiaries, including information on the measures taken to implement the recommendations and eliminate the identified violations;
- self-assessment of the Internal Audit Department's activities to ensure alignment with International Standards for the Professional Practice of Internal Auditing and the Ethics Code.

HR and Remuneration Committee

"In 2024, the Human Resources and Remuneration Committee reviewed changes to the Management Board's composition, defined key performance indicators to assess Management Board performance, and addressed other matters within its scope of competence to develop relevant recommendations and present them to the Supervisory Council."

It also played a key role in proposing candidates for the Supervisory Council and the Bank's Statutory Audit Commission."

Chairman of the Committee

25 MATTERS

reviewed by the HR and Remuneration Committee in 2024

Duties of the HR and Remuneration Committee

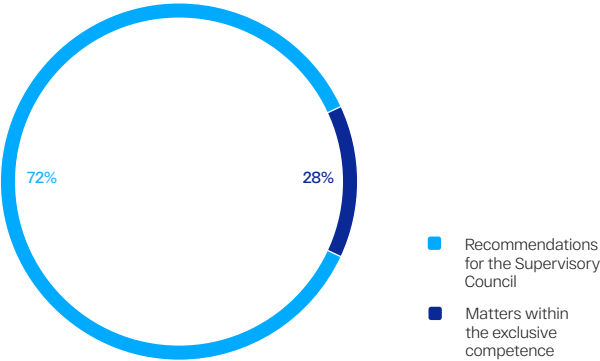
The HR and Remuneration Committee assists the Supervisory Council in addressing matters within its competence in accordance with the Regulations on the HR and Remuneration Committee. It is formed from members of the Supervisory Council who have professional knowledge and experience in its activities. Its main duties are:

- ensuring continuity in the activities of the management bodies and the Statutory Audit Commission of the Bank;
- organisation of evaluation of the activities of the governing bodies and the Statutory Audit Commission of the Bank;
- review of the Bank's personnel policy, including in the field of remuneration and control of its implementation;
- assistance in ensuring compliance with applicable Russian laws regulating the activities of members of the governing bodies and the Statutory Audit Commission.

Key areas of work of the Committee in 2024

In 2024, the Committee considered the matters of making up the Supervisory Council and the Statutory Audit Commission, determining the amount of remuneration for work as part of the Statutory Audit Commission, making up the Bank's Management Board and determining remuneration of members of the Bank's Management Board, proposals on key performance indicators for evaluating the activities of the President and Chairman of the Management Board and members of the Management Board, and monitoring and control of the remuneration system. The Committee also reviewed the new version of the Regulation on Remuneration and Key Performance Indicators for Executive Bodies of VTB Bank.

Apart from that, the Committee reviewed assessment of compliance of members of the Supervisory Council with the criteria of independence for members of the Board of Directors (Supervisory Council) of the issuer as outlined in the Listing Rules of the Moscow Exchange, while also resolving other matters within its scope of competence.



Remuneration payable to members of the Supervisory Council and executive bodies of VTB Bank and compensation for expenses incurred by them

The amount and procedure for payment of remuneration and compensation to members of the Supervisory Board shall be determined in accordance with the Regulation on remuneration and compensation paid to members of the Bank's Supervisory Board, approved by the General Meeting of Shareholders.

Members of the Supervisory Board may be paid remuneration during the period of performance of their duties, and expenses related to the performance of their duties may be compensated depending on their actual participation in the work of the Supervisory Board / Committee of the Supervisory Board.

Payment of remuneration to members of the Bank's Supervisory Board is made based on the results of work for the period from the moment of election of a candidate for membership of the Supervisory Board at the General Meeting of Shareholders of the Bank until the moment of election of the Supervisory Board at the next General Meeting of Shareholders in a new composition (hereinafter referred to as the Billing Period).

In the event of early termination of powers, as well as re-election of members of the Supervisory Board at an extraordinary General Meeting of Shareholders, the amount of remuneration of the newly elected (who terminated powers) member of the Supervisory Board is determined

in proportion to the time worked as a member of the Supervisory Board, Chairman of the Supervisory Board, senior independent director, member of the Supervisory Board Committee and Chairman of the Supervisory Board Committee in the billing period calculated in calendar days.

The condition for payment of remuneration is participation (including in the video conference mode) in at least half of the meetings held, as well as in at least half of the absentee voting of the Supervisory Board and the Supervisory Board Committee.

In accordance with the legislation of the Russian Federation, members of the Supervisory Board who have the status of a civil servant are not paid remuneration.

Remuneration is made by the Bank by transferring funds; other forms of remuneration are not provided.

The final amount of remuneration of a member of the Bank's Supervisory Board for the performance of his / her duties in the Billing Period includes the following components:

- the basic part of the remuneration – for the performance of the functions of a member of the Bank's Supervisory Board;
- an additional payment – for the performance of additional duties within the framework of the work of the Bank's Supervisory Board and (or) committees under the Bank's Supervisory Board.

Members of the Supervisory Board who are not civil servants are compensated for expenses related to the performance of their functions during the period of their duties.

Types and amount of remuneration for members of the Supervisory Board



Base part

RUB **6,000,000**

+

50%

of the Base part of remuneration

Allowance for performing duties
of the Chairman of the Supervisory
Board

+

30%

of the Base part of remuneration

Allowance for performing duties
of the Chairman of the Supervisory
Board Committee

+

30%

of the Base part of remuneration

Allowance for performing duties
of a senior independent
director

+

20%

of the Base part of remuneration

Allowance for performing duties
of a member of the Supervisory
Board Committee

Corporate Secretary

As the Bank's officer, the Corporate Secretary:

- oversees compliance by the Bank's governing bodies and employees with the applicable Russian laws, the Bank's Charter and internal regulations enabling its shareholders to exercise their rights and legitimate interests;
- ensures liaison between the Bank and its shareholders;
- promotes corporate governance practices; and
- contributes to the efficient operation of the Supervisory Council.

The Corporate Secretary functionally reports to the Supervisory Council and also administratively reports to the President and Chairman of the Management Board. The Corporate Secretary is appointed and dismissed by, accountable to and reports to, the Supervisory Council.

The Supervisory Council reviews and approves the Corporate Secretary's report on an annual basis. The report for 2023 was approved by the Supervisory Council on 11 March 2024.

The Supervisory Council Administration operates under the guidance of the Corporate Secretary. The Corporate Secretary serves as secretary to the Supervisory Council and the General Meeting of Shareholders.

The Corporate Secretary acts pursuant to the [Regulation on the Corporate Secretary¹⁸](#), which incorporates the requirements of the Listing Rules of the Moscow Exchange, the recommendations of the Corporate Governance Code approved by the Bank of Russia, and the guidelines of the Federal Agency for State Property Management

The Corporate Secretary's primary responsibilities include:

- organising and holding the General Meeting of Shareholders;
- facilitating the activities of the Supervisory Council and its committees;
- supporting the Statutory Audit Commission;
- managing the disclosure and storage of corporate documents;
- coordinating and overseeing interactions between the Bank and its shareholders, contributing to corporate conflict prevention;
- enhancing the Bank's corporate governance framework and practices;
- coordinating communication with federal executive bodies, the Bank of Russia, the registrar and securities market organisers, including liaising with the Moscow Exchange regarding the listing of the Bank's shares on Level 1 quotation list.

18 Approved by the Supervisory Council (Minutes No. 22 dated 7 September 2015).

2.4. Control and audit

Internal control and audit



The internal control framework

is a vital element of the Bank's operations, which enables more efficient achievement of our strategic goals. It comprises financial and other control procedures to support the Bank's operations and ensure employee compliance with adopted rules, asset security, accuracy and completeness of issued documents, as well as accurate and timely performance of transactions, including those of our customers.

The internal control framework envisages control procedures for each of the Bank's areas of operations: from controls (the four-eyes principle) for all high-risk transactions to delegating authority and applying complex risk assessment and management approaches involving different departments.

VTB Group's internal control framework ensures:

Operational excellence
at VTB Bank and VTB Group

Effective management of assets and liabilities
(including asset protection) and risk management

Reliable, complete, and timely financial and management information disclosure and reporting

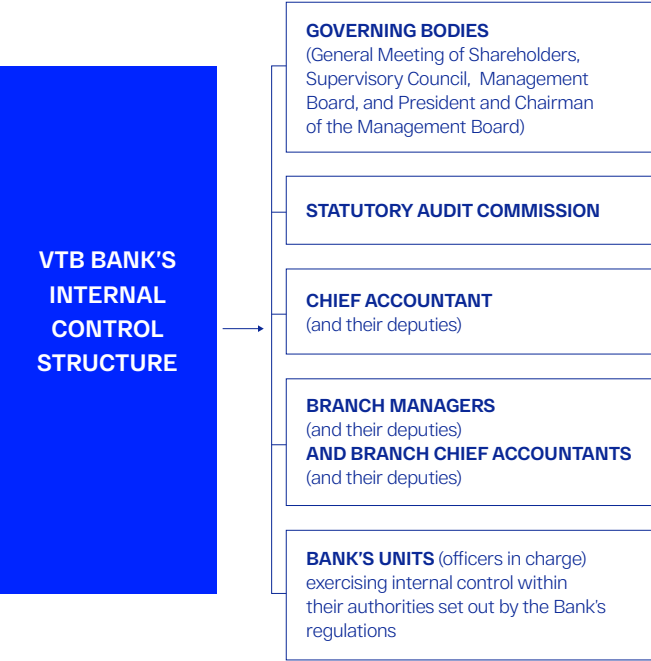
Information security

Compliance with applicable laws, regulations, rules, and international standards of internal audit

No involvement of VTB Group or its employees in unlawful activities

VTB Group's internal control and audit functions operate in line with best practices and in compliance with applicable laws of the countries across the Group's footprint. Structural hierarchy and convergence of internal control mechanisms provide for an appropriate level of their independence.

VTB Group's Management Committee established an Internal Audit Coordination Commission as well as a Coordination Committee for Compliance and Internal Control aimed at preventing money laundering, financing of terrorism, and financing the proliferation of weapons of mass destruction.



Main objectives of VTB Group's internal control and audit:

- to independently assess the effectiveness of the internal control and risk management, accounting and reporting, business processes, and the activities of units and individual employees, as well as to assess the economic feasibility and effectiveness of operations and transactions;
- to verify the reliability of internal control over the use of automated information systems, and to review the methods used to protect assets and property;
- to monitor key risk areas and control tools, with a view to identifying shortcomings in internal controls, and emerging risks, and to develop risk-prevention mechanisms;
- to draft recommendations for improving the efficiency of systems, processes, procedures, transactions and activities of the Group's units and employees;
- to communicate with external regulatory bodies and auditors.

Internal controls are monitored on an ongoing basis by the management and employees of the Bank's units, as well as by the Internal Audit Department.

Audit Committee

The Audit Committee was established under the Bank's Supervisory Council to ensure effective control over financial and business operations.

For more details on the Audit Committee, see Supervisory Council Committees

Internal Audit Department

The Internal Audit Department helps the governing bodies to manage the Bank's operations in an efficient manner. It monitors the internal control framework, conducts audits, and provides independent recommendations on the improvement of the banking operations and controls.

The Internal Audit Department is a standalone unit of VTB Bank reporting directly to the Supervisory Council, which approves the Department's work plans, oversees their implementation, and reviews audit findings and reports as regards the monitoring of internal controls and the implementation of the Department's recommendations to address identified issues.

The Internal Audit Department's organisational structure comprises units in charge of auditing the Corporate Investment Business, Medium and Small Business, and Retail Business, IT and support and control functions, as well as regional units. To make internal control monitoring in the Bank's regional network more effective, some of the Internal Audit Department's employees are part of permanent dedicated teams at the branch level.

The Internal Audit Department actively employs remote/digital means of audit to significantly increase the number of audited transactions, deals and procedures as well as the sampling depth, to automate the auditing of the Bank's processes and units, and to maintain and improve the quality of internal audit.

In 2024, the Internal Audit Department achieved its strategic targets and goals aimed at developing the internal audit methodology and digitalisation of the Department's activities, in full and in due time. In adopting cutting-edge technologies, the Bank tested elements of artificial intelligence for audit exercises.

In 2024, the Bank placed special emphasis on corporate lending, business profitability and sales efficiency, funding, digitalisation, anti-fraud protection, budgeting, and risk management. The Department held 39 scheduled audits

and checks, including 16 checks of various workstreams in the Head Office¹⁹ and 20 audits of branches. Furthermore, its experts conducted 518 thematic audits of local units. In addition to its scheduled monitoring audits, to oversee progress in implementing new digital tools, technologies, and products in the Bank's operations and customer service, the Internal Audit Department conducted around 80 express audits in 2024. The Internal Audit Department fully delivered on its work plan.

Apart from auditing and monitoring the Bank's internal control framework, the Internal Audit Department focuses on overseeing operations, coordinating and maintaining unified standards for internal audit practices and competencies at subsidiaries, including providing methodological support for the internal audit function within VTB Group. In 2024, the Internal Audit Department carried out various control measures across the Group's subsidiary companies and banks on a centralised and end-to-end basis.

The audit plan for 2025 is primarily focused on assessing areas such as customer service quality and the loyalty programme, the reliability and security of digital services, and capital efficiency. Particular attention will be paid to developing an effective control environment within the Bank's anti-fraud processes.

The Internal Audit Department provides the Audit Committee and the Bank's external auditors with information on the internal control framework and key shortcomings identified during the audit period.

In 2024, the Audit Committee of the Bank's Supervisory Council recognised the results of internal audit activities for 2023 as fully consistent with the targets and goals²⁰.

The Internal Audit Department has developed and started implementing the Quality Assurance and Improvement Programme, which defines the key methods and approaches to ensuring the robust performance,

continuous development, as well as quality and efficiency improvement of the Department's operations covering all of the areas of internal audit. According to an external independent assessment, the Bank's internal audit function is fully compliant with international standards and the Internal Audit Code of Ethics.

Compliance control

The Bank has put in place a compliance framework. Compliance stands for the adherence of the Bank and its employees to Russian laws and the VTB's internal regulations, as well as standards of self-regulatory organisations.

Principles of the Bank's compliance framework:

- independence – there is a standalone unit in charge of managing compliance risks (regulatory (compliance) risks²¹);
- resource adequacy – the framework has sufficient and relevant resources for its effective functioning.

The Bank has a dedicated unit – the Compliance Control and Financial Monitoring Department. Its key objectives are:

- to support the internal control framework in the field of countering money laundering, financing of terrorism (AML/CFT), and financing the proliferation of weapons of mass destruction in accordance with Russian laws and requirements set out by the Bank of Russia and other regulatory authorities;
- to minimise the risks of suspicious transactions made by customers;
- to send daily reports to the Federal Financial Monitoring Service;

- to manage regulatory (compliance) risk;
- to prevent and fight corruption;
- to provide AML/CFT functional coordination for VTB Group companies.

Interaction with customers

One of the key tasks of the Compliance Control and Financial Monitoring Department is to provide methodological support to the Bank's business units in implementing new products and services and improving customer service.

Throughout 2024, with the Department's direct involvement, the Bank introduced new products and services accessible via digital channels to customers across all segments. Regardless of the product's nature, features, or the way it is offered, its development and implementation are subject to mandatory expert review by the Compliance Control and Financial Monitoring Department to ensure compliance with applicable laws.

To achieve the strategic objectives of consolidating the Bank's position overseas, developing foreign branches, acquiring new customers, and growing the active customer base, the operational framework of the Bank's branch in Shanghai (China) was completely overhauled during the reporting period. With the involvement of the Compliance Control and Financial Monitoring Department, the Bank implemented a comprehensive set of measures that significantly streamlined and accelerated processes for customer interaction and the delivery of VTB Bank products.

The Bank reviewed and reassigned roles and functions, and launched additional process automation. This also helped reduce the time spent

19 A set of governing bodies and units set out in the Bank's regulations and guidelines defining the Bank's organisational structure.
20 Minutes No. 232 of the Supervisory Council's Audit Committee dated 11 April 2024.
21 The risk of losses resulting from non-compliance with laws, the Bank's internal regulations, and standards of self-regulatory organisations (mandatory for the Bank), as well as losses on fines and /or other penalties imposed by external supervisory authorities.

on the most routine stages of customer onboarding and account opening, including identification for AML/CFT purposes.

Integration of subsidiary banks

In late 2024, VTB Bank completed all integration activities related to the acquisition of Otkritie Bank assets.

Combining the businesses of the two banks in such a short timeframe, involving a huge number of diverse activities – from converging product offerings to building convenient, seamless customer journeys for customers migrating to VTB Bank without compromising service quality or access to familiar products – would have been difficult to achieve without the active involvement of the compliance team in the integration processes.

For two years, the Compliance Control and Financial Monitoring Department supported the Retail Business in launching incentive campaigns for customer migration, and the Corporate Business in revising and implementing targeted products and service terms for customers being transferred to VTB.

As a result of this effort, millions of Otkritie Bank customers joined VTB Group and experienced the new service benefits.

In 2024, the Bank started integrating RNCB and Post Bank into VTB Bank. In particular, fundamental AML/CFT principles for customer migration were developed. These principles outlined the main requirements for customers and their identification details, and established a set of measures to be implemented before customer migration to ensure compliance with regulatory requirements. Throughout the integration process, the Compliance Control and Financial Monitoring Department has been working closely with the Bank's units to develop integration solutions aimed at minimising potential regulatory risks.

Compliance risk management

The Bank has a regulatory (compliance) risk management framework in place. This framework involves:

- collecting information on risk events in a dedicated IT system;
- monitoring the effectiveness of regulatory risk management through the assessment of key regulatory risk indicators;
- developing measures aimed at mitigating regulatory risks;
- annual assessment by employees of their processes and activities across the Bank's units from the perspective of exposure to regulatory risk.

The Compliance Control and Financial Monitoring Department tracks and monitors events related to regulatory (compliance) risk on a daily basis, analyses their causes, gives recommendations to other units, and oversees their implementation.

In 2024, the Bank took part in the Russian Business Anti-Corruption Rating conducted by the national non-governmental organisation Russian Union of Industrialists and Entrepreneurs. Following the analysis of its procedures and processes, for the fifth time in a row VTB Bank received a top rating of AAA+ (a company with exceptional anti-corruption efforts).

The Bank operates a hotline for reporting violations and abuse. Its operations are governed by the Rules for Bank Employees Reporting Actual or Potential Violations to the Hotline for Violations and Abuse at the Bank²².

The Compliance Control and Financial Monitoring Department receives and reviews employee reports to the hotline regarding known or suspected violations of laws or the Bank's internal regulations. Independent investigations are conducted based on the submissions received, which result

in reports and recommendations. Information on submissions to the hotline for reporting violations and abuse is communicated to the Bank's management in relevant reports.

Coordinating VTB Group subsidiaries

VTB Group's Management Committee has a Coordination Committee for Compliance and Internal Control (the "Committee") in place to prevent money laundering, financing of terrorism, and financing the proliferation of weapons of mass destruction.

The Committee aims to maintain high compliance standards at subsidiaries, including enhancing the efficiency of relevant units, aligning approaches, and facilitating the rapid sharing and implementation of best practices.

Key areas of the Committee's activities in 2024:

- developing mechanisms for identifying, managing, and mitigating regulatory (compliance) risks by improving self-assessment mechanisms;
- implementing new practices for the hotline for reporting violations and abuse as a tool for identifying conflicts of interest and countering commercial bribery and corruption;
- sharing best practices and experience for assessing, controlling, and mitigating corruption risks;
- enhancing the efficiency of money laundering risk management through faster exchange of information on new suspicious transaction classifications and the implementation of automated controls.

Participation in governmental programmes

In 2024, the Bank participated in various state initiatives regarding AML/CFT led by the Federal Financial Monitoring Service and the Bank of Russia.

For instance, as part of a pilot project in 2024, the Compliance Control and Financial Monitoring Department developed rules and scenarios for monitoring digital rouble transactions. It also introduced basic checks serving as a preventive tool to restrict high-risk customers from accessing the Platform and conducting transactions in the new currency. From 1 July 2025, the Bank is set to implement the full range of AML/CFT functions and establish target processes for monitoring and analysing digital rouble transactions.

Statutory audit commission

The Bank has in place a Statutory Audit Commission to exercise control over its financial and economic operations, which makes sure the Bank's operations are aligned with the interests of its shareholders and comply with the applicable Russian laws.

The Statutory Audit Commission oversees the following:

- the Bank's compliance with Russian accounting regulations, compiling reports and reporting;
- reliability of information contained in the reports and other financial documents;
- set-up of the internal control framework;

- steps taken in furtherance of instructions from the Russian President and the Russian Government.

The Commission acts on the basis of the Charter and the [Regulation on the Statutory Audit Commission of the VTB Bank](#). The Commission is elected at the Annual General Meeting of Shareholders, which determines its size and composition for the period until the next Annual General Meeting. At the meeting held on 7 June 2024, the Annual General Meeting of Shareholders elected a new Statutory Audit Commission made up of five members, including a chairman, for a new term.

In 2024, according to the 2023–2024²³ work plan, the Statutory Audit Commission reviewed the data included in annual accounting (financial) statements for 2023 in compliance with the Russian Accounting Standards (RAS), including the statement of financial results and other documents presented to the Annual General Meeting of Shareholders. It also assessed the Bank's compliance with the applicable Russian laws in 2023. Following the review, the Statutory Audit Commission prepared and approved an opinion, where it acknowledged the overall accuracy of the accounts and the absence of material grounds for not confirming the data in the balance sheet and the statement of financial results as of 1 January 2024.

In its opinion, the Statutory Audit Commission reaffirmed that:

- no material violations of regulations of the Russian Federation as regards accounting and reporting procedures or financial and business operations were found that could have had a significant impact on the Bank's financial results for 2023;
- the data contained in the Bank's annual accounting (financial) statements for 2023 and other financial documents are reliable and fair and provide a true picture of the Bank's financial position as of 1 January 2024;
- the Bank's annual report for 2023 was prepared in accordance with the applicable Russian laws;

- the information contained in the report on interested-party transactions completed by the Bank in 2023 is accurate;
- the Bank complies with the statutory requirements set by the Bank of Russia;
- the Bank's corporate governance, risk management and internal controls meet the requirements set by the Russian laws and regulations of the Bank of Russia and are in accordance with the nature and scale of the Bank's operations.

The opinion of the Statutory Audit Commission on its audit of the Bank's financial and business operations in 2023 was presented to the Annual General Meeting of Shareholders on 7 June 2024.

In line with its 2023–2024 work plan, the Statutory Audit Commission held two in-person meetings which reviewed the following matters, among others:

- review of data contained in reports and confirmation of its reliability;
- performance of the Bank's administrative budget under RAS for 2023;
- execution of the business plan for net operating income including provisions (RAS) for 2023;
- implementation of the Long-Term Development Programme in 2023;
- integration of the provisions of the Bank of Russia's Corporate Governance Code into the Bank's governing documents;
- assessment of the organisation and monitoring of the Bank's internal controls;
- implementation of the Bank's non-core asset disposal programme in 2023;

- implementation of the Bank's Investment Programme for 2023;
- the Bank's compliance with procurement procedures in 2023;
- implementation of instructions and directives of the Russian Government;
- the accuracy of information contained in the report on interested-party transactions completed by the Bank in 2023;
- internal regulations governing the activities of the Statutory Audit Commission;
- election of the Chairman of the Statutory Audit Commission;
- approval of the Statutory Audit Commission's work plan for 2024–2025 (corporate year) and the programme for auditing the Bank's financial and business operations for the 2024–2025 (corporate year);
- approval of the programme for verifying the analysis of the Bank's internal regulations by the Statutory Audit Commission.

In 2024, VTB Bank provided members of the Statutory Audit Commission with information necessary to monitor the Bank's financial and business operations, including annual and interim accounting (financial) statements under RAS, consolidated financial statements under IFRS, as well as information on the Bank's implementation of directives and instructions issued by the Russian Government, on the Long-Term Development Programme and on the non-core asset disposal programme.

According to the [Regulation on Remuneration and Compensation Paid to Members of the Statutory Audit Commission](#), the remuneration is paid to members of the Statutory Audit Commission for the period from election to the Statutory Audit Commission at the General Meeting of Shareholders to election of a new Commission at the next General Meeting (the "Calculation Period"). Remuneration payable to the Statutory Audit Commission

for performing its duties in the Calculation Period includes the following components:

- the basic part for performing relevant duties;
- a bonus for chairing the Statutory Audit Commission.

The basic part of the remuneration paid to members of the Statutory Audit Commission is 20% of the average remuneration paid to a member of the Bank's Supervisory Council who is not a public servant. The basic part is payable to a member of the Statutory Audit Commission provided they were present at and / or attended remotely in the form of a conference call and / or video conferencing at least half of the meetings and participated in at least half of absentee votes held by the Statutory Audit Commission in the Calculation Period.

The Bank established a bonus equal to 30% of the basic remuneration paid to Commission members for chairing the Commission. The bonus is payable to the Chairman of the Statutory Audit Commission for performing relevant duties provided they were present at and / or attended remotely in the form of a conference call and / or video conferencing at least half of the meetings and participated in at least half of absentee votes held by the Statutory Audit Commission in the Calculation Period.

The actual remuneration paid by the Bank to each member of the Statutory Audit Commission is determined by the Commission Chairman and reviewed by the Supervisory Council's Staff and Remuneration Committee.

External auditor

Every year, VTB Bank engages an independent external auditor to check and verify its annual accounting (financial) statements and consolidated financial statements of the Bank and its subsidiaries.

In 2024, following an open tender, the Bank signed an agreement with Centre for Audit Technologies and Solutions LLC (INN 7709383532) for the statutory annual audit of the Bank's accounting (financial) statements under RAS and the audit of VTB Group's consolidated financial statements under IFRS for 2024, 2025, and 2026. The tender procedure is governed by Federal Law of the Russian Federation No. 44-FZ On the Contract System of the Federal and Municipal Procurement of Goods, Works and Services dated 5 April 2013.

Additionally, in 2024, following procurement procedures, audit agreements were signed with Centre for Audit Technologies and Solutions LLC for the purposes of auditing the Bank's Income Statement for the six and nine months of 2024, calculated in accordance with sub-clause 2.1.7 of Bank of Russia Regulation No. 646-P On the Methodology for Measuring Credit Institution Capital (Basel III) dated 4 July 2018 ("Regulation No. 646-P"), as well as an audit agreement for auditing VTB Bank's Income Statement for the ten months of 2024, calculated in accordance with sub-clause 2.1.7 of Regulation No. 646-P, the Bank's published annual reports, prepared in line with the requirements for published reports established by applicable laws, for publication in line with Russian laws (the "Published Annual Reports"), and the summary consolidated financial statements of VTB Group, prepared in line with the accounting principles described in the notes to these summary consolidated financial statements and based on the audited IFRS consolidated financial statements of VTB Group (the "Summary Consolidated Financial Statements").

In March 2024, the Bank signed a framework agreement with Centre for Audit Technologies and Solutions LLC for reviews of interim financial information relating to the interim condensed consolidated financial statements of VTB Group, prepared in line with IAS 34 Interim Financial Reporting (as enacted in the Russian Federation by Order No. 217n of the Ministry of Finance of Russia dated 28 December 2015), for the three, six, and nine-month periods, and the corresponding summary interim consolidated financial information, prepared based on VTB Group's quarterly financial statements in line with the accounting principles described in the notes to the summary interim consolidated financial information, until 31 December 2026.

Information on the auditor's remuneration paid to Centre for Audit Technologies and Solutions LLC for audit services provided to VTB Bank (PJSC)

Reporting period for which the audit / review was carried out	Procedure for determining the auditor's remuneration	Actual amount of remuneration paid by the issuer to the auditor, RUB thousand (including VAT)
Statutory annual audit of accounting (financial) statements under RAS and consolidated financial statements under IFRS		
2023	Open tender, the results of which were approved by the Supervisory Council	48,822.9
2024	Open tender, the results of which were approved by the Supervisory Council	31,015.0
Audit of annual financial statements under RAS and summary consolidated financial statements under IFRS		
2023	Purchase from a sole supplier	150.0
Audit of the Income Statement of VTB Bank		
6, 9, and 10 months of 2024	Purchase from a sole supplier	44,400.0
Reviews of VTB Group's financial statements under IFRS (review engagements)		
3, 6, and 9 months of 2024	Purchase from a sole supplier	112,104.0
Audit of the implementation of the Long-Term Development Programme		
2023	Open tender, the results of which were approved by the Supervisory Council	5,310.0
Audit of the Sustainability Report		
2023	Purchase from a sole supplier	2,990.0

There are no deferred or overdue fees for auditor's services.

2.5. Shareholder and investor relations

VTB Bank engages with investors on an ongoing basis through its senior management and dedicated business units, including the Investor Relations Department and its Shareholder Relations Service (responsible for communications with retail shareholders), and the Corporate Secretary. Another unit interacting with shareholders is VTB Registrar, a subsidiary of VTB Bank.



The profile of today's retail investor has changed. Now it is an active and informed market participant seeking financial independence, ready to develop and learn more about investments. With this new reality in mind, the Shareholder Relations Service structures its work so that it is able to meet retail investors' needs and also make its contribution to implementing VTB Bank's Development Strategy for 2024–2026.

Key investor and shareholder facts and events in 2024:

- the number of retail investors in VTB Bank's shareholding structure increased to an all-time high of 1 million;
- the Extraordinary and the Annual General Meetings of Shareholders were held in the form of absentee voting;
- VTB Bank's ordinary shares were consolidated;
- the IPO Boom: Ups and Downs. Lessons for Retail Investors internet conference took place, supported by the Shareholders Consultative Council;
- the podcast Dialogue with VTB, with Dmitry Pianov, First Deputy President and Chairman of the Management Board, was released.



1,054,511

retail shareholders –
a new record figure

According to the register, at the end of 2024, the share of retail shareholders in total free float stood at 20.2%

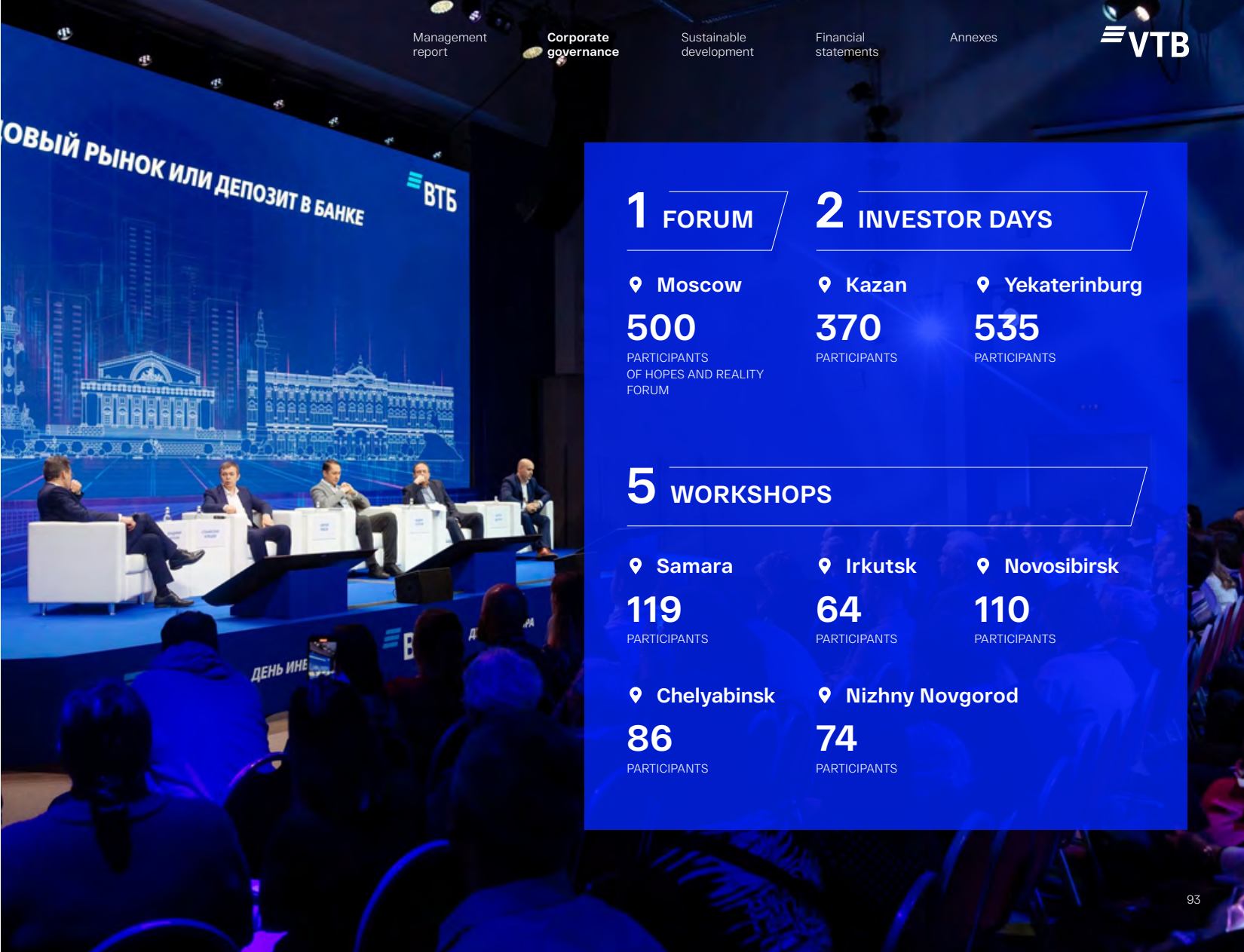
Shareholder growth factors:

- rapid influx of new private investors to the stock market;
- the Bank's share price attractive for investors;
- improved financial performance of the Bank, dividend expectations;
- new formats for shareholder relations.

Shareholder meetings and events

In 2024, VTB Bank held a number of offline meetings with minority shareholders in eight Russian cities. These events offer a unique opportunity to engage with existing and potential investors, while also enabling minority shareholders to obtain first-hand information on current developments in the Group and corporate plans for the nearest future. The first meeting was held in Samara, and the final one was the Bank's Investor Day in Kazan. All in all, there were seven large events with 1.9 thousand people taking part in total. The guests highly praised the organisation of the meetings and assigned it an average score of 4.8 out of 5.

The participants were most interested in the reports on VTB Bank's strategy, financials and development prospects, as well as on investment opportunities potentially alternative to high interest rates on deposits. The audience were keen to learn about the Bank's new products and shareholder loyalty programme. The shareholders also asked questions about VTB Bank's integration with Bank Otkritie Financial Corporation and about frozen assets.



1 FORUM

📍 Moscow

500

PARTICIPANTS
OF HOPES AND REALITY
FORUM

2 INVESTOR DAYS

📍 Kazan

370

PARTICIPANTS

📍 Yekaterinburg

535

PARTICIPANTS

5 WORKSHOPS

📍 Samara

119

PARTICIPANTS

📍 Irkutsk

64

PARTICIPANTS

📍 Novosibirsk

110

PARTICIPANTS

📍 Chelyabinsk

86

PARTICIPANTS

📍 Nizhny Novgorod

74

PARTICIPANTS

1.9 thousand

PARTICIPANTS

>200

QUESTIONS

4.8 out of 5

EVENTS SCORE



Speakers commenting on Digital and Financial Assets



Bank's business partners engaging in the events



Dedicated sessions on investment strategies, VTB's corporate governance, and financial security



Regional Telegram channels used for inviting the Bank's shareholders and customers

In 2024, there were traditional online events, too. In September 2024, the Bank ran the internet conference IPO Boom: Ups and Downs. Lessons for Retail Investors, a topic of particular interest. The Bank's Shareholders Consultative Council invited leading market experts to discuss ways to enhance retail investors' confidence in initial public offerings and to avoid common missteps.



Shareholder mobile app

9 THOUSAND

unique visitors of the web
version

125

publictions a year

>6.6 THOUSAND

users of the updated
mobile app

58.2 THOUSAND

views

>89 THOUSAND

users of the old mobile app

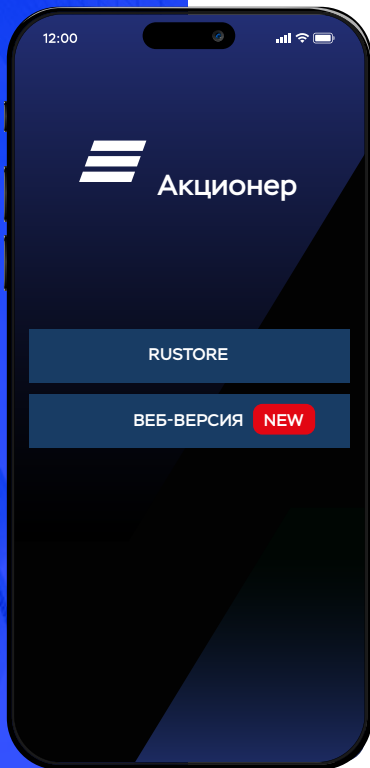
>8.8 THOUSAND

unique visitors

SHAREHOLDER CLUB

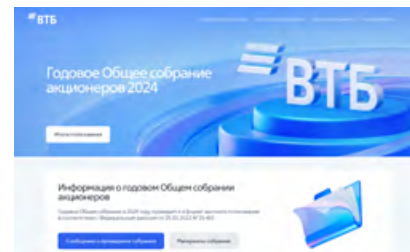
2,585

registered users



For eight years now, the VTB Shareholder nobile app has been enabling minority shareholders to do most things they need remotely, i.e. keep up-to-date with the Bank's news and agenda materials for General Meetings of Shareholders, vote, register for events and submit questions to speakers, as well as join the shareholder loyalty programme. The Bank's clients extensively use the app chat, a new tool on offer. There they can have their questions promptly answered.

Annual General Meeting of Shareholders (landing page)



9.6 THOUSAND

views of the website

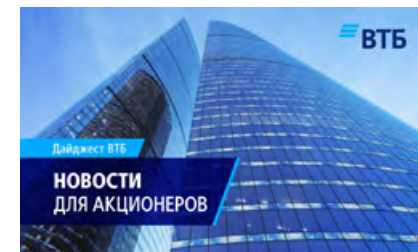
+14,3% year-on-year

3.6 THOUSAND

unique users

+20% year-on-year

Shareholder newsletter



6

information digests

252 THOUSAND

audience

+48% year-on-year

Shareholder mobile app was blocked in App Store and Google Play in 2022. The previously installed app versions are still operational; in 2025, old app users are slated for migration to updated versions.

Social media

Shareholders can receive daily information on the financial market news and VTB Bank's material events from the Controlling Stake Telegram channel, VTB Shareholder VKontakte community, and the Bank's channel on Pulse, T-Investments' social network for retail investors.

VTB Bank's channel became one of the most popular among Pulse users, with the Bank joining Top 10 issuers by the number of subscribers. All in all, over 650 pieces of news were published, and users made more than 8.5 thousand comments and responses. Pulse is still Russia's largest social media for investors and traders.

Social media are an effective tool to quickly convey important information to shareholders, attract younger audience, and actively engage with new shareholders. Other benefits offered by social media include informal approach, large-scale involvement, targeted feedback, and unbiased assessment of the shareholders' sentiment and demands.

>55
THOUSAND USERS

subscribed to social media accounts

Online training courses

The Shareholder Relations Service continuously works to improve various social groups' financial literacy and knowledge about corporate governance. Ten workshops were held in 2024 drawing participation from university students alongside employees of the Bank's corporate customer base. About one thousand employees of healthcare facilities, the KAMAZ automobile manufacturer, and Emergency Service of the Samara Region obtained relevant information and practical tips on financial security.

Financial Security – Don't Get Scammed workshop

It is an interactive session where attendees gain hands-on knowledge on the most common tricks and methods of social engineering, learn to identify phishing websites and are given an opportunity to practise specific ways to protect themselves against acts of crime. At such events, the Bank's representatives make a special focus on risks of meeting false brokers and analyse traps that stock market newbies can fall for.

A Shareholder: More Than an Investor corporate governance course

In 2024, the Shareholder Relations Service first launched an online corporate governance marathon, A Shareholder: More Than an Investor. Over the year, the course was taken by more than 200 people. The workshop Be an Investor was the final stage of the course, with Moscow university students learning about the corporate governance fundamentals and smart investments there.

The Service experts came up with an inclusive educational project on financial and legal literacy. A dedicated two-day financial literacy course was run for mentally disabled individuals participating in the Best Friends foundation's charitable programmes.

Management of shareholder queries

VTB Bank runs shareholder centres in Moscow, St Petersburg and Yekaterinburg where shareholders, their representatives and other stakeholders can take advice on a broad range of matters. The centres are especially popular in the organisation of General Meetings of Shareholders and other corporate events.

The query analysis shows that the VTB shareholder profile has changed over the recent years. Today's investor seeks to enhance the financial literacy, is selective about investment tools, attends dedicated events looking for information sources, strives to establish contacts with the issuer and the investment community, shows interest in financial

reports and research, and is ready to invest long-term. Not only do retail investors want to keep track of the news but they are also willing to engage in making decisions on the Bank's development.

The bulk of queries in 2024 were connected with General Meetings of Shareholders, including conditions and reasons of the consolidation of the Bank's shares. Shareholders also asked why the dividends are not paid out, and where the shares are recorded. In 2024, there were twice as frequent shareholders' questions about the Shareholder and VTB Online mobile apps.





Support for veteran shareholders

For ten years, VTB Bank has been supporting senior shareholders – veterans of the Great Patriotic War and residents of blockaded Leningrad. Having evolved into an esteemed tradition, the project enjoys ongoing support and gratitude from its beneficiaries. In 2024, 264 veterans and survivors of the Siege of Leningrad from among the Bank's shareholders received memorable gifts for the Victory Day, as well as financial assistance from the personal funds of Andrey Kostin, President and Chairman of the VTB Management Board.

Consolidation of ordinary shares

On the Annual General Meeting of Shareholders the decision was made on consolidation of VTB ordinary shares. The purpose of this process was to increase the investor attractiveness, capital structure optimization and convenience for VTB shareholders. The quantity of shares decreased, and the amount of dividend per share will be more meaningful on economic side. It was the first such practice in the modern history of the Russian stock market. Before the reverse split, the number of the Bank's ordinary shares was 26.8 trillion, after consolidation, their number equals 5.4 billion. As a result of this reverse split 5 thousand of VTB ordinary shares with nominal value of RUB 0.01 per share converted into 1 ordinary share with nominal value of RUB 50.

Preferential products for shareholders

The special offer programme for VTB shareholders has been in place for seven years. Depending on their stake, shareholders are offered a set of preferential products and services from the retail business and other participants of the programme.

As initiated by the Shareholders Consultative Council, in 2024 the package was extended with special offers for SME owners, and product offers from VTB Pension Fund and SOGAZ were updated.

Shareholders consultative council

For 15 years VTB Bank's Shareholders Consultative Council has been making significant contributions to the Bank's activities. It makes recommendations on the development strategy and corporate governance, supports development of VTB Group's business, and also represents interests of the Bank's minority shareholders.

Key formats of the Shareholders Consultative Council's work:

- joint sessions and work meetings with the Bank's top managers;
- communications with shareholders via online platforms and at offline events;
- gathering initiatives and proposals from VTB Group's shareholders and customers.

Members of the Shareholders Consultative Council meet with the Bank's management and shareholders, exchange opinions, and come up with initiatives. At the traditional meeting of the Shareholders Consultative Council's Club, its members discussed the strengthening role of retail investors, development of the corporate best practices, higher capitalisation of the Russian stock market and regular elections to the Council upcoming in 2025.

The Shareholders Consultative Council continued advancing the inclusive project launched in 2022. As part of the project, twelve pieces covering personal finance management and legal matters were published in 2024 in the Conversations with Experts column of Russian Disabled, a nationwide charity newspaper.

2.6. Information policy and disclosures

Disclosure is one of the most important tools for the Bank's interaction with shareholders, investors, customers, and other stakeholders. It contributes to the creation of long-term, transparent and trust-based relationships with all stakeholders, while also improving the Bank's investment case.

Information about the bank's operations can be divided into three groups



Information that must be disclosed in the prescribed manner and by the means specified in regulatory documents and by regulatory authorities



Information disclosed by the Bank on a voluntary basis by any means chosen by the Bank



Publicly available information that is freely provided at the request of stakeholders for informational purposes

1ST PLACE

in Interfax's ranking of Disclosure Leaders of the Year

≈123 MILLION

visitors on the Bank's website

992

published press releases

The Bank's disclosure system serves to provide all necessary information to stakeholders.

The Supervisory Council monitors information disclosure and compliance with the information policy in accordance with the Regulation on the Information Policy²⁴.

In its 2024 disclosures, the Bank heeded the applicable laws of the Russian Federation, requirements of the Moscow Exchange and clarifications of the Bank of Russia on information disclosure, Regulation on the Information Policy, VTB's Corporate Governance Code, and other requirements and regulations.

A key focus area of the Bank's information policy was an effective engagement with shareholders, investors, and other stakeholders using a wide spectrum of disclosure channels and striking a balance between minimised sanctions risks and the need for the Bank as a public company to disclose information to all stakeholders.

All aspects of the Bank's information policy are up to date.

24 Approved by the Supervisory Council (Minutes No. 18 dated 1 December 2017).

Disclosure principles



Regularity
consistency, and timeliness
of disclosures



Veracity
completeness,
and comparability



Accessibility
of disclosed data



Reasonable balance
between openness and
commercial interests



Protection of information containing state, trade, and / or banking secrets and / or meant for internal use by the Bank only, as well as any other information protected by law, including insider information and personal data



Vkontakte

650
THOUSAND
FOLLOWERS



Odnoklassniki

105
THOUSAND
FOLLOWERS



Telegram

286
THOUSAND
FOLLOWERS



Rutube

1,1
THOUSAND
FOLLOWERS

Primary disclosure channels	2024 results ²⁵
The Interfax newswire and the Bank's dedicated page: http://www.e-disclosure.ru/portal/company.aspx?id=1210	8,951 statements – the 1st place in Interfax's ranking of Disclosure Leaders of the Year - an amendment to the Charter 2023 Annual Report - annual accounting statements for 2023 (condensed) - interim accounting statements for three, six, and nine months of 2024 (condensed) - issuer's report for six months of 2024 - issuer's report for 2023 - Sustainability Report for 2023 - securities prospectus - new versions of the Regulation on the General Meeting of Shareholders, Regulation on the Supervisory Council, and Regulation on the Management Board - other documents as required by law
VTB Bank's official website www.vtb.ru and www.vtb.com , which offer the most complete information about the Bank's operations and are regularly updated in accordance with the applicable laws and the Bank's internal regulations	In addition to information published in accordance with the applicable laws, the Bank disclosed: 992 press releases Around 123 million website visits in 2024
The Bank's account with the Unified Federal Register of Legally Significant Information on Activities of Legal Entities, Individual Entrepreneurs and Other Subjects of Economic Activity https://fedresurs.ru/company/8365852f-517a-4f4f-a4ff-c779c25035bd	172 statements
Information workshops, conferences, press conferences, meetings, forums, and other meetings with stakeholders	11 conference calls following the disclosure of IFRS statements 5 workshops for shareholders and investors 2 investor days 7 meetings with regional media - a video podcast for shareholders and investors - an online conference for shareholders and investors

25 The scope and / or volume of some disclosures were limited in line with applicable Russian laws.

Wherever care is shown

03

SUSTAINABLE
DEVELOPMENT

- Pevek
- Yukta
- Manily
- Bolshaya Glushitsa
- Mayskoye
- Vologda



for people and nature alike

3.1. Sustainable development strategy: progress in 2024

In 2024, the Bank continued to implement its Sustainable Development Strategy for 2022–2025²⁶.

Contributing to sustainable economic development

Investments in infrastructure

In 2024, VTB actively participated in financing infrastructure projects aimed at improving the quality of life.

2024 highlights:

- A loan agreement was signed for the concession project involving the financing, construction and operation of a world-class inter-university campus in Chelyabinsk for a total amount of RUB 18.9 billion under the VEB.RF Project Finance Factory programme.
- The Eastern exit connecting Ufa to the M-5 Ural federal highway and the Vitebsky Avenue interchange in St Petersburg, both constructed with VTB Group's involvement under concession agreements, were opened to traffic.
- A concession agreement was signed for the project involving the financing, construction and operation of sections 2-4, a new urban expressway in St Petersburg, with a total value of RUB 246 billion.
- Three private concession initiatives were submitted for the financing, construction, and operation of highways in Moscow, with a total value of RUB 237 billion.
- The current portfolio of commercial contracts for the joint venture between VTB Group and Rostelecom, focusing on public video surveillance systems in St Petersburg and Murmansk, amounts to RUB 2.3 billion.
- In August 2024, a private concession initiative was submitted to the Yakutsk City Administration, with VTB Group's involvement, for a project to upgrade the outdoor lighting network. The estimated capex amounts to RUB 9 billion, including VAT.

Support of small and medium enterprises

VTB remains a leading player in the lending market and an active participant in all major state business support programmes.

As of the end of December 2024, VTB took part in 23 state programmes as part of its Medium and Small Business segment. The number of active loan agreements between VTB and SME customers under state support programmes exceeded 12.8 thousand, with the total value of active agreements surpassing RUB 1.2 trillion. The loan portfolio of the Bank's Medium and Small Business under preferential programmes amounted to over RUB 675 billion.

The Bank continues to develop its own programmes for borrowers and reviews restructuring requests from small and medium-sized businesses on existing loan agreements. Furthermore, VTB provides loan repayment holidays and debt restructuring services for SMEs in border regions (Belgorod, Kursk, and Bryansk regions).

The Bank continues to make loans and borrowings more affordable and easier to obtain. For instance, in 2024, VTB introduced one-time scoring for applications submitted to the Bank via a partner's website using an API. The volume of loans disbursed through applications from non-customers via partner websites under this single-stage scoring process is steadily increasing. The Bank introduced the functionality for providing scoring-based loans: up to RUB 30 million for individual entrepreneurs and up to RUB 50 million for LLCs.

In 2024, the Bank enabled SME customers to obtain guarantees entirely remotely via various channels:

- Internet bank (VTB Business Platform) – for customers using the online banking system. In early 2024, the Bank enabled customers to sign applications for remote express bank guarantees using SMS. As of the end of 2024, 70% of all express guarantee applications submitted via the Internet bank were signed using a simple electronic signature;
- Prospective Customer Account – for organisations and individual entrepreneurs who are not users of VTB's online banking system, as well as for customers of acquired banks;
- Agent and Partner Account – for customers and potential customers who prefer to collaborate with the Bank via an Agent. In 2024, the account gained momentum: by year-end, over 100 Agents were connected to the service, with more than 6,000 applications for the remote issuance of express bank guarantees received;
- Partner services – for customers who prefer to obtain guarantees via specialised marketplaces;
- Roseltorg electronic trading platform – for organisations and individual entrepreneurs participating in tenders and registered on the platform.

Better accessibility of non-financial services

Development of the Closer to Business information and educational portal: engaging external experts, expanding course and event topics, and promotion.

In 2024, the Closer to Business portal team focused on promoting the VTB brand as an expert bank on topics related to starting and developing businesses, in line with the Bank's global Development Strategy for 2024–2026. As part of this objective, 320 articles were published, 25 online events were held, and 14 new business courses were launched in 2024.

Features and well-oiled business processes enabled the transformation of the Closer to Business portal into a fully-fledged brand media platform for the Bank. The portal's unique selling proposition and positioning were defined, and a rebranding concept was developed. As a result, the portal's traffic doubled in 2024 compared to 2023: 750,000 unique visitors versus 390,000 in 2023.

To develop new communication formats, the Bank launched the Business Support Measures section on the portal, and piloted the portal's Business Club, with 37 Federal and 20 Regional business support measures published and 48 online meetings with entrepreneurs held in a business case study format. In 2024, the Closer to Business portal received recognition from the professional business community, winning three prizes in the Russian SME Education and Support category.

In 2024, the Bank implemented the Virtual Assistant service for customers, providing:

- access to a counterparty feed service, allowing customers to receive relevant information about events related to their payment counterparties;
- access to an Advice section featuring business and bank product news, and information about the customer's dedicated relationship manager;

- display of recommended bank products. Recommendations are generated based on analysis of product usage statistics by customers with similar profiles.

Development of the platform providing comprehensive foreign trade consulting and customs services.

In 2024, the Bank continued to actively digitalise existing foreign trade consulting and customs services and create new ones. These services significantly simplify processes, enhance clarity, and improve the efficiency of customers' interactions with foreign partners. They also ensure compliance with legislation, save time and resources for business development, and enable the Bank to enhance the competitive strength of its foreign trade product, making it more attractive to customers.

The following consulting and customs services were integrated into the foreign trade digital ecosystem in 2024:

- The scope of the Foreign Partner Verification product grew to include counterparties registered in China, enabling customers to quickly verify counterparties, which is particularly relevant when dealing with new suppliers.
- The geography of Foreign Partner Verification was expanded to cover countries relevant to business needs and the Bank's development focus. Customers can now check companies registered in India, Vietnam, and Iran.
- New services were implemented to provide support at all stages of foreign trade activities: Legal Support for Foreign Trade, Document Translation Services, and Foreign Partner Search in China.
- The Bank launched a new Online Customs Declaration product, enabling customers to independently create and submit declarations to the Russian customs authorities via the online banking system.
- VTB implemented electronic document flow for customs services among the customer, partner, and Bank employees to simplify interactions between parties.

Support of the self-employed

In 2024, as part of developing the product mix for the self-employed, including non-residents, the Bank offered the following:

- the option for fast income registration from incoming payments;
- VTB was the first to introduce unique functionality for the self-employed: automatic receipt generation for QR code payments.

Sustainable partnerships were established with government structures interacting with the self-employed segment – Small Business of Moscow (state-funded entity) and the Employment Centre – to raise awareness of VTB's offerings for the self-employed and acquire new customers.

In 2024, in the field of information support via social networks and regular online and offline educational events and workshops for the self-employed, VTB established successful cooperation and co-organises events with the following state-funded entities:

- Small Business of Moscow (MBM.MOS);
- Moscow Employment Centre (My Job);
- My Business, Moscow Region;
- Fund for the Development of Small and Medium Enterprises in St Petersburg.

Registration and support for self-employed non-residents.

The Bank introduced new features in VTB Online for non-resident customers (citizens of EAEU (Eurasian Economic Union) countries):

- online registration as self-employed;
- receipt generation;
- requesting income certificates and self-employed status confirmations;
- calculation of self-employed taxes.

Creating financial opportunities to improve the quality of life

Affordable housing

As part of initiatives aimed at improving housing affordability, the Bank delivered the following results in 2024:

- In line with the urban development policy of allocating land plots for development projects, by the end of 2024, the Bank had established credit limits for integrated territorial development projects totalling RUB 470 billion.
- Despite tightening regulatory requirements, the Bank continued to finance developers both for acquiring land plots for development and directly through project financing.
- As of the end of 2024, project financing in the residential housing portfolio amounted to RUB 423 billion.
- Mortgage loans issued under subsidised mortgage programmes in 2024 totalled 133,998 loans, amounting to RUB 764.5 billion.

Environmental responsibility

Respect for nature is an important part of VTB's corporate philosophy. The Bank prioritises responsible resource management to reduce its impact on the environment.

In 2024, VTB Bank continued to improve its energy efficiency, upgrade operational assets, implement resource-saving technologies, reduce environmental impact, and train employees on rational resource use.

Initiatives to make the Bank's offices more energy-efficient:

- Energy-saving LED lighting and inverter air conditioning are used in the construction and renovation of offices.
- As of the year-end 2024, 100% of the Bank's points of sale were equipped with energy-saving LED lighting.
- As of the year-end 2024, around 92% of the Bank's facilities were equipped with energy-efficient inverter air conditioning.
- The Bank continued implementing the Smart Office utility monitoring system, which enables remote management of energy consumption. By the end of 2024, 497 offices were furnished with Smart Office.
- The Bank developed a methodology for assessing offices regarding the application of energy-efficient technologies and identifying energy efficiency potential. Energy audits were conducted at 75 Bank facilities, and measures to improve energy efficiency were identified.

Paperless document flow

VTB launched its Paperless Banking programme in late 2020. To cut down on paper use, the Bank introduced new tools and paperless technologies in both internal processes and interactions with clients and partners.

In just four years, the Bank successfully transitioned to efficient paperless document storage and electronic document flow. In 2024, paper consumption went down by 2% year-on-year.

Support of participation in social and environmental initiatives

In 2024, the Bank continued to take part in Give the Forest to a Friend! – a reforestation initiative using VTB services. Key results in 2024:

- integration with the VK platform. The Bank launched a mini-game, testing, eco-statuses for user avatars, with the final reach of 46 thousand users;
- tree planting within the project jointly with municipal administrations of the Moscow, Leningrad, Yaroslavl, and Kostroma regions, with media coverage.

Throughout 2024, VTB employees actively participated in the Bank's traditional tree planting events, community clean-up days, and collection of recyclables (batteries, plastics, waste paper), and joined a number of nationwide environmental initiatives:

- Employees of the Customer Service Department in Ulyanovsk and Cheboksary took part in the Clean Games environmental volunteer event.
- VTB employees in various regions participated in tree planting events. In Samara, 150 lime trees were planted on the grounds of the Volga Region Railway Museum. In Kostroma, Bank employees supported a project to create a park for newlyweds on the Klyuchevka river embankment by planting 20 oak trees, and also participated in the Pure Heart eco-festival.
- The Irkutsk Regional Office joined the traditional environmental campaign Plant a Tree – Give the Planet a Life. Bank employees and their families planted about 100 pine and larch seedlings in Kayskaya Grove – a relict forest area in the Sverdlovsky District, Irkutsk.
- Colleagues from Moscow, St Petersburg, the Altai Territory, Republic of Bashkortostan, Nizhny Novgorod and Novosibirsk regions participated in regular spring community clean-up days.

As part of awareness-raising and educational projects in 2024:

- The 2024 Arctic Floating University Expedition run by Lomonosov Northern (Arctic) Federal University. This research and educational project in an expedition format, supported by the Bank since 2021, is implemented by the Arctic Floating University jointly with the Russian Geographical Society. The university's mission is to study the Arctic ecosystem; the project is known worldwide for its unparalleled combination of science and education aboard research vessels.
- During the student session of the Ecosystem. Protected Land Forum, a grant competition was announced by VTB Bank and VTB-Strana for participants of the Researcher track under the Research Design programme at the year-round youth educational centre Ecosystem. Support was provided to three research projects aimed at nature conservation in Kamchatka.
- The Most Beautiful Country Photo Contest of the Russian Geographical Society. Since 2020, VTB has been a partner of the Russian Geographical Society's photo contest and the founder of its own nomination Russian Nature Reserves, featuring photographs taken in the country's nature reserves.
- Support for the full-length documentary Fire Fox. The film was shot in the Kronotsky Nature Reserve in Kamchatka. Following its release, the film became the highest-grossing nature documentary film and won the top prize at the Golden Eagle Awards in the Best Non-Fiction Film category, presented by the National Academy of Motion Picture Arts and Sciences of Russia.
- The VTB Business Solutions Lab case championship – a joint project of VTB, Far Eastern Federal University, and the Land of the Leopard National Park. This case championship, held annually by the Bank in collaboration with universities, seeks to develop human resource potential for the country's economy. Participating students drafted a development strategy for the national park, including a financial model, marketing promotion, and community building. The project received the prestigious Effective Education award in the category for the Best Environmental Integration Solution for Educational Processes.

Promoting social development across the regions of operation**Ensuring equal access to healthcare, sports and cultural heritage**

VTB is making a large-scale systemic effort to advance Russia's development goals. The Bank's social projects are united under six umbrella programmes: Sporting Country, Patriotism and a Country of Traditions, Cultural Country, Educated Country, Healthy Country, and Country For Business.

Environmental projects

The Bank views environmental initiatives as a contribution to ensuring the health and prosperity of future generations in Russia. Therefore, nature conservation projects, run through sponsorship and charity, are centred around the Healthy Country programme. In 2024, the Bank implemented 13 environmental projects with a total investment of RUB 218.84 million.

As a systemically important financial institution, VTB Bank contributes to the national environmental goals. In addition to improving its own energy efficiency, the Bank focuses on developing protected areas, preserving Russia's biodiversity, and promoting environmental education projects for young people and customers.

VTB Bank's activities pursuing environmental goals traditionally include participation in relevant business community events to draw public attention to the climate agenda and address current challenges, support for nature conservation initiatives, awareness-raising and educational projects, and efforts to involve customers and employees in ongoing initiatives.

VTB Bank collaborates with the Russian Ministry of Natural Resources and Environment in implementing the Ecological Well-Being national project (forest conservation, development of ecotourism, and preservation of rare animal species), and supports biodiversity conservation programmes.

The preservation and development of protected areas is a key focus area of VTB's environmental agenda. For 10 years, the Bank has partnered with major nature reserves in Primorye and Kamchatka territories, supporting them in all their efforts: biodiversity conservation and reforestation, combating poaching, conducting scientific research, and organising educational and awareness-raising events.

The Bank's partners include the Amur Tiger Autonomous Non-profit Organisation (since 2014) and the Kronotsky Nature Reserve (since 2020). Since 2023, VTB has partnered with the Land of the Leopard National Park and the Foundation for Nature Conservationists.

Creating opportunities for self-fulfillment and talent growth

VTB Group focuses on contributing to the creation of a highly qualified management talent pool for the nation. As a future employer, VTB is motivated to maximise students' awareness of and preparedness for real business challenges, and to integrate practical applications into academic knowledge. One important task in this area is the strategic cooperation with the Graduate School of Management at St Petersburg University.

2024 results:

- The school confidently maintains its status as a leading business school both in Russia and internationally. This is confirmed by the high rankings of its educational programmes in the Forbes Education, EdUniversal, and RAEX ratings. In the Forbes Education rating, St Petersburg University ranks 1st among the Top 3 leaders of Russian universities based on labour market reputation. The school's contribution lies in its unrivalled business education experience and direct dialogue with employers. Furthermore, in November 2024, the expert agency EdUniversal awarded it the status of a universal business school with global influence – the highest status granted by the rating agency.
- The share of digitalised courses reached 100%, a twofold increase against the 50% target.
- The number of school graduates reached 14.3 thousand per year.

3.2. Social projects²⁷

As part of its Sustainable Development Strategy and Corporate Social Responsibility Policy, VTB Bank runs initiatives aimed at improving the quality of life in the regions where it operates, developing healthcare, science, education, and culture, and protecting the environment, while also contributing to the national and global sustainable development goals (UN SDGs).

Decisions related to the allocation of funds for sponsorship and charitable activities are made by the standing Committee for VTB Bank's Sponsorship and Charitable Activities, which reports to the Bank's Management Board and to the President and Chairman of the Management Board. As part of its sponsorship and charitable activities, VTB continues to implement the following six targeted programmes:

Sporting Country



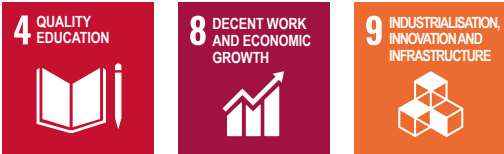
Patriotism and a Country of Traditions



Country for Business



Educated Country



Healthy County



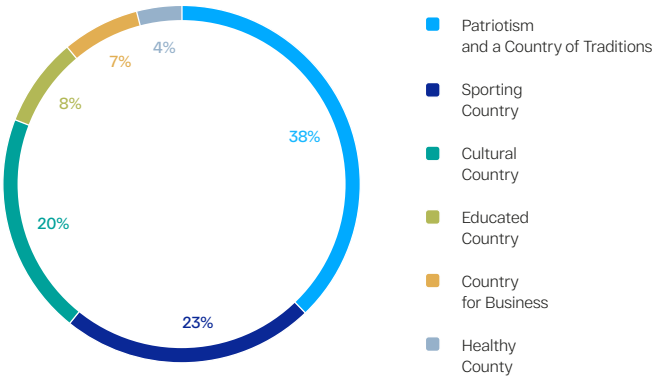
Cultural Country



27 For more details on VTB Bank's social activity, please, refer to Sustainability Report of VTB Bank for 2024.

Financing these programmes enables the Bank to share its core values and social mission with the society. The programmes include both sponsorship and charity projects. The Bank's environmental projects focused on ensuring the health and well-being of future generations in Russia are consolidated under the Healthy Country programme. In 2024, VTB implemented 13 environmental projects with a total investment of RUB 219 million.

VTB Bank's expenses under global social programmes in 2024



Strategic Projects, a standalone subgroup of VTB's social programmes, includes major long-term initiatives of national significance such as supporting the Dynamo sports clubs and restoring regional social infrastructure. In 2024, VTB allocated more than RUB 9 billion for these purposes.

Regional charity projects and those under the federal programme A World without Tears are steered by VTB-Strana, our corporate Charitable Foundation for Support of Social Initiatives and Provision of Targeted Assistance. In 2024, it provided support to 340 hospitals, 133 veterans organisations, 58 cultural institutions, and 39 sports organisations.

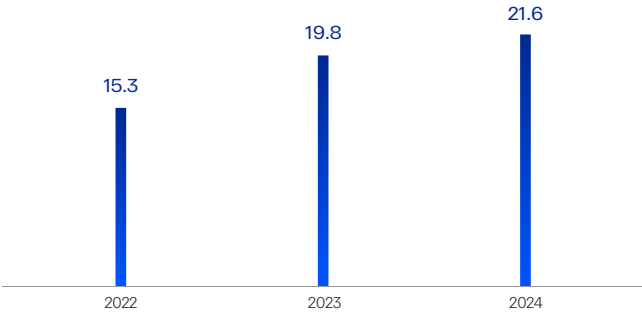


The Foundation also held four grant competitions for RUB 60 million focused on promoting best practices in socialising orphaned children and NPO (non-profit organisation) projects in education and financial literacy, with 77 grassroots organisations enjoying our support.

More than 200,000 people took part in fundraising events for social purposes organized during the year. Thanks to the contribution of the Bank's clients, employees and partners, more than 170 million rubles were allocated to the needs of children left without parental care, equipping hospitals, and supporting the families of victims of the Crocus City Hall.

In 2024, VTB implemented 326 federal social projects and 3,815 regional charity projects in 83 regions. VTB Bank allocated a total of RUB 21.6 billion to social projects, including more than RUB 3.4 billion for initiatives run by VTB-Strana, the corporate charitable foundation.

VTB Bank's expenses under social projects, RUB billion



VTB Group's subsidiaries run their own social initiatives under six dedicated programmes. In 2024, they allocated over RUB 1 billion towards social causes.

Sporting Country



The Bank's Sporting Country programme is the focal point of our efforts to foster physical activities among people of all ages and walks of life in line with Russia's national development goal for preservation of its population, and people's health and welfare. The programme seeks to support both high-performance and mass sports with a view to promoting healthy lifestyles.

In 2024, the Bank spent RUB 10.2 billion to finance 70 sports projects primarily targeting long-term partners, including the Russian Volleyball Federation, VTB United Basketball League, the Gymnastics Federation of Russia, KAMAZ Master rally team, etc.

As part of the Sport is the Norm of Life federal project, VTB offered support to the Most Athletic Family in Russia, a competition organised by the Russian Ministry of Sport to promote healthy lifestyles.

VTB actively contributes to the development of sports across Russian regions. In 2024, the Bank provided funding for the basketball clubs Tver and Dynamo (Grozny), a major tennis tournament in the Russian Far East, the purchase of sports equipment for young athletes at the Olympic Reserve School for Canoeing and Kayaking in Chelyabinsk, and several other initiatives.

In 2024, VTB also organised a number of events targeting primarily younger audiences. In July, St. Petersburg hosted the third Garage Fest offering visitors speed, music and drive at Igora Drive. The festival continues to grow in scale and popularity, with more than 30,000 people having attended the event in 2024.

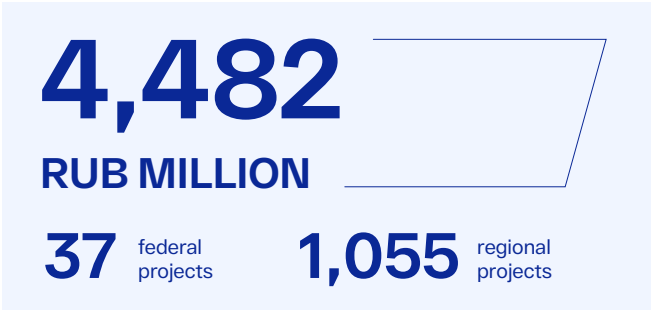
VTB continues to promote ART.SPORT.VTB, a unique cultural project that brings together sports and arts. In 2024, viewers at the All-Star Game of the VTB United League, Garage Fest, the Russian Beach Volleyball Cup Final, and the Russian Artistic Gymnastics Championship had an opportunity to check out the new exhibition spaces.

VTB places special emphasis on supporting children's and youth sports. The Bank supports Lev Yashin Dynamo Junior Football Academy, with six branches already opened in the Voronezh and Novgorod regions, thePrimorye and Altai territories, the Republic of Dagestan and in Ulyanovsk providing training facilities to 1,391 kids. In addition to the Football Academy, the Bank offers assistance to Chernyshev Dynamo Ice Hockey School, which currently trains 396 children.

VTB supports inclusive sports initiatives. From 16 to 21 December 2024, the Bank sponsored the first international friendly tournament in blind football, featuring eight professional teams from the member states of BRICS+.

Patriotism and a Country of Traditions

The Bank supports projects aimed at fostering a sense of patriotism and reviving national and spiritual values, while also rendering assistance to socially minded foundations with a focus on encouraging federal and local veterans foundations, bringing up young people in the spirit of respect for the elderly and the Russian history.



In the reporting year, VTB supported 133 veterans organisations. In addition to providing traditional gifts for the Victory Day, VTB organised an excursion for veterans to the Patriot Central Military and Patriotic Park of Culture and Leisure of the Russian Armed Forces. The trip included visits to the museum and religious facilities of the Russian Ministry of Defence and to the Road of Memory museum spaces.

The Bank offered charitable support to the Russian Peace Foundation for events marking the Year of the Family and for initiatives designed to assist participants of the Special Military Operation (SMO) and their families. These efforts included funding the traditional Christmas at the Tauride Palace celebration for children of SMO participants and supplying Easter gift sets for those injured in the operation.

In 2024, VTB sponsored socially-oriented programmes run by St. Petersburg Cadets, the Republican Student Team Gathering held in November in Ukhta (Komi Republic), and the Cup of Hope children's project in St. Petersburg.

In 2024, the Bank invested heavily in projects seeking to restore social infrastructure in the newly incorporated regions, while also sending humanitarian supplies to those affected by the SMO and catering to mobilised soldiers' families. As part of the NASHI programme,

VTB-Strana rendered RUB 166.3 million worth of humanitarian aid to 16 regions upon requests of relevant governors.

Since inception, our mission and primary social focus have been set to preserve and restore cultural heritage sites. In the reporting year, VTB continued to financially support the Novgorod State United Museum and the Resurrection New Jerusalem Monastery, while also contributing to the construction of the Church of St. Basil of Ryazan. The Bank took part in events marking the 650th anniversary of Kirov. As part of its partnership with the Kizhi Museum, VTB supported the Illusions of the Old Town museum festival and sponsored the participation of historical vessels in the annual Kizhi Regatta.

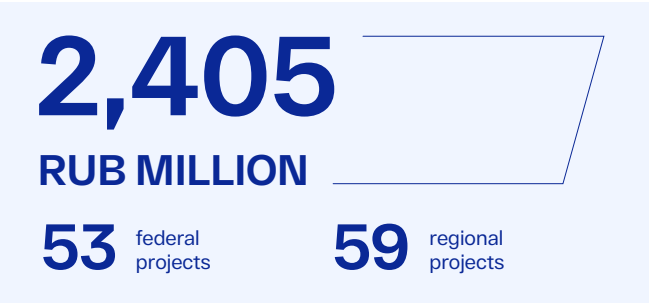
VTB Bank supports patriotic film projects. In 2024, the Bank acted as the general sponsor of the television drama Stolypin, which premièred in November. The show received the top prize at the Golden Eagle film awards as the Best Television Series, with the lead actor Alexander Ustyugov winning an award as the Best Television Actor.

To foster national traditions in Russian regions, the Bank sponsored the Soul of the North international exhibition of bone-carving art in the Yamal-Nenets Autonomous Area, Sagaalha 2024 (the 19th rapid chess tournament) at the Ivlginsky Datsan, and the regional Baikal Ice Fishing 2024 competition.

VTB also sponsored the winter season of the Nikolsky Dvor in St. Petersburg and the Kroshevo food festival held in September in the town of Borovichi (Novgorod Region).

Under the Patriotism and a Country of Traditions programme, the Bank implemented a total of 1,092 projects in 2024, mostly in the form of charity.

Cultural Country



VTB Bank contributes to the Culture national project by rendering support to Russia's cultural institutions, national heritage sites, music bands and performers at the federal and regional level, as well as projects encouraging the propagation of cultural values (film production, TV, online). In 2024, the Bank contributed to 112 projects hitting the headlines on the cultural scene.

As part of the Cultural Country social programme, in 2024 VTB supported large-scale tours by the leading Russian music ensembles in China. These included performances by the Bolshoi Theatre, Eifman Ballet, musicAeterna orchestra, and Shostakovich St. Petersburg Philharmonia. The Bank also sponsored the exhibition "Russian Soul. Select Works of Art from the State Tretyakov Gallery and Digital Canvases on the Cultural Heritage of Suzdal" in Beijing's Capital Museum.

VTB is a patron of leading Russian theatres, including the Bolshoi Theatre, Mariinsky Theatre, Eifman Ballet, Chekhov Moscow Art Theatre, Pyotr Fomenko Workshop Theatre, Russian Academic Youth Theatre, Tabakov Theatre, Vakhtangov Theatre, and Teresa Durova Theatre. In 2024, the Bank became the general sponsor of Pushkin Nizhny Novgorod Theatre of Opera and Ballet. Over the year, more than 2 million people attended performances at the Bank's partner theatres.

VTB supported several major festivals, including the second Chekhov Moscow Art Theatre Awards ceremony, the third Pacific Theatre Festival in Vladivostok, Tolstoy festival at Yasnaya Polyana, Diaghilev P.S. festival in St. Petersburg, Ildar Abdrazakov Festival across seven Russian cities, the 34th Baltic House International Theatre Festival in St. Petersburg, and the Ballet on Baikal. Buryatia festival.

In 2024, VTB Bank offered assistance to 22 exhibitions at the leading museums of Moscow and St. Petersburg, including the Tretyakov Gallery, the Hermitage, the Russian Museum, St. Petersburg State Museum of Theatre and Music and other museums, with overall attendance exceeding 3 million people.

VTB was the general sponsor of the Tretyakov Gallery's exhibition of the year – The Itinerants. This major project marked the opening of a new building on the Kadashevskaya Embankment following 30 years of construction. In just two months, nearly 200,000 people visited this landmark exhibition (the first in five decades) to explore the heritage of the travelling artists.

As the general sponsor of the State Russian Museum, VTB Bank supported the main exhibition of the year – Karl the Great. 225th Anniversary of Karl Bryullov. This commemorative event topped the list of cultural media highlights in 2024, as it attracted over 203,000 visitors in the first three months.

Thanks to its long-term partnership with Pushkin State Museum of Fine Arts, VTB Bank sponsored The Unknown Shchukin, a large-scale exhibition exploring the unique collection of the Russian philanthropist.

The Bank continues to support regional museums, including the Pavlovsk and Peterhof state museums. In the reporting year, VTB was the general sponsor of two major exhibitions: Russian Phoenix. The Land of Suzdal (cultural event marking the 1,000th anniversary of Suzdal's first mention in the chronicles) and Boris Kustodiev. Patriarchal Russia (exhibition held at the Vladimir and Suzdal Museum).

In 2024, Zotov Centre, VTB's flagship cultural project, staged 2,500 events, including nine exhibitions: To Work and To Live. Constructivist Architecture, Meme. Mayakovsky Media, From Utopia to Theatre, The Russian Incredible, and others. The Centre also organised free exhibitions To Be a Dynamo Player (in partnership with the Dynamo Museum), Stepanova – 130. A Tribute to the Artist, and the Architecture for People festival (jointly with the Moscow Committee for Architecture and Urban Planning). In 2024, Zotov Centre received several awards for excellence in design, architecture, and cultural project delivery. The Centre also launched educational courses in architecture, photography, and drawing. It continues to host its own performances, thematic lectures, and curated film programmes. Many of these events are free of charge. In 2024, Zotov Centre welcomed more than 230,000 visitors. The Centre continues to actively promote inclusion and accessibility, offering a wide range of event formats and opportunities tailored to people with disabilities.

The Bank traditionally accompanies exhibitions and concerts with cross-partnership educational programmes, including video tours and podcasts, as well as special online projects (Music Dimension and What I Hear) implemented in collaboration with the musicAeterna orchestra.

To raise cultural awareness among younger audiences, VTB Bank supports online and offline programmes for children. In cooperation with the Russian Academic Youth Theatre, the Bank staged My First Business, a children's play on financial literacy, which premièred in the VTB children's area at RUSSIA EXPO. In September 2024, the play became part of the regular repertoire of the Russian Academic Youth Theatre, with two to four performances shown each month on the small stage.

The Bank also promotes an accessible environment in cultural establishments. Since 2020, VTB has been a partner of the inclusive programme at the Jewish Museum and Tolerance Centre. Since 2021, the Bank has been producing Dialogues on Art: A Podcast for the Hearing Impaired, a special project in the Russian sign language that has made it to the finals of the Culture Online Award for four times now. In 2024, the Bank launched the regional stage of Polyphony of Silence, a career guidance programme for children with hearing impairments looking to become tour guides in the Russian sign language.

Healthy Country



The primary goal of VTB Bank's Healthy Country social programme is to address the pressing issues of local communities and to contribute to the Healthcare and Demography national projects.

The programme combines charitable support for healthcare institutions and initiatives focused on advanced medical technologies with efforts to promote environmental protection and biodiversity conservation across Russia under the Ecology national project.

As part of the programme, VTB spent RUB 512 million in 2024, with most funds allocated to support regional healthcare institutions. VTB-Strana delivered equipment and medicines to 340 hospitals.

In the reporting year, the foundation held four grant competitions to identify and support best practices in the social integration and education of children from residential care institutions. A special grant was allocated to non-profit organisations assisting large families. Children from the Bank's partner orphanages were invited to visit the Dynamo Hockey Club, Dynamo Academy, Zotov Centre, an ice cream factory, the Golden Ring festival, and screenings of the Fire Fox movie. Thanks to the financial aid provided by VTB Bank, 250 children were able to go on summer holidays.

As part of the corporate charity programme A World without Tears, the Bank spent RUB 78 million to purchase modern medical equipment for 19 children's hospitals in 2024. More than one thousand children in 11 cities attended theatre performances on financial literacy and received gifts.

Under the Healthy Country programme, the Bank also focuses on promoting scientific research in the realm of healthcare. Backed by the Bank, the Nauka–Detyam Foundation for Support and Development of Paediatric Haematology, Oncology and Immunology implements its programme of molecular genetic diagnosis for children with cancer predisposition syndromes, with over 500 studies conducted annually. VTB supports the Life Genome Charity Fund for medical and social genetic aid projects in running genetic tests for patients with rare inherited diseases in 89 Russian regions, following which 468 children are getting treatment they need.



Environmental projects

As a systemically important financial institution, VTB Bank contributes to the national environmental goals. In addition to improving its own energy efficiency, the Bank focuses on developing protected areas, preserving Russia's biodiversity, and promoting environmental education projects.

In 2024, VTB supported 13 environmental and biodiversity conservation projects worth RUB 219 million.

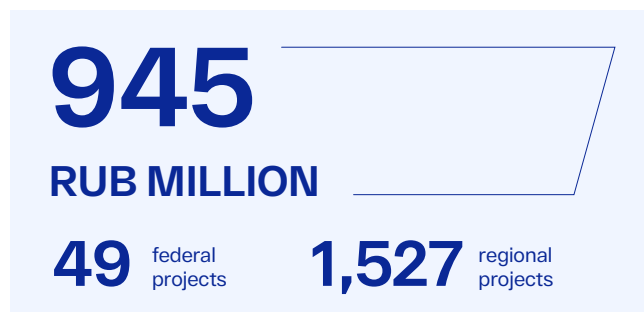
VTB has been a long-term partner of specially protected natural areas, including the Amur Tiger Autonomous Non-profit Organisation (since 2014) and the Kronotsky State Nature Reserve (since 2020). In 2023, the Bank entered into partnership with the Land of the Leopard National Park. VTB contributes to the programme for conserving populations of big cats under the auspices of the Russian Ministry of Natural Resources and Environment.

In the reporting year, VTB supported several business events, scientific initiatives and environmental awareness-raising projects, including:

- the 15th International Ecology Forum;
- the 14th International Forum Arctic: Today and the Future;
- the Ecosystem: Protected Land Russian National Youth Environmental Forum in Kamchatka;
- the 2024 Arctic Floating University expedition run by Lomonosov Northern (Arctic) Federal University;
- the full-length documentary Fire Fox (top prize at the Golden Eagle Awards in the Best Non-Fiction Film category);
- the 10th The Most Beautiful Country Photo Contest of the Russian Geographical Society;
- the Russian Ecological Dictation.

In October 2024, VTB Bank held its annual student case championship in partnership with Far Eastern Federal University and the Land of the Leopard National Park. The project received the prestigious Effective Education award in the category for the Best Environmental Integration Solution for Educational Processes.

Educated Country



Good education is key to personal self-fulfilment and social development. One of Russia's national development goals through 2030 is to join 10 best countries in the world in terms of general education. VTB's Educated Country programme focuses on:

- cooperation with universities in the regions where the Bank operates;
- charity projects aimed at supporting education in the regions where the Bank operates;
- improvement of financial literacy among people.

2024 saw VTB provide a total of around RUB 1 billion to sponsor 1,576 educational projects, including:

- strategic partnership with St. Petersburg State University, with the Bank rendering expert support to its Higher School of Management and financing its educational programmes and the equipment of the Mikhailovskaya Dacha campus;
- cooperation with the National Research University Higher School of Economics, with the Bank supporting not only its statutory purposes, but also scholarship programmes of the International College of Economics and Finance, the Anti-Corruption Centre project, dyslexia treatment R&D, and student activities.

The Bank continues to cooperate with leading universities, such as St. Petersburg State University, Higher School of Economics, Moscow State Institute of International Relations (MGIMO), Moscow State University, Moscow Institute of Physics and Technology, Far Eastern Federal University, Financial University, the Russian Institute of Theatre Arts, and Gerasimov Institute of Cinematography. VTB also funds renovating the teaching infrastructure, updating information media of educational institutions, and supporting gifted students. Launched in 2022 at the Financial University under the Russian Government, VTB's special Modern Banking Practices and Technologies Department stayed in business, too.

As part of its long-term partnership with Lomonosov Moscow State University, VTB is helping to advance research-driven applied educational disciplines. The Bank primarily focuses on developing skills for the financial sector. Key joint projects in 2024 included:

- Vega Institute, a foundation supporting and fostering a unique school of applied financial mathematics in Russia and training world-class professionals for the financial industry;
- projects of the Moscow State University's Institute for Artificial Intelligence and its interdisciplinary laboratories (implemented in collaboration with the National Intellectual Development Foundation and Innopraktika);
- publication of BRICS Journal of Economics by the Moscow State University's Faculty of Economics to explore current economic trends across BRICS nations and present original research.



To foster an up-to-date learning environment and implement advanced edtech, the Bank support secondary and higher education institutions across its footprint. 2024 saw 1,525 educational institutions and 47 endowments in 76 Russian regions receive funds to renovate their facilities, classrooms, lecture halls and gyms, as well as to carry out campus projects.

In 2024, VTB Bank sponsored celebrations marking the 220th anniversary of Kazan Federal University, while also supporting the My Turn to Speak creative competition for the first-year students of Novosibirsk National Research State University.

Since 2021, the Bank has been a key partner of the Teacher of the Year nationwide competition, endorsing the initiatives by the Russian Ministry of Education to elevate the prestige of the teaching profession.

Promoting the financial culture among people is one of top priorities for financial institutions in Russia. To this end, the Bank co-founded, together with other leading Russian banks, the Association for the Development of Financial Literacy. The Bank participates in educational projects under the aegis of the Bank of Russia and the Russian Ministry of Finance and runs its own projects to improve financial literacy among its customers, shareholders, and some other audiences.

As such, VTB develops a financial literacy course for children of pre-school and primary school age in the Good Night, Little Ones! programme aired on the Karusel channel (50 broadcasts per year with approximately 53 million viewers in four years). VTB's Financial ABC was named the Best Educational Project for Schoolchildren and University Students at FinZOH Expert, the Russian Ministry of Finance's competition for information and media projects promoting financial literacy.

To support the budgeting skills of schoolchildren and students and their enrolment at universities, regular Olympiads (Mission Possible: Your Vocation as a Financier and I am a Professional) are held, with 6,500 schoolchildren and 28,300 students taking part in them in 2024.

The Bank systematically organises dedicated sessions aimed at different audiences, from the basic level (children, people with disabilities, public sector employees, pensioners) to the advanced one (financial analysts and investors). In 2024, VTB-Strana launched a financial literacy project to introduce teachers from residential care institutions to methodologies of delivering practical lessons for orphaned children.

To make it easier for all age groups to search through related materials, the Bank created the Financial Literacy for Families section on our website, which contains trending topics and the event schedule.

Country for Business

833

RUB MILLION

58 federal projects

597 regional projects

As a systemically important bank, VTB focuses on encouraging investment and facilitating long-term projects that contribute to the development of individual industries and the Russian economy as a whole. Major business forums and industry conferences are of particular importance in times of economic upheavals and swinging relationships as an effective tool for maintaining business ties, exchanging opinions, and making agreements.

In 2024, VTB supported over 20 venues and exhibitions, including major ones, such as:

- the 27th St. Petersburg International Economic Forum;
- Eastern Economic Forum;
- Moscow Financial Forum;
- Finopolis Forum of Innovative Financial Technologies;
- VTB Russia Calling! Investment Forum.

These initiatives are set to fuel the development of the Russian economy by creating an effective platform for a dialogue between governments, investors, and entrepreneurs from around the world. Using a shared platform, representatives from different sectors can freely exchange ideas and find solutions related to the needs of a particular sector or region. In 2024, VTB speakers attended more than 45 sessions, including six top-level sessions with top executives, with 54 cooperation agreements signed.

For its customers, the Bank regularly organises online and offline events on geopolitical trends, structural transformation of the economy, investment policy, strategic approaches, sectoral markets, financial literacy, and other relevant topics. VTB participates in events aimed at promoting advancements in technology in various sectors of the Russian economy. In 2024, the Bank arranged for 252 customer-oriented events on its own and supported 655 partners' business events across Russia.

Also gaining traction was Data Fusion, our annual project consisting of three events:

- Data Fusion Conference dedicated to data analysis and AI technology on a global footing;
- Data Fusion Contest, an annual data analytics and machine learning competition for data scientists;
- Data Fusion Awards, our national cross-industry big data award.

Data Fusion has been traditionally combining the economic, technological and scientific agenda. The discussions focused on technological sovereignty, the Data Economy national project, and other strategic areas for Russia's IT industry. In 2024, Data Fusion hosted the First Russian Data Forum.

In 2024, the opening ceremony of the Data Fusion Conference was attended by Russian Prime Minister Mikhail Mishustin. More than 250 speakers took part in the business section of the Conference, including Deputy Prime

Minister Dmitry Chernyshenko, Deputy Governor of the Bank of Russia Olga Skorobogatova, and President and Chairman of the VTB Management Board Andrey Kostin. The 2024 Conference attracted 2,700 attendees, while the event's broadcast garnered over 3.4 million views.

At the Finopolis Forum of Innovative Financial Technologies, VTB set up a biometrics collection point and presented cutting-edge solutions at its stand, including coffee payments using biometric identification and the functionality of digital assistants.

During the 16th BRICS Summit, VTB offered Russian and international participants an opportunity to obtain its bank cards.

From 4 to 5 December 2024, Moscow hosted the 15th VTB Russia Calling! Investment Forum. This year's theme was The Future of Capital and Capital of the Future. The Forum continues to attract a distinguished audience of government representatives, executives from Russian and international companies, and investors. The event's highlight was the plenary session featuring Vladimir Putin, President of the Russian Federation. In 2024, the business section of the Forum brought together 2,000 participants, including over 300 entrepreneurs from 35 countries (China, India, nations of the Arabian Peninsula, Central Asia, Europe and Africa). More than 250 journalists covered the event.

Strategic projects

9 RUB BILLION

These include long-term and large-scale projects of national importance, through which the Bank can provide meaningful assistance to the government in addressing key societal challenges.



One such initiative is our cooperation with Dynamo to preserve the national sporting traditions, promote mass sports, and bring up healthy young people.

VTB is the general sponsor of the Dynamo-Moscow football, hockey and rugby clubs. Today, Dynamo is one of the most prominent names in Russia's team sports.

In addition to supporting individual clubs and teams, VTB invests in the development of new sports facilities and training centres. Major venues such as Igora Drive, VTB Arena, Volleygrad and the Dynamo Sports Academy host national competitions and offer professional training opportunities for thousands of aspiring athletes.

Another strategic priority of VTB is to contribute to the humanitarian development of new regions, where the Bank focuses on restoring schools, kindergartens, and sports facilities for children.

3.3. Personnel

Highly-skilled and motivated personnel is key to our success. VTB's HR management system sets the stage for unlocking the potential and professional development of our people

The Bank fully complies with Russian labour laws and offers equal employment, training and career growth opportunities to all employees regardless of sex, age, and nationality. All employees enjoy equal training and career growth opportunities.

As of 31 December 2024, the Bank's headcount was 69.9 thousand employees, compared to 55.8 thousand as of 31 December 2023, while the Group's headcount²⁸ went up to 111.8 thousand employees vs 98.5 thousand as of 31 December 2023.

	HEADCOUNT / employees	69,915
	AVERAGE PERIOD OF EMPLOYMENT / years	5.2
	PERCENTAGE OF WOMEN / %	71%
	PERCENTAGE OF MEN / %	29%
	AVERAGE AGE / years	36.2
	EMPLOYEES WITH HIGHER EDUCATION / %	76%

Staff acquisition

VTB Bank added 14 thousand jobs in 2024, including positions related to the integration of Otkritie Bank. The HR team ensured timely staffing of these roles.

Leading positions in employer ratings

«PLATINUM»

highest
category

in the Forbes rating
in 2021–2024

2nd place

2022 – 7th place
2023 – 3rd place

in the HeadHunter
rating in 2024

GROUP I

highest result

in the RBC rating
in 2024

TOP 5

2022 – 10th place
2023 – 10th place

best employers in the Business
Professions category in the 2024
Best Company Award rankings

28

For the purposes of this report, the Group comprises the following companies: VTB Bank (PJSC), Bank Otkritie Financial Corporation, Business Finance, VTB Bank (Kazakhstan), VTB Bank (Armenia), VTB Leasing, BM-Bank, SAROVBUSINESSBANK, VTB Factoring, VTB Bank (Belarus), VTB Real Estate, Banco VTB Africa, VTB Specialised Depository, VTB DC, VTB Registrar, VTB Pension administrator, VTB Pension Fund, and VTB Bank (Azerbaijan).

Young talent development

Every year, VTB expands internship opportunities. In 2024, it invited over 700 interns across its footprint.

All interns went through a multi-tier selection process facing strong competition – over 80 people per position.

Young professionals are one of the key demographics for VTB Bank. Currently, 31% of the Bank's workforce and 54% of this year's new hires are under 30.

VTB Bank prioritises nurturing young talent and utilises modern recruitment strategies.

The number of interns hired by the Bank increases annually; in 2024, more than 700 people were accepted for internships at VTB Bank across Russia. VTB Bank received a record number of applications for participation in internship programs – more than 58 thousand, which is 85% more compared to 2023. All interns passed a multi-stage selection for the internship in a highly competitive environment – more than 80 people per place.

In the reporting year, the Bank launched the fifth season of the Your Future Start personal grant programme as a training course for students of Russian universities. The programme saw more than 6 thousand requests, with over 1.6 thousand applicants selected as participants and 20 receiving a RUB 200,000 grant for professional development after completing a training course.

In 2024, the VTB League educational course was launched for students and graduates of universities and colleges who want to build a successful career in customer service. More than 6,500 applications were received for participation in the program. As a result, more than 1,500 participants from 8 federal districts of the country participated

in the course to expand their professional horizons. All graduates were given the opportunity to undergo accelerated selection for the VTB Bank network team.

Incentive and remuneration system

VTB Bank maintains an incentive and remuneration system that fosters a high degree of efficiency and results-oriented work practices. Regular monitoring of labour market trends, coupled with management support for proposals to update the core elements of the personnel rewards system, enables the Bank to offer competitive salaries and create the necessary conditions for attracting and retaining highly skilled professionals.

VTB maintained its commitment to regular salary reviews in 2024. Salary increases were based on an employee's current compensation relative to the target level, considering their contribution to the Bank's overall performance. To retain and motivate high-performing employees, the Bank created a dedicated fund for adjusting their salaries.

VTB also provides a comprehensive social support package.

>58 THOUSAND

record number of requests
for the Bank's internship in 2024

+85 %

growth of requests for the Bank's
internship in 2024

**>1,500
PARTICIPANTS**

from Russia's eight federal districts
took part in the VTB League
educational course in 2024

Assessment

VTB Bank's primary tool for evaluating employee performance is annual personnel assessments. In 2024, the Bank conducted a comprehensive bank-wide assessment. On top of that, VTB assessed employees from cross-functional teams and streams of the Retail Business, Medium and Small Business, and Technology Unit using dedicated methodologies. For instance, the results of cross-functional team assessment are used for paying out bonuses.

To strengthen its talent pool, the Bank conducts regular candidate and employee assessments as requested by managers and selects individuals for its talent pool. The assessment is conducted by internal or external experts using a variety of tools (psychometric tests and competency interviews). In 2024, over 9 thousand people were evaluated using these techniques.

Training and development

In 2024, VTB's training focused on competency development, greater team performance, and faster employee onboarding. Over 61 thousand employees completed professional, mandatory, and personal development programmes.

In line with VTB's Digital Transformation Strategy for 2022–2024, the Bank invested heavily in technological sovereignty and import substitution. To facilitate these changes, more than 60 thousand employees completed digital skills training in 2024.

Furthermore, VTB offered all employees development programmes grounded in the Bank's core values and focused on emotional intelligence, leadership, navigating uncertainty, strategic thinking, etc.

Over 8 thousand managers and 20 thousand specialists participated in 150 related webinars and training sessions.

VTB expanded its partnership with the Higher School of Management at St. Petersburg State University to further develop line management, broadening programme offerings, updating content, and introducing new learning formats. The year of 2024 saw a new Change Management Essentials initiative launched and the first in-person programme hosted at the business school's campus in St. Petersburg. In 2024, more than 350 managers participated in programmes offered by the Higher School of Management.

To further support its regional network, VTB also offered specialised training programmes to over 1,100 employees and managers engaged in personnel adaptation and retention. These programmes focused on current labour market trends and effective talent acquisition and retention strategies.

Internal communications

In 2024, VTB continued refining its internal communications and corporate culture strategies by rolling out a Start corporate portal.

Key digital workplace improvements:

- the Start corporate portal and mobile app now offer around 260 self-service solutions for HR, administrative, accounting, and finance tasks;
- daily average portal usage increased by 12.4 p.p. to 64.4%;
- the functionality of the Team corporate messenger was expanded;

- VTB fully transitioned to domestically sourced technologies for all its internal services.

A central event of the year was the XI VTB Group Spartakiad, a series of family-oriented sporting events held across all federal districts of Russia and culminating in a large-scale super final in Moscow. The Spartakiad brought together over 3.5 thousand athletes and more than 17 thousand spectators from the VTB Group and their families.

Over 400 additional corporate events, reaching more than 45 thousand people, focused on team building, process improvements, and corporate culture.

Digitalisation of HR processes

In 2024, VTB continued its focus on enhancing the technological efficiency of its HR processes. The Bank migrated its recruitment and training systems to domestic software²⁹. Leveraging document e-signing via the Avtograf platform and the Goskey mobile app, VTB automated the onboarding process for 92% of new hires in 2024.

The Bank fosters the digitalisation of various recruitment channels with a view to attracting highly qualified personnel. In 2024, VTB automated search and selection tools used by its internal referral programme, resulting in 12% of new hires being sourced through this channel.

Additionally, the remote training functionality of the corporate portal was expanded to include on-site sales staff, accelerating the onboarding process and improving the performance of more than 3.8 thousand employees.

²⁹ In furtherance of the Russian Government directives and the requirements of the Russian Ministry of Digital Development, Communications and Mass Media for 2023–2024, and as part of the Bank's Digital Transformation Strategy for 2022–2024.

3.4. Responsible resource management

Respect for nature is an important part of VTB's corporate philosophy. The Bank prioritises responsible resource management to reduce its impact on the environment.

VTB Bank embraces the green office principles by:

- upgrading real estate assets to improve their environmental efficiency;
- reducing electricity, fuel, and paper consumption;
- recycling waste.

Reducing the environmental impact

In 2024, VTB Bank continued to improve its energy efficiency, upgrade operational assets, implement resource-saving technologies, reduce environmental impact, and train employees in the rational use of resources.

- Energy-saving LED lighting and inverter air conditioning are used in the construction and renovation of offices.
- 100% of the Bank's points of sale are equipped with energy-saving LED lighting.
- Some 92% of the Bank's facilities are equipped with energy-efficient inverter air conditioning.
- In 2024, the Bank continued implementing the Smart Office utility monitoring system, which enables remote management of energy consumption. 497 offices have been furnished with Smart Office so far.
- The Bank drafted the methodology to assess the energy efficiency of its offices, conducted energy audits of 78 facilities, and defined further energy saving measures.

Resource saving

VTB takes steps to reduce its resource consumption.

Initiative	Resource savings
Motion sensors ³⁰	Up to 10% reduction in electricity consumption in premises equipped with sensors
77% of mixers equipped with infrared sensors in bathrooms ³¹	Up to 30% reduction in water consumption
Thermostatic radiator valves installed on heating systems during reconstruction	Up to 20% reduction in heat consumption
Transition to electronic document flow: – installation of additional monitors for employees to verify documents without printing – development of paper procurement standards for the regional network by business format (subject to different business modules) – electronic approval of printed inventory forms – electronic compilation and approval of reports on business trip expenses	2% reduction in the Bank's paper consumption
Upgrade of the transport infrastructure – acquisition of 12 hybrid vehicles combining a petrol engine and an electric motor to replace petrol vehicles	6% reduction in the Bank's petrol consumption
Upgrade of individual heat substations using smart valves ³²	Up to 25% reduction in heat consumption

30 In administrative buildings and additional offices in Moscow and the Moscow Region, as well as in the buildings of the Regional Centre for Operational Support and the Customer Service Department in the Central Federal District.

31 In administrative buildings and additional offices in Moscow and the Moscow Region.

32 A pilot project at two facilities in St. Petersburg.

Paperless banking

VTB launched its Paperless Banking programme in late 2020. To cut down on paper use, the Bank introduced new tools and paperless technologies in both internal processes and interactions with customers and partners.

In four years, the Bank successfully transitioned to efficient paperless document storage and electronic document flow. In 2024, paper consumption went down 2% year-on-year.

Waste management

2024 highlights:

- 15 kg of batteries collected and sent to the Federal Environmental Operator for disposal.
- 773 kg of plastic caps collected as part of the Kind Caps ecological volunteer project.
- The following materials were sent for recycling:
 - 360 tonnes of paper;
 - 73.9 tonnes of metal scrap;
 - 501.97 tonnes of office waste recycled into resources and materials intended for new uses: aluminium, copper, brass, and stainless steel scrap, printed circuit boards, copper cable, secondary crushed plastic, fuel pellets, etc.

VTB Bank complies with circular economy principles by implementing projects to sell and donate idle property to extend its life cycle and reduce waste generation.

Resource consumption by VTB Bank

Resource type	2024		2023		2022	
	Volume	Financial equivalent (RUB)	Volume	Financial equivalent (RUB)	Volume	Financial equivalent (RUB)
Heat, Gcal	175,979	424,043,466	171,983	405,374,240	147,722	314,048,271
Electricity, kWh	188,707	1,397,426,639	227,332	1,600,747,065	212,853	1,383,420,199
Gas, thousand m³	1,258	12,616,633	1,993	16,103,155	2,836	21,755,775
Paper, tonnes	1,026	114,299,308	1,044	110,471,569	1,522	205,483,767
Drinking water, thousand litres	4,026	45,138,977	3,918	41,596,036	3,850	34,070,142

Wherever business prosper

04

FINANCIAL
STATEMENTS

St Petersburg

Moscow

Yekaterinburg

Norilsk

Krasnoyarsk

Chelyabinsk

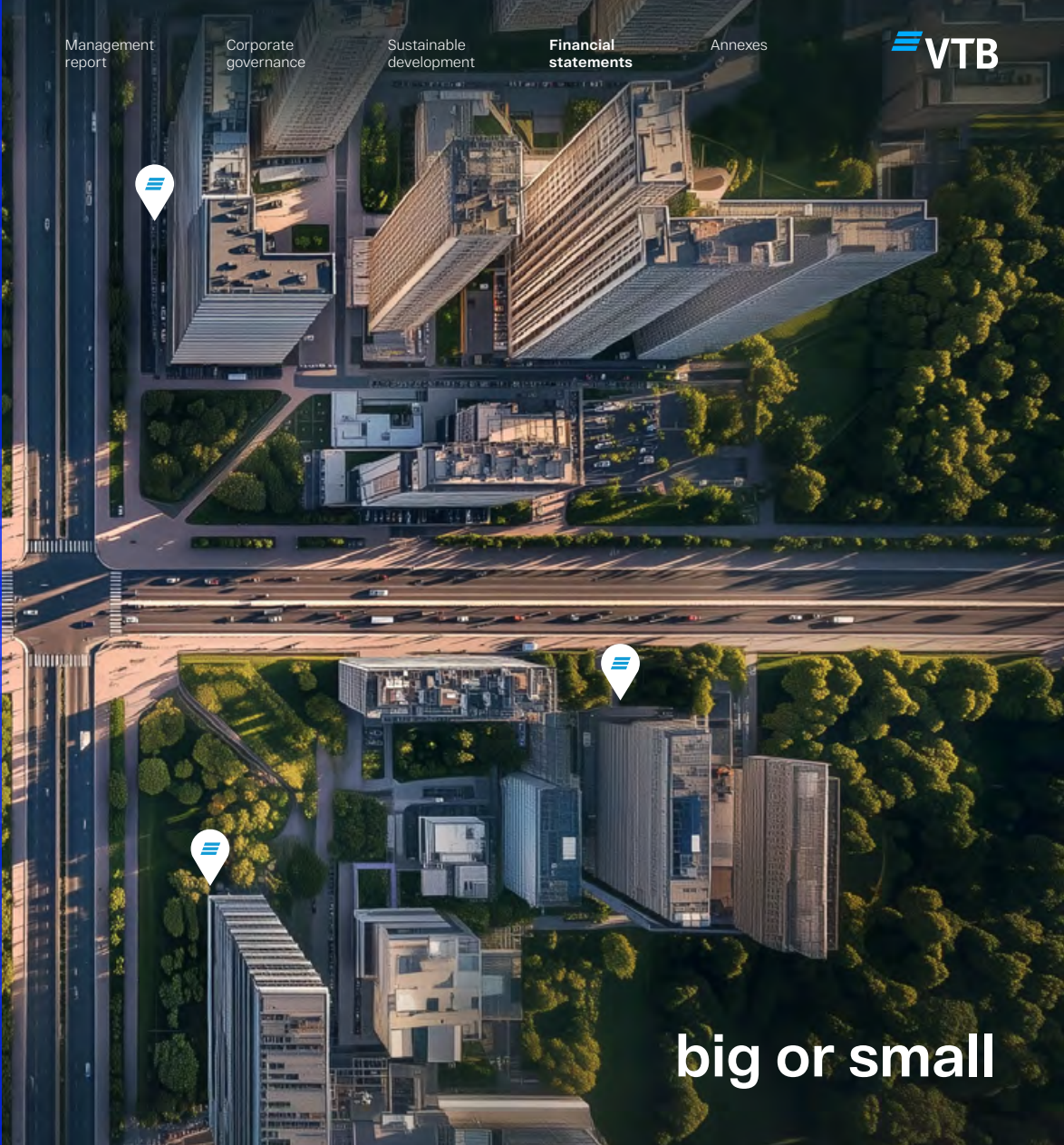
Management
report

Corporate
governance

Sustainable
development

Financial
statements

Annexes



big or small

4.1. Consolidated financial statements under IFRS

Below are the key financial indicators of the VTB Group under IFRS. To ensure a proper understanding of the Group's financial position, results, and cash flows, these key financial indicators should be reviewed in conjunction with the Group's audited consolidated financial statements.

Summary consolidated financial statements for the year ended 31 December 2024 are available here:

<https://www.vtb.ru/ir/statements/results>

Extracts of the summary consolidated income statement

for the year ended 31 December, RUB billions

	2024	2023	Change
Interest income calculated using the effective interest method	3,979.4	2,356.2	68.9%
Other interest income	122.5	98.2	24.7%
Interest expense	(3,555.1)	(1,648.2)	115.7%
Payments to deposit insurance system	(59.6)	(44.8)	33.0%
Net interest income	487.2	761.4	-36.0%
Provision charge for expected credit losses on debt financial assets	(23.9)	(175.6)	-86.4%
Net interest income after provision charge for expected credit losses	463.3	585.8	-20.9%
Net fee and commission income	269.0	217.0	24.0%
Gains net of losses/(losses net of gains) arising from financial instruments at fair value through profit or loss and through other comprehensive income	214.2	(45.4)	571.8%
Gains net of losses arising from foreign currencies and precious metals	50.7	132.9	-61.9%

	2024	2023	Change
Gains arising from extinguishment of liabilities and other gains net of losses other than interest arising from financial instruments at amortised cost	28.3	19.0	48.9%
Share in profit of associates and joint ventures	13.7	29.8	-54.0%
Impairment of investments in associates and joint ventures	(0.5)	(7.5)	-93.3%
Gains from disposal of subsidiaries, associates and joint ventures	64.0	3.0	2,033.3%
Provision charge for credit losses on other financial assets and credit related commitments	(1.5)	(11.9)	-87.4%
Reversal of provision for legal claims and other commitments	5.3	0.3	1,666.7%
Revenue from operating lease of equipment	10.9	14.8	-26.4%
Expenses related to equipment leased out	(13.3)	(7.7)	72.7%
Net result from investment of non-state pension funds' assets	88.9	64.0	38.9%
Finance expense of insurance companies and non-state pension funds	(81.6)	(67.2)	21.4%

	2024	2023	Change
Insurance and reinsurance revenue from insurance companies and non-state pension funds activity	156.0	120.8	29.1%
Insurance and reinsurance service expenses from insurance companies and non-state pension funds activity	(132.3)	(114.8)	15.2%
Excess of fair value of acquired net assets over cost	–	35.4	-100.0%
Other operating income	15.3	11.3	35.4%
Other non-interest gains from financial activities	418.1	176.8	136.5%
Revenue and other gains from other non-financial activities	51.5	35.5	45.1%
Cost of sales and other expenses from other non-financial activities	(51.1)	(29.8)	71.5%
Expenses from write-down of property held for sale in the ordinary course of business	(0.1)	(0.2)	-50.0%
Impairment of land, premises and intangible assets other than goodwill used in other non-financial activities	(0.4)	–	n/a
Net loss from disposal of land, premises and intangible assets other than goodwill used in other non-financial activities	(0.4)	(0.4)	0.0%
Net gain from change in fair value of investment property recognised on revaluation or disposal	7.0	1.5	366.7%
Revenues less expenses from other non-financial activities	6.5	6.6	-1.5%
Impairment of goodwill	(0.5)	(1.7)	-70.6%
Impairment of land, premises and intangible assets other than goodwill	(22.0)	(6.3)	249.2%

	2024	2023	Change
Net loss from disposal of land, premises and intangible assets other than goodwill	(7.0)	(16.2)	-56.8%
Other operating expense	(73.5)	(43.5)	69.0%
Staff costs and administrative expenses	(478.8)	(400.3)	19.6%
Non-interest expenses	(581.8)	(468.0)	24.3%
Profit before tax	575.1	518.2	11.0%
Income tax expense	(22.5)	(86.0)	-73.8%
Net profit after tax	552.6	432.2	27.9%
Loss after tax from subsidiaries acquired exclusively for resale	(1.2)	–	n/a
Net profit	551.4	432.2	27.6%
Net profit attributable to:			
Shareholders of the parent	535.3	420.6	27.3%
Non-controlling interests	16.1	11.6	38.8%
Basic and diluted earnings per share (expressed in Russian roubles per share) after consolidation	94.0	95.5	-1.6%
Basic and diluted earnings per share before loss after tax from subsidiaries acquired exclusively for resale (expressed in Russian roubles per share) after consolidation	94.2	95.5	-1.4%

Extracts of the summary consolidated statement of comprehensive income

for the year ended 31 December, RUB billions

	2024	2023
Net profit	551.4	432.2
Other comprehensive income/(loss)		
Other comprehensive income/(loss) to be reclassified to profit or loss in subsequent periods:		
Net change in fair value of debt financial assets at fair value through other comprehensive income	(75.0)	(15.8)
Reclassification of fair value reserve to income statement on sale of debt financial assets at fair value through other comprehensive income, net of tax	0.3	(1.0)
Finance income of non-state pension funds, disaggregated to other comprehensive income	60.4	7.2
Share of other comprehensive income of associates and joint ventures	0.9	3.6
Effect of translation, net of tax	5.1	13.7
Total other comprehensive (loss)/income to be reclassified to profit or loss in subsequent periods	(8.3)	7.7

	2024	2023
Other comprehensive income not to be reclassified to profit or loss in subsequent periods:		
Net change in fair value of equity financial assets at fair value through other comprehensive income	9.5	0.5
Land and premises revaluation, net of tax	19.8	0.3
Other income	0.1	–
Total other comprehensive income not to be reclassified to profit or loss in subsequent periods	29.4	0.8
Other comprehensive income, net of tax	21.1	8.5
Total comprehensive income	572.5	440.7
Total comprehensive income attributable to:		
Shareholders of the parent	556.4	428.9
Non-controlling interests	16.1	11.8

Extracts of the summary consolidated statement of financial position

as at 31 December, RUB billions

	2024	2023	Change
Assets			
Cash and short-term funds	2,018.1	1,210.8	66.7%
Mandatory cash balances with central banks	104.1	54.2	92.1%
Trading financial assets	765.8	865.4	-11.5%
• Trading financial assets	754.0	838.1	-10.0%
• Trading financial assets, pledged under repurchase agreements	11.8	27.3	-56.8%
Derivative financial assets	131.3	122.2	7.4%
Due from other banks	1,680.5	1,082.9	55.2%
• Due from other banks	1,680.5	1,079.4	55.7%
• Due from other banks, pledged under repurchase agreements	–	3.5	-100.0%
Loans and advances to customers	22,606.7	19,857.7	13.8%
• Loans and advances to customers	22,116.0	19,513.8	13.3%
• Loans and advances to customers, pledged under repurchase agreements	490.7	343.9	42.7%
Investment financial assets	5,406.1	3,901.6	38.6%
• Investment financial assets	3,647.8	1,707.5	113.6%
• Investment financial assets, pledged under repurchase agreements	1,758.3	2,194.1	-19.9%
Investments in associates and joint ventures	391.8	364.3	7.5%
Assets of disposal groups	112.8	2.2	5,027.3%

	2024	2023	Change
Land, premises and equipment	468.8	420.4	11.5%
Investment property	109.2	103.7	5.3%
Goodwill and other intangible assets	654.0	548.2	19.3%
Deferred income tax asset	543.3	388.9	39.7%
Other assets	1,077.7	459.7	134.4%
Total assets	36,070.2	29,382.2	22.8%
Liabilities			
Due to other banks	2,383.9	1,677.3	42.1%
Customer deposits	26,926.8	22,346.8	20.5%
Derivative financial liabilities	106.6	78.5	35.8%
Other borrowed funds	1,473.8	1,048.9	40.5%
Debt securities issued	426.1	316.9	34.5%
Liabilities of disposal groups	61.4	0.3	20,366.7%
Deferred income tax liability	64.9	48.1	34.9%
Insurance liabilities	1,146.3	1,101.5	4.1%
Other liabilities	692.4	476.7	45.2%
Total liabilities before subordinated debt	33,282.2	27,095.0	22.8%
Subordinated debt	98.7	122.9	-19.7%
Total liabilities	33,380.9	27,217.9	22.6%

	2024	2023	Change
Equity			
Share capital	798.4	798.4	0.0%
Share premium	540.6	540.6	0.0%
Perpetual bonds and loan participation notes	497.3	456.5	8.9%
Treasury shares and perpetual bonds and loan participation notes bought back	(11.8)	(11.4)	3.5%
Other reserves	73.6	53.9	36.5%

	2024	2023	Change
Retained earnings	745.6	283.3	163.2%
Equity attributable to shareholders of the parent	2,643.7	2,121.3	24.6%
Non-controlling interests	45.6	43.0	6.0%
Total equity	2,689.3	2,164.3	24.3%
Total liabilities and equity	36,070.2	29,382.2	22.8%

Annexes

5.1. Share capital

As of 31 December 2024, VTB Bank's share capital stood at RUB 789,925,164,901.90 and was divided into ordinary and preference shares.

Type of shares	Nominal value, RUB		Number of shares	
	As of 31 December 2024	As of 31 December 2023	As of 31 December 2024	As of 31 December 2023
Ordinary shares	50	0.01	5,369,933,893.038	26,849,669,465,190
Type 1 preference shares	0.01	0.01	21,403,797,025,000	21,403,797,025,000
Type 2 preference shares	0.1	0.1	3,073,905,000,000	3,073,905,000,000

To enhance stock market perception of VTB Bank shares, in 2024 the Bank implemented share consolidation. This process involved converting 5,000 ordinary shares (each with a nominal value of RUB 0.01) into a single ordinary share with a nominal value of RUB 50. This consolidation resulted in increased nominal share value while proportionally reducing the total share count. The Bank's authorised capital remained at its previous level. For shareholders, this consolidation preserved both the total nominal value of their shareholdings and their proportional ownership stake in the Bank's authorised capital.

Consolidation parameters

Nominal value per share
pre-consolidation

RUB 0.01

Nominal value per share
post-consolidation

RUB 50

Consolidation ratio

5000:1

Trading lot size on the exchange
pre-consolidation

10,000 shares

Trading lot size on the exchange
post-consolidation

1 share

Number of shares pre-consolidation

26,849,669,465,190

Number of shares post-consolidation

5,369,933,893.038

Registration of changes in the Resolution
to Issue Securities

1 July 2024

Suspension of trading in the derivatives
and stock markets

8 July 2024 – 14 July 2024

Share conversion

11 July 2024

In accordance with its Charter, as of 31 December 2024, the Bank had the right to issue a maximum number of 10 billion ordinary shares with a nominal value of RUB 50 each. The state registration number of ordinary shares is 10401000B. The state registration date of the ordinary share issue is 29 September 2006.

Ordinary shares of VTB Bank trade on the Moscow Exchange. VTB Bank Type 1 and Type 2 preference shares are not traded on exchanges and do not offer a fixed dividend for the year. The amount of dividend is approved by the General Meeting of Shareholders. In addition, the Bank's Charter provides for the possibility of paying out interim dividends.

The state registration number of Type 1 preference shares is 20301000B. The state registration date of the issue is 13 December 2016. All Type 1 preference shares were issued to one shareholder, the Russian Federation, represented by the Russian Ministry of Finance.

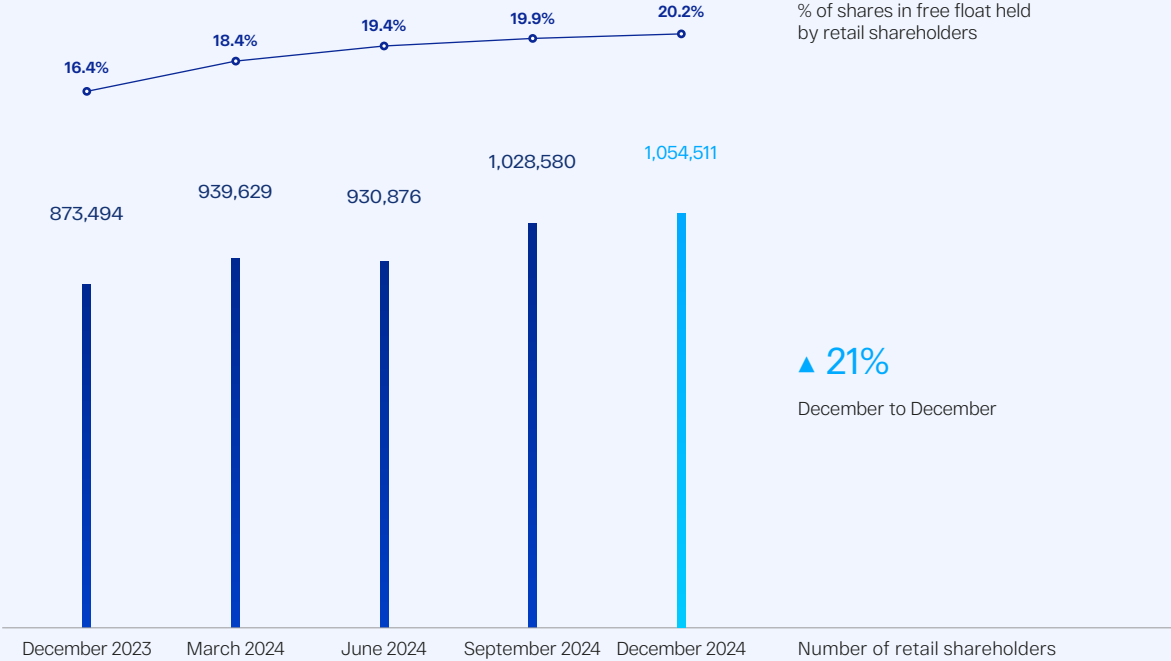
The state registration number of Type 2 preference shares is 20401000B. The state registration date of the issue is 13 December 2016. All Type 2 preference shares are owned by one shareholder, the State Corporation Deposit Insurance Agency.

As of 1 December 2024, the Bank had a total of 1,055,326 shareholders, including 1,054,511 retail shareholders. In 2024, the number of retail shareholders increased by 20.7%, or 181,017 shareholders. The share of retail shareholders in total free float was 20.2%..

1,055,326

Total number of shareholders of the Bank
As of 1 December 2024

Changes in the number of retail
shareholders



5.2. Dividends

One of the main rights of shareholders is the right to receive a share of the Bank's net profit in the form of dividend payments. Dividend payments are approved by the Bank's Annual General Meeting of Shareholders

The Bank's Charter also provides for the possibility of paying interim dividends for the first quarter, six months and nine months of the reporting year.

The record date for persons entitled to receive dividend income is determined by the General Meeting of Shareholders, but may not be earlier than 10 days before the date when the decision to pay dividends is made or later than 20 days following such decision. The time period for the payment of dividends depends on the type of registered shareholder.

Dividend payments to nominal shareholders and trustees listed in the shareholder register shall be made within 10 business days, while dividend payments to other registered shareholders shall be made within 25 business days of the record date.

Shareholders unable to receive dividend because VTB Bank or the registrar lack accurate and necessary address or bank account details, or due to any other delay on the creditor's part, can claim such unpaid (unclaimed) dividend within three years of the date on which the dividend is approved.

Any dividends accrued but unclaimed by shareholders within three years are reallocated to retained earnings of the Bank, and the related obligation is deemed discharged. Accordingly, a shareholder failing to claim the accrued dividends within three years loses the right to receive them. Dividends credited to a shareholder's bank account are considered paid.

	2017	2018	2019 ³³	2019 ³⁴	2020	
Total amount of dividend payments, RUB million	73,516	26,820	3,781	20,120	4,376 ³⁵	32,737 ³⁶
Dividend payout ratio						
% of VTB Bank's net profit under RAS	73	12	-	10	-	100
% of the Group's net profit under IFRS	61	15	-	10	-	100
Dividend payments, RUB million						
Ordinary shares	44,759	14,240	-	10,024	-	18,146
Type 1 preference shares	11,804	5,164	3,781	4,144	4,377	5,989
Type 2 preference shares	16,953	7,416	-	5,952	-	8,601
Dividend per share, RUB						
Ordinary shares	≈0.00345	≈0.00110	-	≈0.00077	-	≈0.00140
Type 1 preference shares	≈0.000551	≈0.00024	≈0.00018	≈0.00019	≈0.00020	≈0.00028
Type 2 preference shares	≈0.005515	≈0.00241	-	≈0.00194	-	≈0.00280
Dividend yield, %						
Ordinary shares	5.5	2.4	-	1.9	3.7	-
Type 1 preference shares	5.5	2.4	-	1.9	2.8	-
Type 2 preference shares	5.5	2.4	-	1.9	2.8	-

³³ The payment was made from retained earnings from previous years.

³⁴ Excluding dividends paid as part of the capital transfer following the transfer of credit claims related to state defence procurement contracts to another authorised bank.

³⁵ The payment was made from retained earnings from previous years.

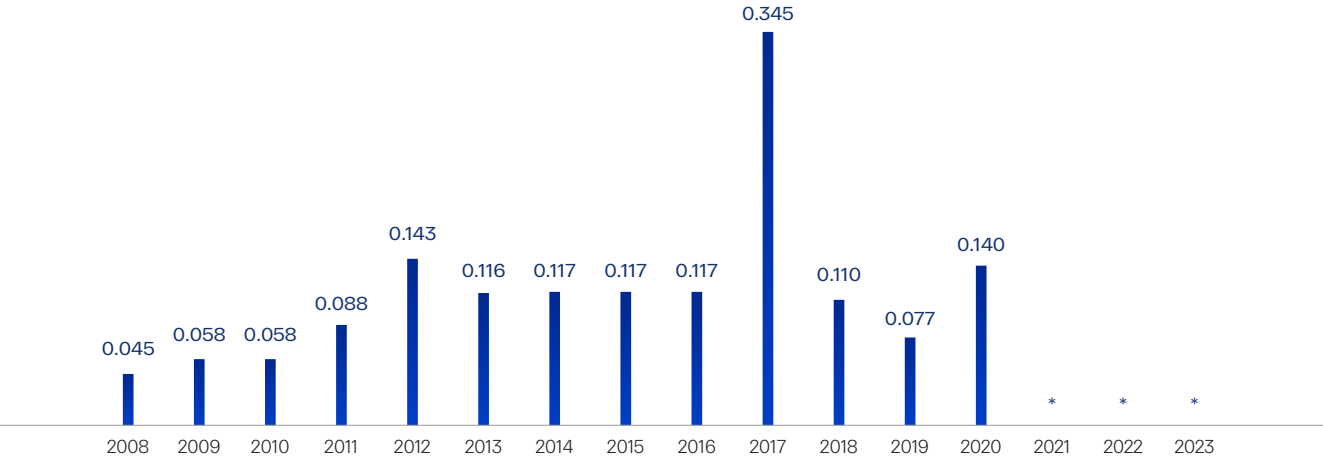
³⁶ The amount of dividend consists of payments from the 2020 net profit (RUB 0.0000173965919370917 per ordinary share) and payments from retained earnings from previous years (RUB 0.00138273422595461 per ordinary share).

Payments are made by bank transfer to bank accounts provided to the Bank's registrar by shareholders and nominal shareholders of record. Where the registrar lacked accurate and necessary bank account details, dividends were paid by postal order.

The Dividend Policy on the Bank's website

The Annual General Meetings of Shareholders approved decisions to pay no dividends for 2023, 2022 and 2021.

Record of dividend payments, kopecks per ordinary share (rounded)



* No dividends were declared and paid for 2021, 2022 and 2023.

Dividends for previous periods were paid in full except for shareholders of record with missing or incorrect address and / or bank account details. There are no outstanding liabilities for dividends owed to the budget.

Dividend taxation

The Bank, as a tax agent, withholds dividend tax and transmits it to tax authorities.

To claim a withholding tax exemption or a reduced tax rate on dividends paid to mutual funds and foreign organisations and individuals, documents confirming the right to preferential tax treatment must be provided at the place of share registration:

- the Bank'-se of shares placed under trust management.

The dividend tax rate is 13% for individual and corporate residents of the Russian Federation and 15% for non-residents. Starting from 2021, a new progressive tax rate has been introduced for personal income. If the tax base for income from the resident's equity participation exceeds RUB 5 million in a given tax period, a tax rate of 15% applies to the excess amount.

The tax rate is applied to the taxable amount of dividends, which may be less than the total amount of dividend payments, as those are reduced by the amount of income received by VTB Bank in the form of dividends from equity participation in other companies because tax on these amounts has already been withheld.

If there is an applicable international double tax treaty, tax is paid at a rate specified in the treaty, subject to Russian laws.

5.3. Long-term development programme and key performance indicators

Long-term development programme

Introducing key performance indicators (KPIs) into the incentive system for responsible executives is an essential mechanism for monitoring the achievement of the goals set in the Bank's Development Strategy and Long-Term Development Programme and ensuring that employee performance is aligned with the Bank's overall strategic direction. The Bank has³⁷ the following regulations in place governing the development of its KPI system:

- Regulation on Remuneration and Key Performance Indicators for Executive Bodies of VTB Bank³⁸;
- List of Key Performance Indicators for Assessing the Performance of Members of VTB Bank's Management Board³⁹;
- Procedure for Calculating Remuneration of the Members of VTB Bank's Management Board Based on KPI Achievement⁴⁰;
- Methodology for Calculating the Total Shareholder Return KPI and Assessing its Achievement⁴¹.

- Methodology for Establishing Performance-Based KPIs for Members of the Management Board of VTB Bank⁴².

The Regulation on Remuneration and Key Performance Indicators for Executive Bodies of VTB Bank sets out the following principles:

- alignment of the Bank's remuneration system with the nature and scale of its operations, its performance, risk profile and risk appetite;
- dependence of remuneration of the Bank's executive bodies on the achievement of goals and objectives defined in the Long-Term Development Programme;
- dependence of KPIs of the sole executive body on Group performance based on the Bank's and its subsidiaries' IFRS consolidated financial statements and defined in the Long-Term Development Programme.

The variable part of remuneration payable to members of the Management Board is aligned with the achievement of established KPIs as stipulated in the Procedure for Calculating the Variable Part of Remuneration of the Members of the Bank's Management Board, Methodology for Establishing Performance-Based KPIs for Members of the Management Board of VTB Bank, as well as the employment contracts of the Bank's top management. KPIs are established to evaluate performance of the executive bodies, taking into account the areas of responsibility of the Bank's executives. Individual targets set for the executives with regard to the quality of project / task / programme implementation may also serve as KPIs.

The annual list of KPIs, their target values and weight are set by the Supervisory Council individually for each member of the Management Board in accordance with the regulations adopted by the Bank.

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As of 31 December 2024.

38

Minutes No. 9 of the Bank's Supervisory Council dated 29 July 2024.

39

Minutes No. 18 of the Bank's Supervisory Council dated 20 December 2023.

40

Minutes No. 26 of the Bank's Supervisory Council dated 30 December 2014.

41

Minutes No. 26 of the Bank's Supervisory Council dated 30 December 2014.

42

Minutes No. 10 of the Bank's Supervisory Council dated 2 July 2021, Amendments to the Methodology, Minutes No. 16 of the Bank's Supervisory Council dated 14 November 2023.

Long-term development programme

Net profit			Total shareholder return (TSR) total return of a shareholder in a given year		
Target value	Actual value	Performance	Target value	Actual value	Performance
435 RUB billion	551.4 RUB billion	126.8%	100%	62.9%	not achieved
Comments: The actual value is 37.1 p.p. below the target. As of 31 December 2024, VTB's TSR came in at -38.5% vs -2.2% in the MOEX Financials Index.					
Return on equity (ROE)			Cost of risk (CoR)		
Target value	Actual value	Performance	Target value	Actual value	Performance
17%	22.9%	134.5%	0.9%	0.3%	168.1%
Net operating income (before provisions)			Increase in productivity		
Target value	Actual value	Performance	Target value	Actual value	Performance
1,056 RUB billion	1,074 RUB billion	101.7%	≥5.0%	15.1%	302%
Comments: The Bank exceeded the target KPI thanks to the strong loan portfolio growth across all segments (among other things due to robust market growth), which was in excess of the target level, and thanks to the moderate increase in average headcount.					
Cost/income ratio (CIR) the ratio of staff & administrative expenses to net operating income before provisions			Growth of SME loan portfolio balances		
Target value	Actual value	Performance	Target value	Actual value	Performance
46%	44.6%	103.1%	>12%	20.3%	169%
Comments: The Bank exceeded the target KPI thanks to the strong loan portfolio growth in the SME segment, exceeding the target growth rate.					

5.4. Non-core asset management

VTB identifies non-core asset management as one of the priority areas to focus on to improve operating efficiency. The Bank carries out an annual review of non-core assets⁴³. Reporting on the disposal of non-core assets and the scope of assets scheduled for disposal in the reporting period contains information on the Bank and its subsidiaries⁴⁴.

Further to their non-core asset disposal programmes, VTB Group companies develop and approve registers of non-core assets as well as action plans for their disposal. The Bank regularly updates the Register of Non-Core Assets and the Action Plan for Disposal of Non-Core Assets of VTB Bank⁴⁵ and discloses them on the interagency (IA) portal for state property management of the Federal Agency for State Property Management and

on the Bank's website⁴⁶. Also in line with the Asset Disposal Programme, the Bank prepares quarterly progress reports on the disposal of non-core assets, publishing them on the IA Portal.

The Supervisory Council of VTB Bank approved a non-core asset disposal programme as documented in Minutes No. 12 dated 5 November 2024⁴⁷.

The action plan for disposal of non-core assets for 2024 was developed, preliminarily approved by the Bank's Management Board and approved by the Bank's Supervisory Council (Minutes No. 18 dated 20 December 2023) and published on the Interagency Portal for State Property Management (in compliance with clause 9.2 of the Programme).

⁴³ For the purpose of updating and improving internal regulations and increasing the efficiency of non-core asset management in accordance with Amendments No. 2 to the Charter of VTB Bank approved by the Extraordinary General Meeting of Shareholders (Minutes No. 57 dated 22 November 2021).

⁴⁴ In accordance with Minutes No. 28-05-06/1-pr dated 26 April 2022 from the Meeting of the Interagency Commission for Monitoring the Disposal of Non-Core Assets by State Corporations, State-Owned Companies and Joint-Stock Companies in which the Share of the Russian Federation Exceeds 50%, and by their Subsidiaries.

⁴⁵ Minutes No. 17 of the Bank's Supervisory Council dated 22 December 2022.

⁴⁶ <https://www.vtb.com/ir/disclosure/documents/>. Due to the sanctions imposed on VTB Bank in 2022, the disclosure of approved forms was suspended in 2022–2023.

⁴⁷ This Programme supersedes the previous non-core asset disposal programme approved by the Supervisory Council in Minutes No. 18 dated 30 November 2021, which became invalid upon the new Programme's adoption in 2024. This update was necessitated by legislative changes and the expiration of the previous Programme's term.

5.5. Procurement

The Bank's procurement ensures the acquisition of necessary goods and services, maintaining quality and timely delivery. Our procurement relies on the following principles:

- transparency;
- cost-efficiency;
- broad participation for all businesses, particularly small and medium enterprises, and individuals;
- promotion of fair competition.

Applicable Russian laws⁴⁸ govern our procurement activities and key approaches the Bank adopts in procurement:

- information disclosure;
- equal, fair, non-discriminatory competition among bidders without undue restrictions;
- targeted and cost-efficient use of procurement funds, considering the value of purchased items throughout their lifecycle, with a focus on cost optimisation;
- no requirements for bidders that cannot be quantified;
- counteracting corruption and other abuses;
- protection of the Bank's financial, reputational, and other interests.

To that end, the Bank employs advanced management and technical solutions. Key focus areas for improvement:

- transforming the organisational model by setting up a unified competence centre (procurement as a service);
- rolling out procurement best practices at subsidiaries;

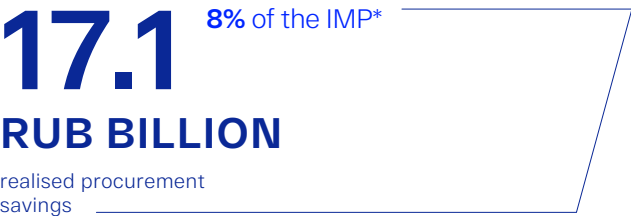
- systemic approach to interacting with Group companies as part of procurement activities;
- digitalising procurement management;
- implementing effective tools (including category management, selection and evaluation of potential suppliers based on established criteria, conducting multi-vendor procurement);
- introducing continuous process improvement;
- supporting small and medium enterprises;
- transitioning counterparties under existing and new contracts to our cash management services;
- expanding cash management service implementation across VTB Group companies;
- implementing an import substitution programme.

In 2024, the Bank introduced the following procurement process enhancements:

- finalised procurement function transformation across CIS subsidiary banks: VTB Armenia, VTB Kazakhstan, VTB Azerbaijan, and VTB Belarus (by implementing a standardised process and updated regulatory frameworks);
- extended the Bank's procurement system to additional Group companies and other associated companies;
- established a unified annual reporting system throughout VTB Group;
- deployed the second procurement automation robot operating continuously with minimal human intervention;
- introduced contract builder functionality;
- successfully transitioned to electronic document management with resident entities in our China and India branches.

In recognition of the Bank's commitment to ongoing supplier support, VTB Bank received a distinguished award for small and medium-sized enterprise loyalty at the 2024 St Petersburg International Economic Forum, positioning it as a leader among financial institutions in this important area.

2024 highlights:



48 Federal Law No. 223-FZ On Procurement of Goods, Work and Services by Certain Types of Legal Entities dated 18 July 2011, along with laws and regulations enacted in furtherance of this law.

* initial maximum price

5.6. Information on VTB Bank's transactions

Information on significant transactions

In 2024, the Bank did not enter into significant transactions recognised as such in accordance with the Federal Law of the Russian Federation On Joint-Stock Companies⁴⁹. A significant transaction is considered to be a transaction (several interrelated transactions) that goes beyond the ordinary course of business and at the same time:

1. related to the acquisition, alienation or the possibility of alienation by the company directly or indirectly of property (including a loan, pledge, guarantee, purchase of such a number of shares or other equity securities convertible into shares of a public company, which will entail the company's obligation to send a mandatory offer), the price or book value of which is 25 percent or more of the book value of the company's assets determined according to its accounting (financial) statements as of the last reporting date;
2. providing for the obligation of the company to transfer property to a temporary possession and (or) use or grant to a third party the right use of the result of intellectual activity under a licence, if the book value amounts to 25 or more percent of the balance sheet value of the company's assets, determined according to the data of its accounting (financial) statements on last reporting date.

Information on interested-party transactions

In 2024, there were no interested-party transactions (groups of interrelated interested-party transactions) in the amount of at least 2% of the assets value determined based on the consolidated financial statements (financial statements) of a public joint-stock company as of the last reporting date (the end date of the last completed reporting period preceding the transaction date).

⁴⁹ Article 78 of Federal Law No. 208-FZ On Joint-Stock Companies dated 26 December 1995.

5.7. Report on compliance with the principles and recommendations of the corporate governance code

The report on compliance with the principles and recommendations of the Corporate Governance Code was reviewed by the Supervisory Council of VTB Bank at its meeting on 28 April 2025 as part of the preliminary approval of VTB Bank's Annual Report for 2024.

VTB Bank's Supervisory Council confirms that the data provided in this report present complete and accurate information about the Bank's compliance with the principles and recommendations of the Code of Corporate Governance in 2024.

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance ⁵⁰	Comments / explanation of deviation from the principle
1.1	The company shall ensure equal and fair treatment for all its shareholders in exercising their rights to participate in the management of the company.			
1.1.1	The company creates the best possible conditions for its shareholders to participate in the general meeting, for the development of sound positions related to agenda items at the general meeting, for coordinating their activities, as well as an opportunity to express their views on the issues under consideration.	The company has established a straightforward means of communicating with the company, such as a hotline, email or online forums, allowing shareholders to express their opinions and send questions regarding the agenda during preparations for the general meeting. The company undertook such actions before each general meeting that took place during the reporting period.	Compliance	
1.1.2	The procedure for giving notice of the general meeting and the provision of materials for the general meeting gives shareholders an opportunity to properly prepare for participation in the meeting.	1. In the reporting period, notices of an upcoming general meeting of shareholders were posted (published) on the website no later than 30 days before the date of the general meeting, unless a longer period was stipulated by the applicable laws. 2. The notice about an upcoming meeting indicated the documents required for admission to the premises. 3. Shareholders were provided with access to information about who proposed the agenda items and who nominated individuals to the board of directors and the statutory audit commission (in case its appointment is provided for in the company's charter).	Compliance	

50 "Compliance" means that the company meets all the criteria for assessing compliance with the respective principle of corporate governance. Otherwise, the status of "partial compliance" or "non-compliance" is indicated.

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
1.1.3	In the course of the preparation for, and the holding of, a general meeting, shareholders had the opportunity to receive information about the meeting and materials for the meeting without hindrance and in a timely manner to pose questions to the executive bodies and members of the board of directors and to communicate with one another.	1. In the reporting period, shareholders had the opportunity to pose questions to members of the executive bodies and members of the board of directors in the course of the preparation for, and during, the general meeting. 2. The position of the board of directors (including dissenting opinions, if any, entered in the minutes) on each agenda item at general meetings held during the reporting period was included in the materials for the general meeting. 3. The company provided entitled shareholders with access to the list of persons entitled to participate in the general meeting from the date of its receipt by the company in all cases regarding general meetings held during the reporting period.	Compliance	
1.1.4	Implementation of the shareholder right to request that a general meeting be convened, to nominate candidates to governing bodies and to make proposals for the inclusion of items to the general meeting agenda did not involve needless difficulties.	1. According to the company's charter, shareholders have the right to submit proposals for the inclusion of items to the annual general meeting agenda within at least 60 days after the end of the respective calendar year. 2. During the reporting period, the company did not refuse to accept proposals for the agenda or nominations to the company's various bodies as a result of typos or other insignificant errors in the shareholder's proposal.	Compliance	
1.1.5	Every shareholder had an opportunity to freely exercise their right to vote in the simplest and most convenient way.	According to the company's charter, shareholders have the right to fill out electronic voting ballots using a link to the website specified in the notice of the general meeting of shareholders.	Compliance	
1.1.6	The procedure established by the company for conducting general meetings grants all individuals present at the meeting equal rights to express their opinions and ask questions.	1. When conducting general meetings of shareholders during the reporting period in the form of a meeting (joint presence of shareholders), sufficient time was provided for reports on agenda items, as well as time to discuss those items; shareholders had an opportunity to express their opinions and ask questions on the agenda. 2. The company invited nominees to the governing and oversight bodies and took all necessary measures to ensure their participation in the general meeting of shareholders where their nominations were put to vote. The nominees to the governing and oversight bodies present at the general meeting of shareholders were available to answer questions from shareholders. 3. The sole executive body, person in charge of accounting, chairman and other members of the audit committee of the board of directors were available to answer questions from shareholders during general meetings held in the reporting period. 4. In the reporting period, the company used telecommunications facilities to enable shareholders to participate remotely in general meetings, or the board of directors made an informed decision against the use of telecommunications facilities due to that being unnecessary (impossible).	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
1.2	Shareholders shall be given equal and fair opportunities to participate in the profits of the company by receiving dividends.			
1.2.1	The company has developed and implemented a transparent and clear mechanism for determining the amount and payment of dividends.	1. The company's regulation on dividend policy has been approved by the board of directors and disclosed on the company's official website. 2. If the dividend policy of the company which prepares consolidated financial statements uses the company's reporting indicators to determine the amount of the dividend, then the relevant provisions of the dividend policy shall take into account the consolidated financial statements. 3. In the reporting period, the reasons for the proposed distribution of net profit, including to pay dividends and cover the company's own needs, and their assessment for compliance with the company's dividend policy, along with economic justification of the allocation of a certain portion of net profit for the company's own needs, were included in the materials for the general meeting of shareholders whose agenda contained an item on profit distribution (including the payment/announcement of dividends).	Compliance	
1.2.2	The company does not adopt a decision to pay dividends if such a decision, while not formally in violation of legal restrictions, is unjustified from an economic point of view and could lead to misconceptions about the company's activities.	Apart from legal restrictions, the company's regulation on dividend policy defines financial and economic circumstances under which the company should not pay dividends.	Compliance	
1.2.3	The company does not permit any diminution of the dividend rights of existing shareholders.	During the reporting period, the company did not take any actions that led to the diminution of the dividend rights of existing shareholders.	Compliance	
1.2.4	The company is committed to preventing shareholders from using other means of earning a profit (income) at the company's expense beyond dividends and liquidation value.	In the reporting period, the company's controlling persons have not earned any profit (income) at the company's expense beyond dividends (e.g. through transfer pricing, unjustified rendering of services by the controlling person to the company at inflated prices, dividend-replacing corporate loans to the controlling person and/or its controlled entities).	Compliance	
1.3	The corporate governance system and practices shall ensure equal terms and conditions for all shareholders owning shares of the same class (category), including minority and foreign shareholders, as well as their equal treatment by the company.			
1.3.1	The company has created conditions for the fair treatment of each shareholder by the company's governing and oversight bodies, including conditions preventing abuse by major shareholders in relation to minority shareholders.	In the reporting period, the company's controlling persons prevented abuse of shareholder rights; conflicts between the controlling persons and shareholders of the company did not take place or, if any, were given due attention by the board of directors.	Compliance	
1.3.2	The company does not undertake actions that lead or may lead to artificial redistribution of corporate control.	There are no quasi treasury shares or their holders did not exercise voting rights in the reporting period.	Compliance	
1.4	Shareholders shall be provided with reliable and effective ways to register their rights to their shares, as well opportunity to dispose of their shares freely and easily.			
1.4.1	Shareholders shall be provided with reliable and effective ways to register their rights to their shares, as well opportunity to dispose of their shares freely and easily.	The techniques and conditions of services provided by the company's registrar meet the needs of the company and its shareholders and ensure most effective registering of the rights to shares and exercise of shareholders' rights.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
2.1	The board of directors shall carry out strategic management within the company, define the basic principles and approaches to organising a risk management and internal control system within the company, supervise the activity of executive bodies and also perform other key functions.			
2.1.1	The board of directors is responsible for decisions relating to the appointment and dismissal of members of executive bodies, including in connection with improper performance of their duties. The board of directors also carries out oversight measures to ensure that the company's executive bodies act in accordance with the approved development strategy and the company's main areas of activity.	1. The board of directors has the authority, per the charter, to appoint and dismiss members of executive bodies, as well as to determine the terms of their contracts. 2. In the reporting period, the nominations (appointment, HR) committee considered whether the qualification, skills and experience of members of the executive bodies meet the existing and prospective needs of the company as per its approved strategy. 3. In the reporting period, the board of directors reviewed the report(s) of the sole executive body and of members of the collective executive body (if any) on the implementation of the company's strategy.	Compliance	
2.1.2	The board of directors establishes the basic guidelines for the company's activities in the long term, evaluates and approves the company's key performance indicators and key business goals, and evaluates and approves the strategy and business plans for the company's core activities.	In the reporting period, the board of directors at its meetings addressed issues related to progress on the implementation and update of the company's strategy, approval of the company's financial and economic plan (budget), as well as the consideration of criteria and indicators (including interim) related to implementation of the company's strategy and business plans.	Compliance	
2.1.3	The board of directors determines the principles of, and approaches to, organising a risk management and internal control system in the company.	1. The principles of, and approaches to, organising a risk management and internal control system in the company have been defined by the board of directors and set out in the company's internal regulations on risk management and internal control. 2. In the reporting period, the board of directors approved (reviewed) the acceptable level of risk (risk appetite) of the company or the audit and/or risk committee (if any) considered the feasibility of submitting the matter of reviewing the company's risk appetite for the board of directors' consideration.	Compliance	
2.1.4	The board of directors defines the company's policy on remuneration and / or reimbursement (compensation) of expenses to members of the board of directors, executive bodies and other key executives.	1. The company has developed and implemented a policy (policies), approved by the board of directors, on the remuneration and reimbursement (compensation) of expenses to members of the board of directors, executive bodies and other key executives. 2. Matters related to this policy (policies) were considered during the reporting period at meetings of the board of directors.	Compliance	
2.1.5	The board of directors plays a key role in the prevention, detection and resolution of internal conflicts between the company's bodies, shareholders and employees.	1. The board of directors plays a key role in the prevention, detection and resolution of internal conflicts. 2. The company has established a system for identifying transactions involving a conflict of interest, and a system of measures to resolve such conflicts.	Compliance	
2.1.6	The board of directors plays a key role in ensuring the transparency of the company, timely and complete disclosure of information, and unhindered access of shareholders to corporate documents.	The company's internal regulations designate officers in charge of implementing the information policy.	Compliance	
2.1.7	The board of directors oversees the company's corporate governance practices and plays a key role in its material corporate events.	In the reporting period, the board of directors reviewed the results of the self-assessment and/or external assessment of the company's corporate governance practices.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
2.2	The board of directors shall be accountable to the company's shareholders.			
2.2.1	Information about the board of directors' performance is disclosed and presented to shareholders.	1. The company's annual report for the reporting period includes information on individual attendance of directors at board and committee meetings. 2. The company's annual report includes information on key results of the assessment (self-assessment) of the board of directors' performance carried out in the reporting period.	Compliance	
2.2.2	The chairman of the board of directors is available to the company's shareholders.	The company has in place a transparent procedure enabling shareholders to direct their queries to the chairman of the board of directors (or the senior independent director, as applicable) and receive their feedback.	Compliance	
2.3	The board of directors shall be an efficient and professional governing body capable of making objective and independent judgements and passing resolutions for the benefit of the company and its shareholders.			
2.3.1	Only individuals who have impeccable business and personal reputation, knowledge, skills and experience required to make decisions that fall within the remit of the board of directors and ensure that its functions are discharged effectively are elected to the board of directors.	During the reporting period, the board of directors (or its nominations committee) evaluated nominees to the board of directors for having the required experience, knowledge and business reputation, being free from conflicts of interest, and meeting other criteria.	Compliance	
2.3.2	The members of the board of directors are elected through a transparent procedure that enables shareholders to receive information about the nominees that is sufficient to get an understanding of their personal and professional qualities.	Whenever the agenda of a general meeting of shareholders held during the reporting period included the election of the board of directors, the company provided shareholders with biographical details of all nominees to the board of directors, the results of their assessment by the board of directors (or its nominations committee) and the information on each nominee's compliance with the independence criteria set forth in Recommendations 102–107 of the Code, as well as the nominees' written consent to be elected to the board of directors.	Compliance	
2.3.3	The board of directors is balanced, including in terms of qualifications of its members, their experience, knowledge and business qualities, and is trusted by the shareholders.	During the reporting period, the board of directors analysed its needs in terms of professional qualifications, experience and skills and determined what competencies are required in the short- and long-term.	Compliance	
2.3.4	The board of directors has a sufficient number of members to organise its operation in the most efficient way, including the possibility to set up its committees, and to enable substantial minority shareholders to elect a nominee for whom they vote.	In the reporting period, the board of directors reviewed whether the number of its members was sufficient to meet the company's needs and protect the interests of shareholders.	Compliance	
2.4	The board of directors shall include a sufficient number of independent directors.			
2.4.1	An independent director is a person having sufficient professional skills, experience and independence to form their own opinions and make unbiased and fair judgements that are not influenced by the company's executive bodies, individual groups of shareholders or other stakeholders. It should be noted that, under normal circumstances, a nominee (elected member of the board of directors) who is associated with the company, its major shareholders, significant counterparties, competitors or the government may not be deemed independent.	During the reporting period, all independent members of the board of directors met all the independence criteria set forth in Recommendations 102–107 of the Code or were recognised as independent by a resolution of the board of directors.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
2.4.2	The nominees to the board of directors and elected directors are assessed for compliance with the independence criteria, with the latter assessed on a regular basis. In such assessment, substance shall prevail over form.	- During the reporting period, the board of directors (or its nominations committee) formed an opinion on each nominee's independence and presented respective conclusions to the shareholders. - During the reporting period, the board of directors (or its nominations committee) at least once reviewed the independence of the directors listed as independent directors in the company's annual report. - The company has the procedures in place stipulating the steps required to be taken by a director who fails to maintain their independence, including such director's obligation to promptly notify the board of directors accordingly.	Compliance	
2.4.3	Independent directors constitute at least one third of the board of directors.	Independent directors constitute at least one third of the board of directors.	Compliance	
2.4.4	Independent directors play a key role in preventing internal conflicts within the company and overseeing material corporate actions to be taken by the company.	Independent directors (who have no conflict of interest) carry out a preliminary review of material corporate actions implying a potential conflict of interest, and the results of such review are presented to the board of directors.	Compliance	
2.5	The chairman of the board of directors shall ensure that the board discharges its functions to the best of its ability.			
2.5.1	The board of directors is chaired by an independent director, or a senior independent director is appointed from among the independent directors to coordinate their work and liaise with the chairman of the board of directors.	- The board of directors is chaired by an independent director, or a senior independent director is appointed from among the independent directors. - The role, rights and duties of the chairman (and, if applicable, of the senior independent director) are duly set out in the company's internal regulations.	Compliance	By decision of the Bank's Supervisory Council, a senior independent director was elected from among the independent directors.
2.5.2	The chairman of the board of directors maintains a constructive atmosphere during meetings, facilitates open discussion of agenda items and oversees implementation of the board of directors' resolutions.	The performance of the chairman of the board of directors was evaluated as part of the board of directors' performance assessment (self-assessment) in the reporting period.	Compliance	
2.5.3	The chairman of the board of directors ensures timely provision to members of the board of directors of information required to make decisions on agenda items.	The duty of the chairman of the board of directors to ensure timely provision to members of the board of directors of complete and reliable information concerning agenda items is stipulated in the company's internal regulations.	Compliance	
2.6	The duty of the chairman to ensure timely provision to members of the board of directors of materials concerning agenda items shall be stipulated in the company's internal regulations.			
2.6.1	Members of the board of directors make decisions based on all available information, without any conflict of interest, subject to equal treatment of the company's shareholders, and assuming normal business risks.	- The company's internal regulations stipulate that a board member shall notify the board of directors if they have a conflict of interest in respect of any item on the agenda of a meeting of the board or a board committee prior to the discussion of the relevant agenda item. - The company's internal regulations stipulate that a board member shall abstain from voting on any item where they have a conflict of interest. - The company has established a procedure that allows the board of directors to get professional advice on matters within its remit at the company's expense.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
2.6.2	The rights and duties of members of the board of directors are clearly defined and set out in the company's internal regulations.	The company has adopted and published an internal regulation that clearly defines the rights and duties of members of the board of directors.	Compliance	
2.6.3	Members of the board of directors have sufficient time to perform their duties.	1. Individual attendance at board and committee meetings as well as the time committed to serving on the board of directors and its committees were reviewed as part of the board of directors' performance assessment (self-assessment) in the reporting period. 2. In accordance with the company's internal regulations, members of the board of directors shall inform the board of directors of their intention to join management bodies of other entities (except for entities controlled by the company), as well as of relevant appointments made.	Compliance	
2.6.4	All members of the board of directors have equal access to the company's documents and information. Newly elected members of the board of directors are provided, in the shortest possible time, with sufficient information about the company and the operation of the board of directors.	1. In accordance with the company's internal regulations, members of the board of directors have the right to access documents and make queries regarding the company and its controlled entities, and the company's executive bodies shall provide relevant information and documents. 2. The company has in place a formalised induction programme for newly elected members of the board of directors.	Compliance	
2.7	Meetings of the board of directors, preparations for them and their attendance by board members shall ensure effective performance of the board of directors.			
2.7.1	Meetings of the board of directors are held as necessary, taking into account the scale of operations and the targets of the company at a given period of time.	The board of directors held at least six meetings during the reporting year.	Compliance	
2.7.2	The company's internal regulations set out procedures for the preparation and holding of board meetings that enable members of the board of directors to prepare for such meetings in a proper manner.	1. The company has an approved internal regulation that sets out procedures for the preparation and holding of board meetings and also stipulates that a notice of a board meeting shall be given, as a rule, at least five days before the date of the meeting. 2. In the reporting period, directors unable to attend a board meeting in person had an opportunity to participate in the discussion of the agenda items via a conference call and video conferencing.	Compliance	
2.7.3	The format of each meeting of the board of directors is determined based on the importance of the agenda items. The most important matters are resolved at meetings of the board of directors held in person.	The company's charter or internal regulations provide for the most important matters (as per the list set out in Recommendation 168 of the Code) to be considered at in-person meetings of the board of directors.	Compliance	
2.7.4	Resolutions on the most important matters concerning the company's operations are passed at meetings of the board of directors by a qualified majority or a majority of all elected members of the board of directors.	The company's charter provides for resolutions on the most important matters listed in Recommendation 170 of the Code to be passed at meetings of the board of directors by a qualified majority of at least three quarters of the votes or by a majority of all elected members of the board of directors.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
2.8	The board of directors shall set up committees for preliminary consideration of the most important matters related to the company's operations.			
2.8.1	An audit committee comprised of independent directors has been set up for preliminary consideration of matters related to controlling the company's financial and business operations.	- The board of directors has set up an audit committee comprised solely of independent directors. - The company's internal regulations set out the tasks of the audit committee, including those listed in Recommendation 172 of the Code. - At least one member of the audit committee, who is an independent director, has experience and knowledge in preparing, analysing, assessing and auditing accounting (financial) statements. - Meetings of the audit committee were held at least once a quarter during the reporting period.	Compliance	
2.8.2	A remuneration committee, comprised of independent directors and headed by an independent director who is not the chairman of the board of directors, has been set up for preliminary consideration of matters related to adopting an efficient and transparent remuneration scheme.	- The board of directors has set up a remuneration committee comprised solely of independent directors. - The remuneration committee is chaired by an independent director who is not the chairman of the board of directors. - The company's internal regulations set out the tasks of the remuneration committee, including those listed in Recommendation 180 of the Code, as well as the conditions (events), upon the occurrence of which the remuneration committee considers revising the company's remuneration policy for members of the board of directors, executive bodies and other key executives.	Compliance	
2.8.3	A nominations (appointments, HR) committee has been set up for preliminary consideration of matters related to talent management (succession planning) and professional composition and performance of the board of directors.	- The board of directors has set up a nominations committee (or its tasks listed in Recommendation 186 of the Code are fulfilled by another committee) predominantly comprised of independent directors. - The company's internal regulations set out the tasks of the nominations committee (or the tasks of the committee with combined functions), including those listed in Recommendation 186 of the Code. - During the reporting period, the nominations committee, either independently or jointly with other committees of the board of directors or the company's dedicated shareholder relations unit, liaised with the shareholders, including but not limited to major shareholders, in selecting nominees to the company's board of directors with a view to forming the board of directors most fit for the company's goals and objectives.	Compliance	The functions of the nominations committee are performed by the Supervisory Council's HR and Remuneration Committee.
2.8.4	Taking into account the company's scale of operations and level of risks, the company's board of directors made sure that the composition of its committees is fully in line with the company's business goals. Additional committees were either set up or not deemed necessary (strategy committee, corporate governance committee, ethics committee, risk management committee, budget committee, health, safety and environment committee, etc.).	During the reporting period, the company's board of directors considered whether the structure of the board of directors was consistent with the scope and nature of the company's operations, as well as its goals, needs and the risk profile. Additional committees were either set up or not deemed necessary.	Compliance	The Bank has set up a Strategy and Sustainable Development Committee, which has an active work programme. The Committee reviews, and prepares recommendations on, matters of strategic development, sustainability, social and environmental responsibility, corporate governance improvements, and better management of the Bank's capital.

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
2.8.5	Committees are composed in a manner so as to enable comprehensive discussions of matters under preliminary consideration, taking into account the diversity of opinions.	1. During the reporting period, the audit committee and the nominations committee (or another relevant committee with combined functions) were chaired by independent directors. 2. The company's internal regulations (policies) include provisions stipulating that persons who are not members of the audit committee, the remuneration committee and the nominations committee (or another relevant committee with combined functions) may attend committee meetings only at the invitation of the chairman of the respective committee.	Compliance	
2.8.6	Committee chairmen inform the board of directors and its chairman on the work of their committees on a regular basis.	During the reporting period, committee chairmen reported to the board of directors on the work of committees on a regular basis.	Compliance	
2.9	The board of directors shall ensure performance assessment of the board of directors, its committees, and members of the board of directors.			
2.9.1	The board of directors' performance assessment is aimed at determining the efficiency of the board of directors, its committees and members, consistency of their work with the company's development requirements, as well as bolstering the work of the board of directors and identifying areas for improvement.	1. The company's internal regulations set out the procedures for the assessment (self-assessment) of the board of directors' performance. 2. The assessment (self-assessment) of the board of directors' performance conducted in the reporting period included performance assessment of the committees, individual members of the board of directors and the board of directors as a whole. 3. The results of the assessment (self-assessment) of the board of directors' performance conducted in the reporting period were reviewed at an in-person meeting of the board of directors. To conduct an independent assessment of the board of directors' performance during the last three reporting periods, the Company engaged a third party (advisor) at least once.	Compliance	
3.1	The company's corporate secretary shall ensure efficient ongoing interaction with shareholders, coordinate the company's efforts to protect shareholder rights and interests, and support the effective work of the board of directors.			
3.1.1	The corporate secretary has knowledge, experience and qualifications sufficient to perform their duties, has impeccable reputation and is trusted by the shareholders.	The company's website and annual report provide biographical information about the corporate secretary (including age, education, qualifications, experience) and information about the positions in governing bodies of other legal entities held by the corporate secretary for at least the last five years.	Compliance	
3.1.2	The corporate secretary is sufficiently independent of the company's executive bodies and has the necessary authority and resources to perform their tasks.	1. The company has adopted and disclosed an internal regulation on the corporate secretary. 2. The board of directors approves the appointment and dismissal of the corporate secretary, as well as decisions to award additional remuneration to the corporate secretary. 3. The company's internal documents stipulate the right of the corporate secretary to request and receive company documents and information from governing bodies, business units and officers of the company.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
4.1	Remuneration payable by the company shall be sufficient to attract, motivate and retain employees who have the required skills and qualifications. Remuneration payable to members of the board of directors, executive bodies and other key executives of the company shall be paid in accordance with the remuneration policy adopted by the company.			
4.1.1	The remuneration payable by the company to members of the board of directors, executive bodies and other key executives provides sufficient motivation for them to work effectively, enabling the company to attract and retain competent and skilled professionals. At the same time, the company avoids unnecessarily high remuneration, as well as unjustifiably large gaps between remunerations of the above listed persons and the company's employees.	Remuneration payable to members of the board of directors, executive bodies and other key executives takes into account remuneration levels at peer companies.	Compliance	
4.1.2	The company's remuneration policy was drafted by the remuneration committee and approved by the board of directors. The board of directors, assisted by the remuneration committee, oversees the introduction and implementation of the company's remuneration policy, revising and amending it as required.	During the reporting period, the remuneration committee reviewed the remuneration policy (policies) and/or its (their) implementation, assessed their effectiveness and transparency, and made recommendations to the board of directors to revise the same as necessary.	Compliance	
4.1.3	The company's remuneration policy includes transparent mechanisms for determining the amount of remuneration payable to members of the board of directors, executive bodies and other key executives of the company and regulates all types of payments, benefits and privileges provided to such persons.	The company's remuneration policy (policies) includes (include) transparent mechanisms for determining the amount of remuneration payable to members of the board of directors, executive bodies and other key executives of the company and regulates (regulate) all types of payments, benefits and privileges provided to such persons.	Compliance	
4.1.4	The company defines a policy on the reimbursement (compensation) of expenses detailing a list of reimbursable expenses and specifying service levels that members of the Board of Directors, executive bodies and other key executives of the company may qualify for. Such a policy can be part of the company's remuneration policy.	The policy (policies) on remuneration or other internal regulations of the company establish rules for reimbursement of expenses incurred by members of the board of directors, executive bodies and other key executives of the company.	Compliance	
4.2	Remuneration system for members of the board of directors shall ensure alignment of the financial interests of members of the board of directors with the long-term financial interests of shareholders.			
4.2.1	The company pays fixed annual remuneration to members of the board of directors. The company does not pay remuneration for attending individual meetings of the board of directors or its committees. The company does not provide any short-term or additional financial incentives to members of the board of directors.	- During the reporting period, remuneration payable to members of the board of directors was paid in line with the company's approved remuneration policy. - During the reporting period, the company did not provide to members of the board of directors any short-term or additional financial incentives linked to the company's performance. The company did not pay remuneration for attending individual meetings of the board of directors or its committees.	Compliance	
4.2.2	Long-term holding of the company's shares is the best way to align the financial interests of members of the board of directors with the long-term interests of shareholders. At the same time, the company does not link the right to dispose of shares to performance targets, and members of the board of directors do not participate in stock option plans.	If the company's internal regulation(s), i.e. the remuneration policy (policies), provides (provide) for the granting of the company's shares to members of the board of directors, clear rules shall be defined and disclosed in respect of share ownership by members of the board of directors with a view to encouraging long-term ownership of such shares.	Compliance	Members of the Board of Directors do not participate in the Bank's stock option plans.
4.2.3	The company does not provide for any extra payments or compensations in the event of early termination of powers of members of the board of directors resulting from the change of control or any other circumstances.	The company does not provide for any extra payments or compensations in the event of early termination of powers of members of the board of directors resulting from the change of control or any other circumstances.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
4.3	The company's system of remuneration for members of executive bodies and other key executives shall be linked to the company's performance and personal contribution of members of executive bodies and other key executives to delivering that performance.			
4.3.1	Remuneration payable to members of executive bodies and other key executives of the company is determined in such a way as to provide for a reasonable and justified ratio of the fixed and variable parts of remuneration, depending on the company's performance and the employee's personal contribution to delivering the same.	1. During the reporting period, annual KPIs approved by the board of directors were used to determine the amount of the variable part of remuneration payable to members of executive bodies and other key executives of the company. 2. As part of the latest assessment of the remuneration system for members of executive bodies and other key executives of the company, the board of directors (remuneration committee) made sure that the company applied an effective ratio of the fixed and variable parts of remuneration. 3. The amount of remuneration payable to members of the board of directors, executive bodies and other key executives of the company is determined with due regard to the risks posed to the company to avoid providing decision-makers with incentives to take excessive risks.	Compliance	
4.3.2	The company has in place a long-term incentive programme for members of executive bodies and other key executives of the company based on the company's shares (options or other equity-linked instruments of the company).	The long-term incentive programme for members of executive bodies and other key executives based on the company's shares (equity-linked financial instruments) adopted by the company (if any) implies that the right to dispose of the awarded shares and other equity-linked financial instruments takes effect at least three years after such shares or equity-linked financial instruments are awarded. The right to dispose of such shares or other equity-linked financial instruments is linked to the achievement of the company's performance targets.	Compliance	
4.3.3	The compensation (golden parachute) payable by the company in case of early termination of powers of members of executive bodies or key executives at the company's initiative, provided that there have been no actions in bad faith on their part, does not exceed the double amount of the fixed part of their annual remuneration.	During the reporting period, the compensation (golden parachute) payable by the company in case of early termination of powers of members of executive bodies or key executives at the company's initiative, provided that there had been no actions in bad faith on their part, did not exceed the double amount of the fixed part of their annual remuneration.	Compliance	
5.1	The company shall have in place an effective risk management and internal control system providing reasonable assurance that the company's goals will be achieved.			
5.1.1	The board of directors has determined the principles of, and approaches to, organising a risk management and internal control system in the company.	Functions of different governing bodies and units of the company pertaining to risk management and internal controls are clearly defined in the company's internal regulations / relevant policy approved by the board of directors.	Compliance	
5.1.2	The company's executive bodies establish and maintain an effective risk management and internal control system in the company.	The company's executive bodies ensured the distribution of duties, powers and responsibilities related to risk management and internal control between their subordinate unit and department heads.	Compliance	
5.1.3	The company's risk management and internal control system ensures an objective, fair and clear representation of the current state of the company and its future prospects, integrity and transparency of the company's reporting, as well as reasonable and acceptable risk exposure.	1. The company has an approved anti-corruption policy in place. 2. The company has arranged for safe, confidential and accessible means (a hotline) of notifying the board of directors or the audit committee of the board of directors about violations of the law, the company's internal procedures and code of ethics.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
5.1.4	The board of directors takes necessary measures to ensure that the company's risk management and internal control system is consistent with the principles and approaches set by the board of directors with regard to its operation, and that it functions effectively.	1. During the reporting period, the board of directors (the audit committee and/or the risk committee (if any)) arranged for the assessment of the reliability and effectiveness of the company's risk management and internal control system. 2. During the reporting period, the board of directors reviewed the findings from the assessment of the reliability and effectiveness of the company's risk management and internal control system, with the review results disclosed in the company's annual report.	Compliance	
5.2	The company shall perform internal audits for regular independent assessment of the reliability and effectiveness of the risk management and internal control system and corporate governance practices.			
5.2.1	To perform internal audits, the company sets up a separate internal audit unit or engages an independent external organisation. The functional and administrative subordination of the internal audit unit are separated. The internal audit unit functionally reports to the board of directors.	To perform internal audits, the company has set up a separate internal audit unit functionally reporting to the board of directors or engaged an independent external organisation under the same principle of subordination.	Compliance	
5.2.2	The internal audit unit assesses the effectiveness of internal control, risk management, and corporate governance systems. The company applies generally accepted standards of internal audit.	1. During the reporting period, the reliability and effectiveness of the risk management and internal control system was assessed as part of the internal audit process. 2. During the reporting period, the quality of corporate governance practices (select corporate governance practices), including communication procedures (in particular those related to internal control and risk management) across all management levels of the company, and the quality of stakeholder engagement were assessed as part of the internal audit process.	Compliance	
6.1	The company and its operations shall be transparent to shareholders, investors and other stakeholders.			
6.1.1	The company has developed and implemented an information policy ensuring efficient communication between the company and its shareholders, investors and other stakeholders.	1. The board of directors approved the company's information policy developed in line with the Code's recommendations. 2. During the reporting period, the board of directors (or one of its committees) reviewed matters related to the efficiency of communication between the company and its shareholders, investors and other stakeholders, and the potential need to revise the company's information policy.	Compliance	
6.1.2	The company discloses information on its corporate governance system and practices, including detailed information on compliance with the principles and recommendations of the Code.	1. The company discloses information on its corporate governance system and applied general principles of corporate governance, with relevant disclosures made, in particular, on its corporate website. 2. The company discloses information on the composition of executive bodies and the board of directors, independence of members of the board of directors, and their membership in committees of the board of directors (as defined in the Code). 3. If the company has a controlling person, the company publishes a memorandum of the controlling person setting out the latter's plans for the company's corporate governance.	Соблюдается	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
6.2	The company shall make timely disclosures of complete, up-to-date and reliable information about itself to enable shareholders and investors to make informed decisions.			
6.2.1	The company discloses information based on the principles of regularity, consistency and timeliness, as well as accessibility, reliability, completeness and comparability of disclosed data.	- The company has established a procedure to coordinate the work of all its structural units and employees whose activities are related to or may require information disclosure. - If the company's securities are traded on organised foreign markets, the company ensures that the disclosure of material information in the Russian Federation and in the said markets throughout the reporting period is made at the same time and to the same extent. - If foreign shareholders held a significant number of the company's shares, information disclosures during the reporting year were made in the Russian language as well one of the most widely used foreign languages.	Compliance	
6.2.2	The company avoids a formalistic approach to information disclosure, and discloses material information about its operations even if such disclosure is not required by law.	- The company's information policy defines approaches to disclosing information about other events (actions) that have a material impact on the price of its securities and the disclosure of which is not required by law. - The company discloses information on its capital structure in its annual report and on its website in line with Recommendation 290 of the Code. - The Company discloses information on its material controlled entities, including their key business areas, mechanisms for ensuring their accountability, and powers of the company's board of directors to set their strategy and assess their performance. - The company discloses a non-financial report, i.e. a sustainability report, environmental report, corporate social responsibility report or other report containing non-financial information, including ESG data (including data related to climate change), other than the report of the issuer of issue-grade securities and the annual report of a joint-stock company.	Compliance	
6.2.3	The annual report, as one of the most important tools of information exchange with shareholders and other stakeholders, contains information that makes it possible to assess the company's performance in the reporting year.	- The company's annual report contains information on the results of the audit committee's evaluation of the effectiveness of the external and internal audit process. - The company's annual report contains information on the company's environmental protection and social policies.	Compliance	
6.3	The company shall provide information and documents requested by shareholders in compliance with the equal access principles.			
6.3.1	The company provides information and documents requested by shareholders in compliance with the principles of equal and unhindered access.	- The company's information policy (internal regulations governing the information policy) stipulates (stipulate) a procedure for providing shareholders with unhindered access to the company's information and documents at their request. - The information policy (internal regulations governing the information policy) contains (contain) provisions stipulating that if a shareholder requests information about the company's controlled entities, the company shall take the necessary steps to obtain such information from the relevant controlled entities.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
6.3.2	When providing information to shareholders, the company ensures reasonable balance between the interests of particular shareholders and its own interests consisting in preserving the confidentiality of important commercial information which may materially affect its competitiveness.	1. During the reporting period, the company did not refuse shareholders' requests for information, or such refusals were justified. 2. In cases stipulated by the company's information policy, shareholders are warned about the confidential nature of information and take responsibility for maintaining its confidentiality.	Compliance	
7.1	Actions which materially affect or may materially affect the shareholding structure or financial position of the company and, consequently, the position of its shareholders (material corporate actions) shall be taken on fair terms ensuring that the rights and interests of shareholders and other stakeholders are protected.			
7.1.1	Material corporate actions include reorganisation of the company, acquisition of 30% or more of the company's voting shares (takeover), execution by the company of material transactions, an increase or decrease in the company's charter capital, listing or de-listing of the company's shares, as well as other actions which may lead to material changes in the rights of shareholders or violation of their interests. The company's charter sets out a list of (criteria for) transactions or other actions deemed to be material corporate actions, and such actions fall within the remit of the company's board of directors.	The company's charter sets out a list of (criteria for) transactions or other actions deemed to be material corporate actions. As per the company's charter, decisions regarding material corporate actions fall within the remit of the board of directors. If the laws expressly reserve such corporate actions to the general meeting of shareholders, the board of directors provides shareholders with appropriate recommendations.	Partial compliance	The Bank's Charter does not specify a list of transactions and material corporate actions. At the same time, it reserves decision-making regarding such material corporate actions to the Bank's Supervisory Council and General Meeting of Shareholders as per the recommendation. In addition, the Regulation on the Audit Committee of the Bank's Supervisory Council stipulates a special procedure for the Committee to deal with matters related to the Bank's material and unconventional transactions (clause 2.2.1 of the Regulation), including a review of their compliance with the applicable standards. Given the above, to avoid overlapping provisions in the Bank's Charter on decision-making on matters reserved to the Supervisory Council and the General Meeting of Shareholders, and also in view of the lack of relevant practice at peer companies, the Bank has deemed it unnecessary to have provisions on material corporate actions and relevant decision-making additionally included in the Charter.
7.1.2	The board of directors plays a key role in making decisions or working out recommendations regarding material corporate actions, taking account of the opinions of the company's independent directors.	The company has in place a procedure enabling independent directors to express their opinions on material corporate actions prior to their approval.	Compliance	
7.1.3	Equal terms and conditions are ensured for all shareholders when taking material corporate actions affecting the rights and legitimate interests of the company's shareholders, and, in case of insufficient statutory mechanisms for protecting shareholder rights, additional measures are taken to protect the rights and legitimate interests of the company's shareholders. In ensuring this equality, the company is guided by the corporate governance principles set forth in the Code on top of formal statutory requirements.	1. In accordance with the company's charter, the board of directors' remit exceeds statutory requirements and covers approval of material transactions other than those stipulated by law, with due regard to the specifics of the company's operations. 2. During the reporting period, all material corporate actions were subject to approval prior to execution.	Compliance	

No.	Principles of corporate governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status of compliance	Comments / explanation of deviation from the principle
7.2	The company shall ensure that material corporate actions are taken in a manner enabling shareholders to receive full information on such actions in due time, while also providing shareholders with the opportunity to influence such actions and guaranteeing respect and due protection of shareholder rights when such actions are taken.			
7.2.1	Information about material corporate actions is disclosed along with the reasons, terms and conditions, and consequences of such actions.	During the reporting period, the company disclosed detailed information about material corporate actions (if any) to shareholders in a timely manner along with the reasons, terms and conditions, and consequences of such actions.	Compliance	
7.2.2	Rules and procedures related to material corporate actions are set out in the company's internal regulations.	1. The company's internal regulations set out a procedure and criteria for engaging an independent appraiser to determine the value of the property disposed of or acquired as part of a major transaction or an interested-party transaction. 2. The company's internal regulations set out a procedure for engaging an independent appraiser to assess the value of the company's shares as part of their repurchase (buyback). 3. If there is no formal interest but there exists a conflict of interest or other actual interest with regard to the company's transactions on the part of a member of the board of directors, sole executive body, member of the collective executive body of the company, controlling person of the company, or person entitled to give the company binding instructions, the company's internal regulations stipulate that such persons shall refrain from voting on the transaction in question.	Compliance	

5.8. Bank's details and contacts

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Shareholder centres



Shareholder mobile app

